CITY OF SAN MATEO
City Council Regular Meeting
October 5, 2026
7:30 PM

City Hall Council Chamber
Entrance is on O'Farrell Street

COUNCIL MEMBERS
Adam Loraine
Nicole Fernandez
Danielle Cwirko-Godycki
Lisa Diaz Nash
Robert Newsom Jr.

AGENDA

THIS MEETING CAN BE ATTENDED IN PERSON OR REMOTE BY JOINING ZOOM – SEE CODES BELOW.
PUBLIC COMMENTS WILL BE ACCEPTED BOTH IN PERSON AND REMOTELY.
SEE END OF AGENDA FOR OPTIONS AND INSTRUCTIONS ON HOW TO PARTICIPATE IN THE MEETING.

To join via Zoom – click here: October 5, 2026
To join via telephone: (408) 638-0968
Webinar ID: 824 7877 8451 Passcode is not required

The City Council meeting will conclude by 11:00 p.m. unless otherwise extended by council vote.
Any unheard items will automatically move forward to the next regular meeting.

CALL TO ORDER

Pledge of Allegiance

Roll Call

CEREMONIAL

1. Breast Cancer Awareness Month - Proclamation

2. Hispanic Heritage Month - Proclamation

3. Code Enforcement Officer Appreciation Week - Proclamation

CONSENT CALENDAR

All matters listed under the Consent Calendar are considered by the Council to be routine and will be enacted by one motion without discussion. If discussion is desired, that item may be removed and considered separately.

4. Citywide Comprehensive Speed Limit Update — Ordinance Adoption

Adopt an Ordinance establishing updated speed limits on 108 roadway segments citywide that do not result in an increase to the existing posted speed limit, superseding applicable existing Ordinances establishing speed limits on City roadways. School zone speed limits previously adopted will remain unaffected.

CEQA: This Ordinance adoption is categorically exempt from CEQA as an "existing facility," because it consists of the operation, repair, maintenance, permitting, leasing, licensing, or minor alteration of existing public or private structures, facilities, mechanical equipment, or topographical features, involving negligible or no expansion of use. (CEQA Guidelines Section 15301.)

5. Mosquito & Vector Control District Board of Trustees Appointment Subcommittee — Appointment Recommendation

Appoint Mina Yaroslavsky Bressler to the Mosquito & Vector Control District Board of Trustees for a 4-year term through October 7, 2030, and place Christina Galletti on a six-month eligibility list should a vacancy occur.

CEQA: This action is not a project subject to CEQA, because it is an organizational or administrative activity that will not result in direct or indirect physical changes in the environment. (CEQA Guidelines Section 15378(b)(5).)

6. WestLight Energy Member Agency Grant — Amendment

Approve Amendment No. 1 to the WestLight Energy Member Agency Grant Program Agreement to extend the term to December 31, 2028; and authorize the City Manager to execute Amendment No. 1 in substantially the form presented.

CEQA: Approval of Amendment No. 1 to the Westlight Energy Member Agency Grant Program Agreement is exempt from CEQA as "existing facilities," because the projects affected consist of the operation, repair, maintenance, permitting, leasing, licensing, or minor alteration of existing public or private structures, facilities, mechanical equipment, or topographical features, involving negligible or no expansion of existing or former use. (CEQA Guidelines Section 15301.) In addition, the funding for electric equipment and vehicles is exempt under the "common sense" exemption, in that it can be seen with certainty that there is no possibility that these activities in question may have a significant effect on the environment. (CEQA Guidelines Section 15061(b)(3).)

7. Library Materials Acquisition – Agreement

Approve an Agreement with Midwest Tape LLC to provide physical and digital library materials including access to the Hoopla Platform, which allows the library to provide their users with access to digital media content using smart phones, tablets, computers, streaming devices, and web browsers in an amount not to exceed $300,000 annually for fiscal years 2025-26, 2026-27, and 2027-28, with an optional three-year term extension, for a potential total agreement amount not to exceed $1,800,000; and authorize the City Manager to approve any appropriate changes that do not increase the total not to exceed amount and execute the agreement on behalf of the City.

CEQA: This agreement with Midwest Tape is not a project subject to CEQA, because it can be seen with certainty that it will not cause a physical change in the environment. (Public Resources Code Section 21065.)

8. Collection System Construction Management Services for Various Projects — Agreements

Approve five-year agreements with three professional services firms, Tanner Pacific, Inc., 4Leaf, Inc., and Marina Construction Management, Inc., in amounts not to exceed $3,000,000 each, to provide as-needed construction management services for various sanitary sewer collection system projects and authorize the Public Works Director to execute the agreements in substantially the form presented and issue project-specific task orders under these agreements.

CEQA: Council action on this item is exempt from CEQA review under section 15061 (b)(3) of the CEQA Guidelines, since entering into a professional services contract will not have a significant effect on the environment. The resulting sewer collection system projects are Categorically Exempt from CEQA requirements under section 15301 of CEQA guidelines, as they will be replacing existing facilities.

9. Child Care Facility Fund Program Loan Documents – Revision and Amendment

Approve a Loan Agreement Amendment, Deed of Trust, and Promissory Note with Mighty Tiger Preschool, LLC to change the real property loan collateral for the Child Care Facilities Fund loan in the remaining amount of $344,000; and authorize City Manager to execute the Loan Agreement Amendment, Deed of Trust, and Promissory Note in substantially the form presented.

CEQA: This loan collateral change is not a project subject to CEQA, because it can be seen with certainty that it will not cause a physical change in the environment. (Public Resources Code Section 21065.)

10. Parking Enforcement Services — Amendment

Approve Amendment No. 4 to the agreement with Laz Parking for Citywide parking enforcement in the amount of $1,581,576 for a new agreement total not to exceed $9,375,151; and authorize the Chief of Police to execute the amendment in substantially the form presented.

CEQA: This action is not a project subject to CEQA, because it can be seen with certainty that it will not cause a physical change in the environment. (Public Resources Code Section 21065.)

11. Grand Jury Report: "Is Our Flock of ALPR Cameras Properly Tended?" — Response Letter

Approve a letter responding to the August 3, 2026, San Mateo County Civil Grand Jury report titled "Is Our Flock of ALPR Cameras Properly Tended?" and authorize the Mayor to send the response of behalf of the City Council.

CEQA: This action is not a project subject to CEQA, because it is an organizational or administrative activity that will not result in direct or indirect physical changes in the environment. (CEQA Guidelines Section 15378(b)(5).)

12. Master Services Purchasing Agreement — Amendment

Approve Amendment No. 1 to the Master Services and Purchasing Agreement with Axon Enterprise, Inc., to provide Automated License Plate Readers and related technology for a 98 month term in the amount of $1,145,260.45, for a new cumulative agreement total of $8,495,312.58; and authorize the Chief of Police to execute the agreement in substantially the form presented.

CEQA: This action is not a project subject to CEQA, because it can be seen with certainty that it will not cause a physical change in the environment. (Public Resources Code Section 21065.)

PUBLIC COMMENT

Members of the public wishing to comment on any item not appearing on the agenda may address the City Council at this time. State law prevents Council from taking action on any matter not on the agenda; your comments may be referred to staff for follow up. Public comment is limited to a total of 15 minutes; however, an opportunity for additional public comment may be provided later in the agenda.

NEW BUSINESS

13. 1700 S. El Camino Real – Below Market Rate Alternative Plan – Approval

Adopt a Resolution to approve an alternative means of compliance with the City's Below Market Rate Housing Program pursuant to Section VIII(d) of the Below Market Rate Guidelines for the proposed 441-unit housing development project located at 1700 S. El Camino Real (PA-2026-0025).

CEQA: The approval of an alternative means of compliance with the City's Below Market Rate Housing Program is not a project subject to CEQA, because it is an organizational or administrative activity that will not result in direct or indirect physical changes in the environment. (CEQA Guidelines Section 15378(b)(5).) The underlying Project will undergo its own environmental review under CEQA as part of the development review process.

OLD BUSINESS

14. Storm Drain Master Plan Update — Adoption

Approve a Resolution to adopt the updated Storm Drain Master Plan.

CEQA: Adoption of the 2026 Storm Drain Master Plan is exempt from the California Environmental Quality Act (CEQA) since it is a feasibility or planning study for possible future actions which the City of San Mateo has not approved, adopted, or funded. The individual projects in the Plan are not yet funded, and each project will require a separate CEQA analysis at time of design and construction. (CEQA Guidelines Section 15262.) Very high priority and other individual capital improvement projects identified in the SDMP will be required to comply with CEQA prior to implementation. The City will satisfy applicable CEQA requirements through the preparation of the appropriate environmental documentation, such as an Environmental Impact Report (EIR) or Mitigated Negative Declaration (MND), unless the project qualifies for a categorical exemption under CEQA.

CLOSED SESSION

The public will have an opportunity to comment before the Council's consideration of these items. Following the meeting a report of action from Closed Session will be provided if required.

15. Conference with Labor Negotiators (Government Code Section 54957.6)

City designated representatives: Aracelia Esparza, Gizelle Huynh, Abby Veeser, and Stacey Cue- IEDA Consultant
Employee organization: San Mateo Police Officers' Association (SMPOA)

16. Conference with Labor Negotiators (Government Code Section 54957.6)

City designated representatives: Aracelia Esparza, Gizelle Huynh, Abby Veeser, and Stacey Cue- IEDA Consultant
Employee organization: San Mateo Police Sergeants' Association (SMPSA)

REPORTS, ANNOUNCEMENTS, AND COMMITTEE UPDATES

City Manager, City Attorney and Council Members report on their various assignments and liaison roles and Council requests for scheduling future items.

ADJOURNMENT

AGENDAS: Agendas and material are posted on the City's website on the Friday preceding each Council Meeting and can be viewed on the City's website at **www.cityofsanmateo.org** . Any supplemental material distributed to the Council after the posting of the agenda will be made part of the official record.

WATCHING A MEETING ON TV: City Council meetings are broadcast live on Comcast/channel 27, Astound/channel 26, or AT&T/channel 99. For transmission problems during the broadcast, please call (650) 522-7099. For all other broadcast comments, call (650) 522-7040, Monday-Friday, 8 a.m. - 5 p.m.

WATCHING A MEETING ON A COMPUTER: There are three ways to stream.
1) Public Meeting Portal **www.cityofsanmateo.org/publicmeetings**
2) City YouTube channel and stream it on YouTube: **http://youtube.com/CityofSanMateo**
3) Watch TV live stream: **https://www.cityofsanmateo.org/193/Channel-San-Mateo-Live-Stream**

PUBLIC COMMENTS/REQUEST TO SPEAK
Prior to the Meeting
Send comments to: **clerk@cityofsanmateo.org** until 4 p.m. the day of the meeting.

During the meeting
By Zoom: Click the link at the top of the agenda and you'll be added to the meeting. All attendees are muted by default. When the item of interest is open for consideration, select the "Raise Your Hand" icon and you will be called on at the appropriate time.
By telephone: Call (408) 638-0968 and enter the conference ID found at the top of the meeting agenda. When the item of interest is open for consideration, select *9 to raise your hand. When called upon, press *6 to unmute, state your name and provide your comments.
In Person: At the meeting complete a "Request to Speak" form. Organized Group and Presentations: Up to five (5) minutes for a group presentation, with as many speakers as can be accommodated within that time allowance. To qualify for a group presentation, all individuals associated with the presentation must be clearly identified and confirmed as in attendance at the meeting. Presentation materials must be submitted to clerk@cityofsanmateo.org one (1) business day in advance of the meeting.
Presentations: PowerPoints, videos, or other media to be presented during public comment are accepted only by email to

clerk@cityofsanmateo.org at least 24 hours prior to the meeting. Once received, the Clerk will have them shared at public comment for the specified item. To uphold strong cybersecurity management practices, USB's or other physical electronic storage devices are not accepted.
Signs: Signs and symbolic materials less than 2 feet by 3 feet are permitted provided that: (1) sticks, posts, poles or similar/other type of handle objects are strictly prohibited; (2) the items do not create a facility, fire, or safety hazard; and (3) persons with such items remain seated when displaying them and must not raise the items above shoulder level, obstruct the view or passage of other attendees, or otherwise disturb the business of the meeting.

ACCESSIBILITY: In compliance with the Americans with Disabilities Act and to ensure meaningful access for all participants, including those with limited English proficiency, individuals requiring special accommodation or language assistance to participate in this meeting may contact the City Clerk's Office at (650) 522-7040 or clerk@cityofsanmateo.org. Notification 48 hours prior to the meeting will enable the City to make reasonable arrangements to ensure accessibility to this meeting.

SPANISH INTERPRETATION: If you need interpretation of your communications to the City Council from Spanish to English or English to Spanish, please contact the City Clerk Department at (650) 522-7040 or by email at clerk@cityofsanmateo.org. Notification of at least 48 hours will usually enable the City to make arrangements.

INTERPRETACIÓN AL ESPAÑOL: Si necesita interpretación del inglés al español o del español al inglés para sus comunicaciones al Concejo de la Ciudad, comuníquese con el Departmento del Secretario Municipal al (650) 522-7040 o por correo electrónico a clerk@cityofsanmateo.org. Por favor, avísenos con al menos 48 horas de anticipación para que la ciudad pueda hacer los arreglos necesarios.

CITY OF SAN MATEO

City Hall
330 W. 20th Avenue
San Mateo CA 94403
www.cityofsanmateo.org

Agenda Report

Agenda Number: 4 | Section Name: CONSENT CALENDAR | Account Number: 10-4661 | File ID: 26-12716

TO: City Council

FROM: Alex Khojikian, City Manager

PREPARED BY: City Clerk's Office

MEETING DATE: October 05, 2026

SUBJECT:
Citywide Comprehensive Speed Limit Update — Ordinance Adoption

RECOMMENDATION:
Adopt an Ordinance establishing updated speed limits on 108 roadway segments citywide that do not result in an increase to the existing posted speed limit, superseding applicable existing Ordinances establishing speed limits on City roadways. School zone speed limits previously adopted will remain unaffected.

BACKGROUND:
On September 22, 2026, the City Council considered the Citywide Comprehensive Speed Limit Update and introduced a modified Ordinance establishing updated speed limits on roadway segments evaluated through the Engineering and Traffic Survey (ETS) process.

Following discussion, the City Council introduced a modified Ordinance that includes the 108 roadway segments where the recommended speed limit would either remain unchanged or decrease from the existing posted speed limit. The City Council directed staff to exclude the remaining 15 roadway segments where the ETS recommended a speed limit increase and to return those segments for further discussion at a future study session.

The changes requested by the City Council following introduction are reflected in the attached Ordinance, including both the clean version provided as Attachment 1 and the tracked changes version provided as Attachment 2.

If adopted, the Ordinance will become effective 30 days after adoption.

BUDGET IMPACT:
Implementation of the recommended speed limit changes will require sign verification and updates across the affected roadway segments. This work will be completed by a combination of contracted work and work performed by the Public Works Department's Field Maintenance Division. The total cost is estimated at approximately $50,000. Costs will be absorbed within the existing Citywide Engineering and Traffic Study Update (46R034) project budget and are not expected to require additional appropriation.

ENVIRONMENTAL DETERMINATION:
This Ordinance adoption is categorically exempt from CEQA as an "existing facility," because it consists of the operation, repair, maintenance, permitting, leasing, licensing, or minor alteration of existing public or private structures, facilities, mechanical equipment, or topographical features, involving negligible or no expansion of use. (CEQA Guidelines Section 15301.)

STRATEGIC PLAN ALIGNMENT
This staff report supports the Transportation initiative.

NOTICE PROVIDED
All meeting noticing requirements were met.

ATTACHMENTS
Att 1 – Proposed Ordinance
Att 2 – Proposed Ordinance - Tracked Changes

STAFF CONTACT
Chantal Eaton, Deputy City Clerk
ceaton@cityofsanmateo.org
(650) 522-7044

CITY OF SAN MATEO
DRAFT ORDINANCE

An Ordinance of the City of San Mateo Establishing Updated Prima Facie Speed Limits on Certain City Streets Based on Engineering and Traffic Surveys, and Superseding Prior Ordinances Establishing Speed Limits on City Streets

WHEREAS, the City of San Mateo's 2026 Strategic Plan identifies safety as part of the Transportation Priority Initiative, and in furtherance of that Initiative, the City's Public Works and Police Departments have advanced programs, enforcement efforts, and infrastructure improvements intended to reduce collisions, encourage safer travel behavior, and support a transportation network that serves all users; and

WHEREAS, speed management remains a core tool for improving roadway safety by encouraging appropriate vehicle speeds, improving compliance with posted speed limits, and reducing the potential for serious injury or death when collisions occur, consistent with the City's General Plan 2040 Vision Zero policy and the City's Local Roadway Safety Plan (LRSP), both of which are grounded in the Safe Systems approach; and

WHEREAS, beginning in 2022 the City prioritized speed management around schools and, by resolution of the City Council, established 15 mph school zone speed limits and related 25 mph school zone approach speed limits citywide, with installation of associated signage completed citywide in early 2024, and such school zone speed limits remain in full force and effect; and

WHEREAS, California Vehicle Code Section 22358 and related provisions of the Vehicle Code authorize local authorities, on the basis of an engineering and traffic survey, to declare prima facie speed limits on City streets that are not otherwise subject to a speed limit established by state law; and

WHEREAS, the City evaluated all roadways citywide to determine which street segments require an engineering and traffic survey (ETS) under state law in order to remain enforceable using radar, lidar, or other speed-measuring devices, which identified 108 roadway segments requiring an ETS, and that all other remaining City streets would be subject to the applicable default speed limits established under state law; and

WHEREAS, the City conducted engineering and traffic surveys for said 108 roadway segments, applying the flexibility afforded under state law to establish the lowest defensible speed limit appropriate to each roadway's context, function, and safety needs, while preserving the City's ability to use radar, lidar, and other appropriate enforcement tools; and

WHEREAS, the results of said engineering and traffic surveys, and the resulting prima facie speed limits recommended for the 108 evaluated roadway segments, are set forth in Exhibit A to this Ordinance, attached hereto and incorporated herein by reference; and

WHEREAS, state law requires that speed limits established through the engineering and traffic survey process be adopted by local ordinance and speed limit signs installed before they may be enforced; and

WHEREAS, the City currently has multiple, older ordinances establishing prima facie speed limits on individual City streets, and the City Council desires to supersede those prior ordinances and consolidate the

applicable speed limits into fewer ordinances in order to streamline administration, reduce fragmentation across multiple prior ordinances, and simplify future updates; and

WHEREAS, the engineering and traffic survey results and speed limits set forth in Exhibit A are valid for seven years from the date of the underlying survey, and such validity may be extended to fourteen years where a registered engineer determines that no significant changes in roadway or traffic conditions have occurred, consistent with California Vehicle Code section 40802; and

WHEREAS, the school zone speed limits described above were adopted by resolution rather than by ordinance, are not among the ordinances being superseded by this ordinance, and are not otherwise affected by this ordinance; and

WHEREAS, the prima facie speed limits established by this ordinance shall become effective only upon passage of this ordinance and the posting of appropriate signs giving notice thereof on the respective street segments.

NOW, THEREFORE, THE COUNCIL OF THE CITY OF SAN MATEO ORDAINS AS FOLLOWS:

Section 1. Findings. The recitals set forth above are true and correct and are incorporated herein by this reference as findings of the City Council.

Section 2. Pursuant to Section 22358 of the Vehicle Code of the State of California, the City Council has determined, on the basis of engineering and traffic surveys, that the speed limits set forth in Attachment 1 (Schedule of Prima Facie Speed Limits), attached hereto and incorporated herein by reference, will facilitate the orderly movement of vehicular traffic, are reasonable and safe, and are hereby declared to be the prima facie speed limits for the respective street segments identified therein. Said prima facie speed limits shall be effective when appropriate signs giving notice thereof are erected upon the respective street segments.

Section 3. Prior Ordinances Superseded. Except as provided in Section Four below, and except as provided in a companion ordinance establishing prima facie speed limits on two South Delaware Street segments, all ordinances, and all provisions of ordinances, of the City of San Mateo establishing prima facie speed limits on City streets are hereby superseded in their entirety by this Ordinance, as specified in Exhibit A, attached hereto and incorporated by reference.

Section 4. School Zone Speed Limits Unaffected. Nothing in this Ordinance shall repeal, amend, or otherwise affect the 15 mph school zone speed limits, or the related 25 mph school zone approach speed limits, previously established by Resolution No. 120-2021 of the City Council.

Section 5. Environmental Determination. This action is categorically exempt as an “existing facility” pursuant to CEQA Guidelines Section 15301, because it involves minor alterations of existing city streets and involves negligible or no expansion of an existing or former use.

Section 6. Severability. In the event any section, clause or provision of this ordinance shall be determined invalid or unconstitutional, such section, clause or provision shall be deemed severable and all other sections or portions hereof shall remain in full force and effect.

Section 7. Publication. This ordinance shall be published in summary in a newspaper of general circulation, posted in the City Clerk's Office, and posted on the City's website, all in accord with Section 2.15 of the City Charter.

Section 8. Legislative History and Effective Date. This ordinance was introduced on Clerk to complete., and adopted on Clerk to complete., and shall be effective 30 days after its adoption.

EXHIBIT A - CITY OF SAN MATEO E&TS SPEED LIMITS

NO.	STREET	FROM	TO	FINAL SPEED LIMIT (MILES PER HOUR)
1	Peninsula Ave	El Camino Real	San Mateo Dr	30
2	Peninsula Ave	San Mateo Dr	Airport Blvd	35
3	Coyote Point Dr	Airport Blvd	SF Bay Trail	25
4	W Poplar Ave	Occidental Ave	El Camino Real	25
5	E Poplar Ave	El Camino Real	N Claremont St	25
6	E Poplar Ave	N Claremont St	N Amphlett Blvd	25
7	Baldwin Ave	El Camino Real	N B St	25
8	1st Ave	S B St	S Delaware St	25
9	2nd Ave	El Camino Real	S Delaware St	20
10	2nd Ave	Lindbergh St	S Norfolk St	25
11	Crystal Springs Rd	City Limit	El Camino Real	25
12	W 3rd Ave	Crystal Springs Rd	El Camino Real	25
13	E 3rd Ave	El Camino Real	S Delaware St	25
14	E 3rd Ave	S Delaware St	S Humboldt St	30
16	J Hart Clinton Dr	S Norfolk St	Ryder Park Crossing	35

18	Parrot Dr	Alameda de las Pulgas	W 3rd Ave	30
19	Dartmouth/W 4th Ave	W 5th Ave	El Camino Real	25
20	E 4th Ave	El Camino Real	S Delaware St	20
21	E 4th Ave	S Delaware St	S Idaho St	25
22	W 5th Ave	Parrot Dr	El Camino Real	25
23	E 5th Ave	El Camino Real	S Delaware St	25
24	E 5th Ave	S Delaware St	S Amphlett Blvd	25
25	9th Ave	El Camino Real	S Delaware St	25
26	9th Ave	S Delaware St	S Amphlett Blvd	25
27	Newbridge Ave	S Norfolk St	J Hart Clinton Dr	25
28	Kehoe Ave	Norton St	S Norfolk St	30
29	Kehoe Ave	S Norfolk St	Shoreview Ave	25
30	Kehoe Ave	Shoreview Ave	Roberta Dr	25
31	Barneson Ave	Alameda de las Pulgas	El Camino Real	25
32	Borel Ave	Tilia St	El Camino Real	30
33	Bovet Rd/17th Ave	Borel Ave	Palm Ave	25
34	South Blvd	Palm Ave	S B St	25
35	Concar Dr	Pacific Blvd	S Grant St	25

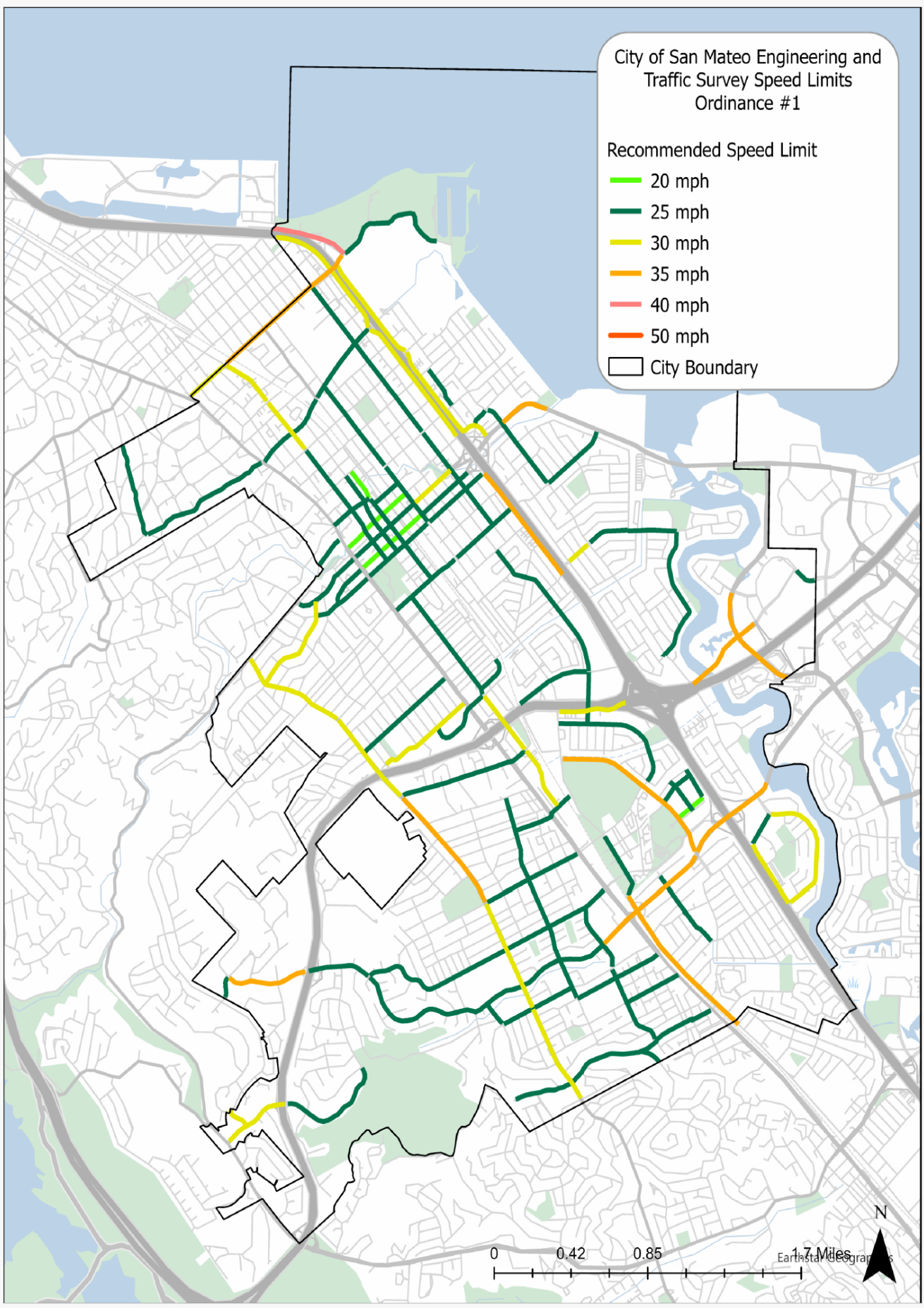
36	19th Ave	S Delaware St	Fashion Island Blvd	30
37	W 20th Ave/E 20th Ave	Alameda de las Pulgas	Palm Ave	25
39	CSM Dr	City Limit	Perimeter Rd	25
40	De Anza Blvd	Polhemus Rd	92 Off-Ramp	30
41	De Anza Blvd	92 Off-Ramp	Cherrywood Dr	25
43	Yates Way	Saratoga Dr	Wayne Way	25
44	Park Pl	Saratoga Dr	Wayne Way	20
45	W Hillsdale Blvd	CSM Dr	92 Off-Ramp	35
46	W Hillsdale Blvd	92 Off-Ramp	31st Ave	25
47	W Hillsdale Blvd	31st Ave	Alameda de las Pulgas	25
48	W Hillsdale Blvd	Alameda de las Pulgas	Edison St	25
49	E Hillsdale Blvd	Edison St	Saratoga Dr	35
50	E Hillsdale Blvd	Saratoga Dr	City Limit	35
51	36th Ave	Fernwood St	Hacienda St	25
52	37th Ave	Hacienda St	El Camino Real	25
53	W 39th Ave	Edison St	El Camino Real	25

54	42nd Ave	West of Bettina Ave	El Camino Real	25
55	N San Mateo Dr	Peninsula Ave	Grand Blvd	30
56	N San Mateo Dr	Grand Blvd	Santa Inez Ave	30
57	S San Mateo Dr	Santa Inez Ave	Baldwin Ave	25
58	S San Mateo Dr	Baldwin Ave	E 5th Ave	25
60	N Delaware St	E Poplar Ave	Cypress Ave	25
61	S Delaware St	Cypress Ave	E 5th Ave	25
65	S Delaware St	E 28th Ave	Pacific Blvd	25
67	Pacific Blvd	E Hillsdale Blvd	City Limit	35
68	N Humboldt St	Peninsula Ave	E Poplar Ave	25
69	N Humboldt St	E Poplar Ave	Cypress Ave	25
70	S Humboldt St	Cypress Ave	9th Ave	25
71	Occidental Ave	Barroilhet Ave	W Poplar Ave	25
72	N Bayshore Blvd	Coyote Pointe Dr	Dore Ave	30

73	N-S Bayshore Blvd/2nd Ave/Lindbergh St	Dore Ave	E 3rd Ave	30
74	N Kingston St	Monte Diablo Ave	Cypress Ave	25
75	S Norfolk St	2nd Ave	Newbridge Ave	25
80	N Ellsworth Ave	Tilton Ave	Baldwin Ave	25
81	S Ellsworth Ave	Baldwin Ave	E 5th Ave	25
82	N B St	Tilton Ave	Baldwin Ave	20
84	S Grant St	10th Ave	Haddon Dr	25
85	S Grant St	Haddon Dr	Concar Dr	25
86	S Grant St	Concar Dr	Ginnever St/Bermuda Dr	25
87	Bermuda Dr	S Delaware St	Kent St	25
88	Saratoga Dr	S Delaware St	E Hillsdale Blvd	35
89	David St	Wayne Way	Park Pl	25
90	Wayne Way	Wayne Way	Park Pl	25

91	Roberta Dr	Kehoe Ave	S Norfolk St	25
93	Mariners Island Blvd	Armada Way	City Limit	35
94	Alameda de las Pulgas	Crystal Springs Rd	Seville Way	30
95	Alameda de las Pulgas	Seville Way	W 20th Ave	30
96	Alameda de las Pulgas	W 20th Ave	28th Ave	35
97	Alameda de las Pulgas	28th Ave	36th Ave	30
98	Alameda de las Pulgas	36th Ave	City Limit	30
99	Hacienda St	22nd Ave	28th Ave	25
100	Hacienda St	28th Ave	37th Ave	25
101	Edison St	31st Ave	36th Ave	25
102	Edison St	36th Ave	42nd Ave	25
103	Palm Ave	9th Ave	E 17th Ave	25
104	Palm Ave	E 17th Ave	E 20th Ave	30
105	Palm Ave	E 20th Ave	E 25th Ave	30
106	Curtiss St	North of McLellan Ave	E 39th Ave	25
107	La Selva St	La Selva St	Los Prados St	30
108	Los Prados Street	La Selva St	S Norfolk St	30
109	N Amphlett Blvd	N Humboldt St	E Poplar Ave	30

110	N Amphlett Blvd	E Poplar Ave	2nd Ave	30
111	S Amphlett Blvd	E 5th Ave	Folkstone Ave	35
112	S B St	Baldwin Ave	9th Ave	25
113	28th Ave	Alameda de las Pulgas	S El Camino Real	25
114	Fernwood St	W Hillsdale Blvd	36th Ave	25
116	Parrott Dr	City Limit	De Anza Blvd	30
117	Camden Ave	42nd Ave	Mills Ave/city limit	25
118	La Selva St	S Norfolk St	La Selva St	25
119	W 25th Ave	Hacienda St	Delaware St	25
120	31st Ave	W Hillsdale Blvd	Alameda de las Pulgas	25
121	31st Ave	Alameda de las Pulgas	El Camino Real	25
122	Fashion Island Blvd	S Norfolk St	Baker Wy	35
123	Chess Dr	Bridgepointe Pkwy	City Limit	25
124	Airport Blvd	Lang Rd	Coyote Point Dr	40


City of San Mateo Engineering and Traffic Survey Speed Limits Ordinance #1
Recommended Speed Limit
20 mph
25 mph
30 mph
35 mph
40 mph
50 mph
City Boundary
N
0
0.42
0.85
1.7 Miles

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WHEREAS, the City of San Mateo's 2026 Strategic Plan identifies safety as part of the Transportation Priority Initiative, and in furtherance of that Initiative, the City's Public Works and Police Departments have advanced programs, enforcement efforts, and infrastructure improvements intended to reduce collisions, encourage safer travel behavior, and support a transportation network that serves all users; and

WHEREAS, speed management remains a core tool for improving roadway safety by encouraging appropriate vehicle speeds, improving compliance with posted speed limits, and reducing the potential for serious injury or death when collisions occur, consistent with the City's General Plan 2040 Vision Zero policy and the City's Local Roadway Safety Plan (LRSP), both of which are grounded in the Safe Systems approach; and

WHEREAS, beginning in 2022 the City prioritized speed management around schools and, by resolution of the City Council, established 15 mph school zone speed limits and related 25 mph school zone approach speed limits citywide, with installation of associated signage completed citywide in early 2024, and such school zone speed limits remain in full force and effect; and

WHEREAS, California Vehicle Code Section 22358 and related provisions of the Vehicle Code authorize local authorities, on the basis of an engineering and traffic survey, to declare prima facie speed limits on City streets that are not otherwise subject to a speed limit established by state law; and

WHEREAS, the City evaluated all roadways citywide to determine which street segments require an engineering and traffic survey (ETS) under state law in order to remain enforceable using radar, lidar, or other speed-measuring devices, which identified ~~121~~108 roadway segments requiring an ETS, and that all other remaining City streets would be subject to the applicable default speed limits established under state law; and

WHEREAS, the City conducted engineering and traffic surveys for said ~~121~~108 roadway segments, applying the flexibility afforded under state law to establish the lowest defensible speed limit appropriate to each roadway's context, function, and safety needs, while preserving the City's ability to use radar, lidar, and other appropriate enforcement tools; and

WHEREAS, the results of said engineering and traffic surveys, and the resulting prima facie speed limits recommended for the ~~121~~108 evaluated roadway segments, are set forth in Exhibit A to this Ordinance, attached hereto and incorporated herein by reference; and

WHEREAS, state law requires that speed limits established through the engineering and traffic survey process be adopted by local ordinance and speed limit signs installed before they may be enforced; and

WHEREAS, the City currently has multiple, older ordinances establishing prima facie speed limits on individual City streets, and the City Council desires to supersede those prior ordinances and consolidate the

applicable speed limits into fewer ordinances in order to streamline administration, reduce fragmentation across multiple prior ordinances, and simplify future updates; and

WHEREAS, the engineering and traffic survey results and speed limits set forth in Exhibit A are valid for seven years from the date of the underlying survey, and such validity may be extended to fourteen years where a registered engineer determines that no significant changes in roadway or traffic conditions have occurred, consistent with California Vehicle Code section 40802; and

WHEREAS, the school zone speed limits described above were adopted by resolution rather than by ordinance, are not among the ordinances being superseded by this ordinance, and are not otherwise affected by this ordinance; and

WHEREAS, the prima facie speed limits established by this ordinance shall become effective only upon passage of this ordinance and the posting of appropriate signs giving notice thereof on the respective street segments.

NOW, THEREFORE, THE COUNCIL OF THE CITY OF SAN MATEO ORDAINS AS FOLLOWS:

Section 1. Findings. The recitals set forth above are true and correct and are incorporated herein by this reference as findings of the City Council.

Section 2. Pursuant to Section 22358 of the Vehicle Code of the State of California, the City Council has determined, on the basis of engineering and traffic surveys, that the speed limits set forth in Attachment 1 (Schedule of Prima Facie Speed Limits), attached hereto and incorporated herein by reference, will facilitate the orderly movement of vehicular traffic, are reasonable and safe, and are hereby declared to be the prima facie speed limits for the respective street segments identified therein. Said prima facie speed limits shall be effective when appropriate signs giving notice thereof are erected upon the respective street segments.

Section 3. Prior Ordinances Superseded. Except as provided in Section Four below, and except as provided in a companion ordinance establishing prima facie speed limits on two South Delaware Street segments, all ordinances, and all provisions of ordinances, of the City of San Mateo establishing prima facie speed limits on City streets are hereby superseded in their entirety by this Ordinance, as specified in Exhibit A, attached hereto and incorporated by reference.

Section 4. School Zone Speed Limits Unaffected. Nothing in this Ordinance shall repeal, amend, or otherwise affect the 15 mph school zone speed limits, or the related 25 mph school zone approach speed limits, previously established by Resolution No. 120-2021 of the City Council.

Section 5. Environmental Determination. This action is categorically exempt as an “existing facility” pursuant to CEQA Guidelines Section 15301, because it involves minor alterations of existing city streets and involves negligible or no expansion of an existing or former use.

Section 6. Severability. In the event any section, clause or provision of this ordinance shall be determined invalid or unconstitutional, such section, clause or provision shall be deemed severable and all other sections or portions hereof shall remain in full force and effect.

Section 7. Publication. This ordinance shall be published in summary in a newspaper of general circulation, posted in the City Clerk's Office, and posted on the City's website, all in accord with Section 2.15 of the City Charter.

Section 8. Legislative History and Effective Date. This ordinance was introduced on Clerk to complete., and adopted on Clerk to complete., and shall be effective 30 days after its adoption.

EXHIBIT A - CITY OF SAN MATEO E&TS SPEED LIMITS

NO.	STREET	FROM	TO	FINAL SPEED LIMIT (MILES PER HOUR)
1	Peninsula Ave	El Camino Real	San Mateo Dr	30
2	Peninsula Ave	San Mateo Dr	Airport Blvd	35
3	Coyote Point Dr	Airport Blvd	SF Bay Trail	25
4	W Poplar Ave	Occidental Ave	El Camino Real	25
5	E Poplar Ave	El Camino Real	N Claremont St	25
6	E Poplar Ave	N Claremont St	N Amphlett Blvd	25
7	Baldwin Ave	El Camino Real	N B St	25
8	1st Ave	S B St	S Delaware St	25
9	2nd Ave	El Camino Real	S Delaware St	20
10	2nd Ave	Lindbergh St	S Norfolk St	25
11	Crystal Springs Rd	City Limit	El Camino Real	25
12	W 3rd Ave	Crystal Springs Rd	El Camino Real	25
13	E 3rd Ave	El Camino Real	S Delaware St	25
14	E 3rd Ave	S Delaware St	S Humboldt St	30
~~15~~	~~E 3rd Ave~~	~~S Humboldt St~~	~~S Norfolk St~~	~~40~~
16	J Hart Clinton Dr	S Norfolk St	Ryder Park Crossing	35

~~17~~	~~J Hart Clinton Dr~~	~~Ryder Park Crossing~~	~~City Limit~~	~~50~~
18	Parrot Dr	Alameda de las Pulgas	W 3rd Ave	30
19	Dartmouth/W 4th Ave	W 5th Ave	El Camino Real	25
20	E 4th Ave	El Camino Real	S Delaware St	20
21	E 4th Ave	S Delaware St	S Idaho St	25
22	W 5th Ave	Parrot Dr	El Camino Real	25
23	E 5th Ave	El Camino Real	S Delaware St	25
24	E 5th Ave	S Delaware St	S Amphlett Blvd	25
25	9th Ave	El Camino Real	S Delaware St	25
26	9th Ave	S Delaware St	S Amphlett Blvd	25
27	Newbridge Ave	S Norfolk St	J Hart Clinton Dr	25
28	Kehoe Ave	Norton St	S Norfolk St	30
29	Kehoe Ave	S Norfolk St	Shoreview Ave	25
30	Kehoe Ave	Shoreview Ave	Roberta Dr	25
31	Barneson Ave	Alameda de las Pulgas	El Camino Real	25
32	Borel Ave	Tilia St	El Camino Real	30
33	Bovet Rd/17th Ave	Borel Ave	Palm Ave	25
34	South Blvd	Palm Ave	S B St	25
35	Concar Dr	Pacific Blvd	S Grant St	25

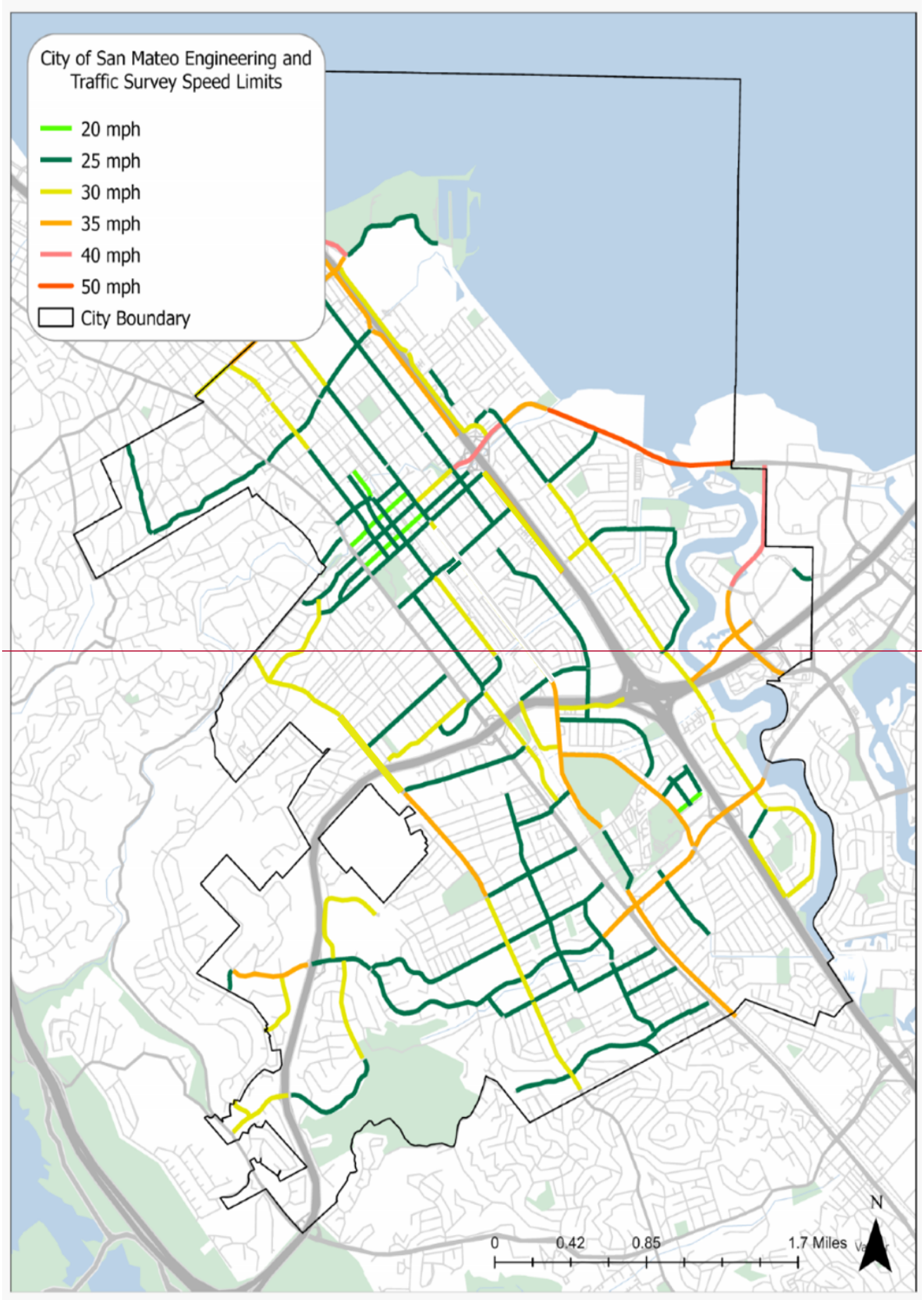
36	19th Ave	S Delaware St	Fashion Island Blvd	30
37	W 20th Ave/E 20th Ave	Alameda de las Pulgas	Palm Ave	25
~~**38**~~	~~Campus Dr~~	~~W Hillsdale Blvd~~	~~26th Ave Wkwy~~	~~30~~
39	CSM Dr	City Limit	Perimeter Rd	25
40	De Anza Blvd	Polhemus Rd	92 Off-Ramp	30
41	De Anza Blvd	92 Off-Ramp	Cherrywood Dr	25
~~**42**~~	~~Glendora Dr~~	~~Cherrywood Dr~~	~~W Hillsdale Blvd~~	~~30~~
43	Yates Way	Saratoga Dr	Wayne Way	25
44	Park Pl	Saratoga Dr	Wayne Way	20
45	W Hillsdale Blvd	CSM Dr	92 Off-Ramp	35
46	W Hillsdale Blvd	92 Off-Ramp	31st Ave	25
47	W Hillsdale Blvd	31st Ave	Alameda de las Pulgas	25
48	W Hillsdale Blvd	Alameda de las Pulgas	Edison St	25
49	E Hillsdale Blvd	Edison St	Saratoga Dr	35
50	E Hillsdale Blvd	Saratoga Dr	City Limit	35
51	36th Ave	Fernwood St	Hacienda St	25
52	37th Ave	Hacienda St	El Camino Real	25
53	W 39th Ave	Edison St	El Camino Real	25
54	42nd Ave	West of Bettina Ave	El Camino Real	25

55	N San Mateo Dr	Peninsula Ave	Grand Blvd	30
56	N San Mateo Dr	Grand Blvd	Santa Inez Ave	30
57	S San Mateo Dr	Santa Inez Ave	Baldwin Ave	25
58	S San Mateo Dr	Baldwin Ave	E 5th Ave	25
~~**59**~~	~~N Delaware St~~	~~Peninsula Ave~~	~~E Poplar Ave~~	~~30~~
60	N Delaware St	E Poplar Ave	Cypress Ave	25
61	S Delaware St	Cypress Ave	E 5th Ave	25
~~**64**~~	~~S Delaware St~~	~~Concar Dr~~	~~E 28th Ave~~	~~35~~
65	S Delaware St	E 28th Ave	Pacific Blvd	25
~~**66**~~	~~Pacific Blvd~~	~~Concar Dr~~	~~S Delaware St~~	~~30~~
67	Pacific Blvd	E Hillsdale Blvd	City Limit	35
68	N Humboldt St	Peninsula Ave	E Poplar Ave	25
69	N Humboldt St	E Poplar Ave	Cypress Ave	25
70	S Humboldt St	Cypress Ave	9th Ave	25
71	Occidental Ave	Barroilhet Ave	W Poplar Ave	25
72	N Bayshore Blvd	Coyote Pointe Dr	Dore Ave	30

73	N-S Bayshore Blvd/2nd Ave/Lindbergh St	Dore Ave	E 3rd Ave	30
74	N Kingston St	Monte Diablo Ave	Cypress Ave	25
75	S Norfolk St	2nd Ave	Newbridge Ave	25
~~**76**~~	~~S Norfolk St~~	~~Newbridge Ave~~	~~Lodi Ave~~	~~30~~
~~**77**~~	~~S Norfolk St~~	~~Lodi Ave~~	~~Roberta Dr~~	~~30~~
~~**78**~~	~~S Norfolk St~~	~~Roberta Dr~~	~~Day Ave~~	~~30~~
~~**79**~~	~~S Norfolk St~~	~~Day Ave~~	~~La Selva St~~	~~30~~
80	N Ellsworth Ave	Tilton Ave	Baldwin Ave	25
81	S Ellsworth Ave	Baldwin Ave	E 5th Ave	25
82	N B St	Tilton Ave	Baldwin Ave	20
~~**83**~~	~~S B St~~	~~9th Ave~~	~~South Blvd~~	~~30~~
84	S Grant St	10th Ave	Haddon Dr	25
85	S Grant St	Haddon Dr	Concar Dr	25
86	S Grant St	Concar Dr	Ginnever St/Bermuda Dr	25
87	Bermuda Dr	S Delaware St	Kent St	25
88	Saratoga Dr	S Delaware St	E Hillsdale Blvd	35
89	David St	Wayne Way	Park Pl	25
90	Wayne Way	Wayne Way	Park Pl	25

91	Roberta Dr	Kehoe Ave	S Norfolk St	25
~~**92**~~	~~Mariners Island Blvd~~	~~E 3rd Ave~~	~~Armada Way~~	~~40~~
93	Mariners Island Blvd	Armada Way	City Limit	35
94	Alameda de las Pulgas	Crystal Springs Rd	Seville Way	30
95	Alameda de las Pulgas	Seville Way	W 20th Ave	30
96	Alameda de las Pulgas	W 20th Ave	28th Ave	35
97	Alameda de las Pulgas	28th Ave	36th Ave	30
98	Alameda de las Pulgas	36th Ave	City Limit	30
99	Hacienda St	22nd Ave	28th Ave	25
100	Hacienda St	28th Ave	37th Ave	25
101	Edison St	31st Ave	36th Ave	25
102	Edison St	36th Ave	42nd Ave	25
103	Palm Ave	9th Ave	E 17th Ave	25
104	Palm Ave	E 17th Ave	E 20th Ave	30
105	Palm Ave	E 20th Ave	E 25th Ave	30
106	Curtiss St	North of McLellan Ave	E 39th Ave	25
107	La Selva St	La Selva St	Los Prados St	30
108	Los Prados Street	La Selva St	S Norfolk St	30
109	N Amphlett Blvd	N Humboldt St	E Poplar Ave	30

110	N Amphlett Blvd	E Poplar Ave	2nd Ave	30
111	S Amphlett Blvd	E 5th Ave	Folkstone Ave	35
112	S B St	Baldwin Ave	9th Ave	25
113	28th Ave	Alameda de las Pulgas	S El Camino Real	25
114	Fernwood St	W Hillsdale Blvd	36th Ave	25
~~**115**~~	~~Clearview Way~~	~~W Hillsdale Blvd~~	~~City Limit~~	~~30~~
116	Parrott Dr	City Limit	De Anza Blvd	30
117	Camden Ave	42nd Ave	Mills Ave/city limit	25
118	La Selva St	S Norfolk St	La Selva St	25
119	W 25th Ave	Hacienda St	Delaware St	25
120	31st Ave	W Hillsdale Blvd	Alameda de las Pulgas	25
121	31st Ave	Alameda de las Pulgas	El Camino Real	25
122	Fashion Island Blvd	S Norfolk St	Baker Wy	35
123	Chess Dr	Bridgepointe Pkwy	City Limit	25
124	Airport Blvd	Lang Rd	Coyote Point Dr	40


City of San Mateo Engineering and Traffic Survey Speed Limits
20 mph
25 mph
30 mph
35 mph
40 mph
50 mph
City Boundary
0
0.42
0.85
1.7 Miles
N

CITY OF SAN MATEO

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Agenda Report

Agenda Number: 5 | Section Name: CONSENT CALENDAR | Account Number: 10-1511 | File ID: 26-12717

TO: City Council

FROM: Alex Khojikian, City Manager

PREPARED BY: City Clerk's Office

MEETING DATE: October 05, 2026

SUBJECT:
Mosquito & Vector Control District Board of Trustees Appointment Subcommittee — Appointment Recommendation

RECOMMENDATION:
Appoint Mina Yaroslavsky Bressler to the Mosquito & Vector Control District Board of Trustees for a 4-year term through October 7, 2030, and place Christina Galletti on a six-month eligibility list should a vacancy occur.

BACKGROUND:
In November 2023, Ed Degliantoni, the City's appointee to the San Mateo County Mosquito & Vector Control District Board of Trustees, formally submitted his resignation. Following his departure, the City Clerk's Office conducted a recruitment to fill the vacancy. In September 2024, following an interview and recommendation by the Appointment Subcommittee, the City Council appointed Tolifili Fa to serve a two-year term through October 7, 2026.

With the expiration of the current term approaching, the City Clerk's Office conducted a recruitment for the next term on the Mosquito & Vector Control District Board of Trustees. The City received four applications from Scott Michael Lee, Christina Galletti, Mina Yaroslavky Bressier, and incumbent Tolifili Fa.

Three of the four applicants moved forward in the process and were interviewed by the Appointment Subcommittee. Tolifili Fa withdrew her application from consideration. Following the interviews, the Appointment Subcommittee considered the applicants' qualifications, experience, and interest in serving as the City of San Mateo's representative on the Mosquito & Vector Control District Board of Trustees.

The Appointment Subcommittee recommends the following actions:

Recommended Action	Duration
Mina Yaroslavsky Bressler be appointed to a 4-year term	October 7, 2026 through October 7, 2030
Christina Galletti	Immediate through April 5, 2027

BUDGET IMPACT:
There is no budgetary impact associated with this administrative action.

ENVIRONMENTAL DETERMINATION:
This action is not a project subject to CEQA, because it is an organizational or administrative activity that will not result in direct or indirect physical changes in the environment. (CEQA Guidelines Section 15378(b)(5).)

STRATEGIC PLAN ALIGNMENT
This staff report supports the Organizational Health and Good Governance initiative.

NOTICE PROVIDED
All meeting noticing requirements were met.

ATTACHMENTS
None

STAFF CONTACT
Martin McTaggart, City Clerk
mmctaggart@cityofsanmateo.org
(650) 522-7042

CITY OF SAN MATEO

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Agenda Report

Agenda Number: 6 | Section Name: CONSENT CALENDAR | Account Number: 10-1311 | File ID: 26-11637

TO: City Council

FROM: Alex Khojikian, City Manager

PREPARED BY: City Manager's Office

MEETING DATE: October 05, 2026

SUBJECT:
WestLight Energy Member Agency Grant — Amendment

RECOMMENDATION:
Approve Amendment No. 1 to the WestLight Energy Member Agency Grant Program Agreement to extend the term to December 31, 2028; and authorize the City Manager to execute Amendment No. 1 in substantially the form presented.

BACKGROUND:
WestLight Energy (formerly Peninsula Clean Energy) is a joint powers authority developed in 2016 to reduce greenhouse gas emissions by providing electricity from clean energy sources. In 2024, the WestLight Energy Board of Directors authorized a one-time allocation of $11.5 million in surplus funds for member agencies to implement local energy projects through the WestLight Energy Member Agency Grant Program. This is a noncompetitive funding source for which the City of San Mateo is eligible for $1,406,718. Eligible projects must align with WestLight Energy's goal of carbon neutrality through the advancement of electrification of transportation and buildings.

On December 9, 2024, the City Council approved an agreement with WestLight Energy and adopted a resolution to accept and appropriate the WestLight Energy Member Agency Grant Program funding to support the following projects:

1. Electric vehicle (EV) charging infrastructure for City Fleet
2. Electrifying the Marina Library
3. High Voltage Streetlight Conversion
4. Electric Landscaping Equipment for City Operations
5. Pilot Electric Motorcycle for Police Department

The current WestLight Energy Member Agency Grant agreement expires on December 31, 2026. The City has made progress on the implementation of all five projects but needs additional time to complete the EV charging infrastructure for City fleet and the electrification of Marina Library. The proposed amendment does not provide or request any additional funding; it solely extends the term of the existing agreement through December 31, 2028 to allow the City additional time to complete the remaining projects using previously awarded grant funds.

BUDGET IMPACT:
This Agreement Amendment No. 1 has no additional budget impact, as it only extends the term of the existing agreement and does not provide or require additional funding. A previous City Council action on December 9, 2024 adopted a resolution to accept and appropriate the $1,406,718 grant funding into various Capital Improvement Program projects including Green Fleet Charging Infrastructure Project 46C003, the Marina Library Structural Improvement Project 665100, and the High Voltage Streetlight Conversion Project 460040.

ENVIRONMENTAL DETERMINATION:
Approval of Amendment No. 1 to the Westlight Energy Member Agency Grant Program Agreement is exempt from CEQA as "existing facilities," because the projects affected consist of the operation, repair, maintenance, permitting, leasing, licensing, or minor alteration of existing public or private structures, facilities, mechanical equipment, or topographical features, involving negligible or no expansion of existing or former use. (CEQA Guidelines Section 15301.) In addition, the funding for electric equipment and vehicles is exempt under the "common sense" exemption, in that it can be seen with certainty that there is no possibility that these activities in question may have a significant effect on the environment. (CEQA Guidelines Section 15061(b)(3).)

STRATEGIC PLAN ALIGNMENT
This staff report supports the Climate Resiliency initiative.

NOTICE PROVIDED
All meeting noticing requirements were met.

ATTACHMENTS
Att 1 – Amendment No. 1

STAFF CONTACT
Andrea Chow, Business Manager
achow@cityofsanmateo.org
(650) 522-7007

AMENDMENT NO. 1 TO AGREEMENT BETWEEN WESTLIGHT ENERGY AND THE CITY OF SAN MATEO

THIS AMENDMENT NO. 1 TO THE AGREEMENT, is entered into on _____ by and between WESTLIGHT ENERGY (formerly known as Peninsula Clean Energy Authority), a California joint powers authority, hereinafter called "WestLight," and the “City of San Mateo” hereinafter called "Grantee."

W I T N E S S E T H:

WHEREAS, the parties entered into an Agreement on December 20, 2024 for the purpose of a grant distribution to Grantee for clean energy projects (“Agreement”); and

WHEREAS, Westlight and Grantee have determined it would be mutually beneficial to provide additional time for the completion of the clean energy projects as described in the Agreement Exhibits.

NOW, THEREFORE, IT IS HEREBY AGREED BY THE PARTIES HERETO AS FOLLOWS:

1. Section 4 Term shall be replaced in its entirety as follows**:**

   Subject to compliance with all terms and conditions, the term of this Agreement shall be from the date of execution through Dec. 31, 2028.

2. Except as expressly amended herein, all other provisions of the Agreement shall remain in full force and effect.

3. This Amendment No. 1 shall take effect upon the date of execution by both parties.

IN WITNESS WHEREOF, the parties hereto have executed this Amendment as set forth below.

WestLight Energy	City of San Mateo
By: _____ Shawn Marshall, CEO	By: _____ Alex Khojikian, City Manager
Dated: _____	Dated: _____
	Approved as to Form:
	_____ Linh P. Nguyen Assistant City Attorney

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Agenda Report

Agenda Number: 7 | Section Name: CONSENT CALENDAR | Account Number: 10-6611 | File ID: 26-12690

TO: City Council

FROM: Alex Khojikian, City Manager

PREPARED BY: Library Department

MEETING DATE: October 5, 2026

SUBJECT:
Library Materials Acquisition – Agreement

RECOMMENDATION:
Approve an Agreement with Midwest Tape LLC to provide physical and digital library materials including access to the Hoopla Platform, which allows the library to provide their users with access to digital media content using smart phones, tablets, computers, streaming devices, and web browsers in an amount not to exceed $300,000 annually for fiscal years 2025-26, 2026-27, and 2027-28, with an optional three-year term extension, for a potential total agreement amount not to exceed $1,800,000; and authorize the City Manager to approve any appropriate changes that do not increase the total not to exceed amount and execute the agreement on behalf of the City.

BACKGROUND:
In October 2025, the Library's primary distributor of physical books and media, Baker & Taylor, abruptly ceased operations without prior notice. Library staff immediately initiated a replacement search, evaluating potential vendors across key criteria, including customer support, inventory range, collection development, cataloging services, pricing, and fulfilment rates. Following evaluation, staff selected Ingram Services LLC as the primary physical materials provider. However, items unavailable through Ingram must now be sourced from Midwest Tape, the Library's long standing digital provider of the Hoopla Platform. Expanding Midwest Tape's scope to include physical items increases total spending with the vendor, crossing the threshold that requires City Council approval.

BUDGET IMPACT:
The costs associated with the agreement were included in the FY2025-26 and FY2026-27 approved budgets. Costs for subsequent years will be incorporated into future departmental budget appropriations.

ENVIRONMENTAL DETERMINATION:
This agreement with Midwest Tape is not a project subject to CEQA, because it can be seen with certainty that it will not cause a physical change in the environment. (Public Resources Code Section 21065.)

STRATEGIC PLAN ALIGNMENT
This staff report supports the Organizational Health and Good Governance initiative.

NOTICE PROVIDED
All meeting noticing requirements were met.

ATTACHMENTS
Att 1 – Proposed Agreement

STAFF CONTACT

Marcia Mendonca, Senior Management Analyst
mmendonca@cityofsanmateo.org
(650) 522-7805

Rukshana Singh, City Librarian
rsingh@cityofsanmateo.org
(650) 522-7804

AGREEMENT WITH MIDWEST TAPE, LLC
FOR DIGITAL AND PHYSICAL MEDIA SERVICES

This Agreement, made and entered into this day of September 23, 2026, by and between the **CITY OF SAN MATEO**, a municipal corporation existing under the laws of the State of California ("CITY"), and **MIDWEST TAPE, LLC,** an Ohio limited liability company ("CONTRACTOR"), whose address is 1417 Timberwolf Drive, Holland, OH, 43528.

RECITALS:

A. CITY desires certain Digital and Physical Media Services, including, without limitation, access to CONTRACTOR'S Hoopla Platform, which allows participating libraries to provide their users with access to digital media content using smart phones, tablets, computers, streaming devices, and web browsers, as hereinafter described.

B. CITY desires to engage CONTRACTOR to provide these Digital and Physical Media Services by reason of its qualifications and experience for performing such services and CONTRACTOR has offered to provide the required services on the terms and in the manner set forth herein.

NOW, THEREFORE, IT IS AGREED as follows:

SECTION 1 - SCOPE OF SERVICES

The scope of services to be performed by CONTRACTOR related to the provision and delivery of Digital Media Services under this Agreement is as described in Exhibit A to this Agreement, which is attached and incorporated by reference. As to Physical Media Services, CONTRACTOR will fulfill orders for physical media as placed by the CITY and in accordance with CONTRACTOR's standard terms for the sale of physical media.

SECTION 2 - DUTIES OF CONTRACTOR

CONTRACTOR shall be responsible for the professional quality, technical accuracy and coordination of all work furnished by CONTRACTOR under this Agreement. CONTRACTOR shall, without additional compensation, correct or revise any errors or deficiencies in its work.

CONTRACTOR represents that it is qualified to furnish the services described under this Agreement.

CONTRACTOR shall be responsible for employing or engaging all persons necessary to perform the services of CONTRACTOR.

CONTRACTOR agrees to comply with the City's minimum wage ordinance as codified in Municipal Code Chapter 5.92, which differs from the state minimum wage and includes a Consumer Price Index escalator.

SECTION 3 - DUTIES OF CITY

CITY shall provide pertinent information regarding its requirements for the project.

CITY shall examine documents submitted by CONTRACTOR and shall render decisions pertaining thereto promptly, to avoid unreasonable delay in the progress of CONTRACTOR's work.

SECTION 4 - TERM

The services to be performed under this Agreement shall commence on July 1, 2025, and be completed on June 30, 2028. The City, at its discretion, holds an option to extend the term of the Agreement for an additional three-year term.

SECTION 5 - PAYMENT

Payment shall be made by CITY only for services rendered and upon submission of a payment request upon completion and CITY approval of the work performed. In consideration for the full performance of the services set forth in Exhibit A, CITY agrees to pay CONTRACTOR a fee in an amount not to exceed $300,000 per term year, with a total potential agreement amount of $1,800,000 if City exercises its three-year option, a fee pursuant to rates stated in Exhibit B, attached and incorporated by reference.

SECTION 6 - TERMINATION

Without limitation to such rights or remedies as CITY shall otherwise have by law, CITY shall have the right to terminate this Agreement or suspend work on the Project for any reason, upon ten (10) days' written notice to CONTRACTOR. CONTRACTOR agrees to cease all work under this Agreement upon receipt of said written notice, and CITY agrees to pay CONTRACTOR for all fees and expenses incurred prior to such termination.

SECTION 7 – OWNERSHIP; INTELLECTUAL PROPERTY

Notwithstanding any other provision of this Agreement, CITY shall have no right, title, or interest in or to CONTRACTOR's Hoopla Platform, any digital titles or other content made available through the Hoopla Platform (collectively, "Digital Titles"), the Hoopla applications, the Hoopla website, the Library Administration Website, or any of CONTRACTOR's trademarks, data, artwork, or other materials delivered by or on behalf of CONTRACTOR in connection with this Agreement. CITY may not access, use, modify, or reproduce any portion of any source code relating to the Hoopla Platform, or make, sell, or distribute any variations or derivative works of the Hoopla Platform. This Agreement does not grant CITY, or the patrons of its library system, any public performance rights in the Digital Titles, and neither CITY nor its library patrons may offer any Digital Titles as a performance to the public, whether sponsored by CITY or otherwise. Vendors that supply Digital Titles and related materials to CONTRACTOR retain all of their intellectual property rights in and to such Digital Titles and materials. As between the parties, CONTRACTOR owns and retains all intellectual property rights in and to the Hoopla Platform, the Hoopla applications, the Hoopla website, the Library Administration Website, and all other of CONTRACTOR's intellectual property, including but not limited to all modifications, updates, or improvements made thereto.

SECTION 8 - CONFIDENTIALITY

All reports, documents, data, and other materials prepared by CONTRACTOR in connection with the performance of this Agreement are confidential until released by CITY to the public or otherwise authorized for release by CITY, subject to applicable law. CONTRACTOR shall not make any such reports, documents, data, materials, or related non-public information available to any individual or organization not employed by CONTRACTOR or CITY without the prior written consent of CITY, except to CONTRACTOR's subcontractors, agents, legal advisors, or professional advisors who need access for purposes of this Agreement and are informed of the confidential nature of the information, or as required by law.

To the extent CONTRACTOR provides CITY with non-public proprietary, technical, security, business, or trade secret information that CONTRACTOR identifies as confidential, CITY shall treat such information as confidential to the extent permitted by applicable law. CONTRACTOR acknowledges that CITY is a California public entity and that records in CITY's possession may be subject to disclosure under the California Public Records Act or other applicable law. If CITY receives a request for records that CITY reasonably determines may include CONTRACTOR's identified confidential information, CITY will make reasonable efforts, to the extent legally permitted and reasonably practicable, to notify CONTRACTOR before disclosure so that CONTRACTOR may seek appropriate protection.

SECTION 9 – INTEREST OF CONTRACTOR

CONTRACTOR covenants that it presently has no interest, and shall not acquire any interest, direct or indirect, financial or otherwise, which would conflict in any manner or degree with the performance of the services under this Agreement.

SECTION 10 - CONTRACTOR'S STATUS

It is expressly agreed that in the performance of the services required under this Agreement, CONTRACTOR shall at all times be considered an independent contractor as defined in Labor Code Section 3353, under control of the CITY as to the result of the work but not the means by which the result is accomplished. Nothing herein shall be construed to make CONTRACTOR an agent or employee of CITY while providing services under this Agreement.

SECTION 11 - INDEMNITY

CONTRACTOR agrees to hold harmless and indemnify CITY, its elected and appointed officials, employees, and agents from and against any and all claims, loss, liability, damage, and expense arising out of CONTRACTOR's performance of this Agreement, except for those claims arising out of CITY's sole negligence or willful misconduct. CONTRACTOR agrees to defend City, its elected and appointed officials, employees, and agents against any such claims. The CONTRACTOR's duty to indemnify shall survive expiration or early termination of this Agreement.

SECTION 12 – LIMITATION OF LIABILITY; DISCLAIMER OF WARRANTIES

CONTRACTOR MAKES NO WARRANTIES OF ANY KIND, WHETHER EXPRESS OR IMPLIED, INCLUDING BUT NOT LIMITED TO ANY IMPLIED WARRANTY OF MERCHANTABILITY, NON-INFRINGEMENT, OR FITNESS FOR A PARTICULAR PURPOSE. EXCEPT AS EXPRESSLY PROVIDED OTHERWISE IN THIS AGREEMENT, IN NO EVENT WILL EITHER PARTY BE LIABLE FOR ANY INDIRECT, INCIDENTAL, CONSEQUENTIAL, SPECIAL, EXEMPLARY, OR PUNITIVE DAMAGES, INCLUDING BUT NOT LIMITED TO LOST PROFITS OR LOST BUSINESS OPPORTUNITY, ARISING OUT OF OR RELATING TO THIS AGREEMENT, EVEN IF SUCH DAMAGES ARE FORESEEABLE AND REGARDLESS OF WHETHER SUCH PARTY HAS BEEN ADVISED OF THE POSSIBILITY THEREOF. WITHOUT RESTRICTION OF THE FOREGOING, CONTRACTOR'S TOTAL LIABILITY UNDER THIS AGREEMENT SHALL NOT EXCEED THE TOTAL FEES PAID BY CITY TO CONTRACTOR DURING THE TWELVE (12) MONTHS PRIOR TO THE DATE THAT THE CLAIM AROSE. NOTHING IN THIS SECTION 12 IS INTENDED TO LIMIT CITY'S INDEMNIFICATION OBLIGATIONS UNDER SECTION 11, OR TO EXPAND CITY'S LIABILITY BEYOND WHAT IS PERMITTED UNDER APPLICABLE LAW.

SECTION 13 - INSURANCE

CONTRACTOR shall procure and maintain for the duration of the contract the insurance specified in Exhibit C to this Agreement.

SECTION 14 - NONASSIGNABILITY

Both parties hereto recognize that this Agreement is for the personal services of CONTRACTOR and cannot be transferred, assigned, or subcontracted by CONTRACTOR without the prior written consent of CITY.

SECTION 15 - RELIANCE UPON SKILL OF CONTRACTOR

It is mutually understood and agreed by and between the parties hereto that CONTRACTOR is skilled in the performance of the work agreed to be done under this Agreement and that CITY relies upon the skill of CONTRACTOR to do and perform the work in the most skillful manner, and CONTRACTOR agrees to thus perform the work. The acceptance of CONTRACTOR's work by CITY does not operate as a release of CONTRACTOR from said obligation.

SECTION 16 - WAIVERS

The waiver by either party of any breach or violation of any term, covenant, or condition of this Agreement or of any provisions of any ordinance or law shall not be deemed to be a waiver of such term, covenant, condition, ordinance or law or of any subsequent breach or violation of the same or of any other term, condition, ordinance, or law. The subsequent acceptance by either party of any fee or other money which may become due hereunder shall not be deemed to be a waiver of any preceding breach or violation by the other party of any term, covenant, or condition of this Agreement or of any applicable law or ordinance.

SECTION 17 - COSTS AND ATTORNEY FEES

Attorney fees in a total amount not exceeding $5000, shall be recoverable as costs (by the filing of a cost bill) by the prevailing party in any action or actions to enforce the provisions of this Agreement. The above $5000 limit is the total of attorney fees recoverable whether in the trial court, appellate court, or otherwise, and regardless of the number of attorneys, trials, appeals, or actions. It is the intent of this provision that neither party shall have to pay the other more than $5000 for attorney fees arising out of an action, or actions to enforce the provisions of this Agreement.

SECTION 18 - NON-DISCRIMINATION

CONTRACTOR warrants that it is an Equal Opportunity Employer and shall comply with applicable regulations governing equal employment opportunity. Neither CONTRACTOR nor any of its subcontractors shall discriminate in the employment of any person because of race, color, national origin, ancestry, physical handicap, medical condition, marital status, sex, or age, unless based upon a bona fide occupational qualification pursuant to the California Fair Employment and Housing Act.

SECTION 19 - MEDIATION

Should any dispute arise out of this Agreement, any party may request that it be submitted to mediation. The parties shall meet in mediation within 30 days of a request. The mediator shall be agreed to by the mediating parties; in the absence of an agreement, the parties shall each submit one name from mediators listed by either the American Arbitration Association, the State Mediation and Conciliation Service, or other agreed-upon service. The mediator shall be selected by a blind draw.

The cost of mediation shall be borne equally by the parties. Neither party shall be deemed the prevailing party. No party shall be permitted to file a legal action without first meeting in mediation and making a good faith attempt to reach a mediated settlement. The mediation process, once

commenced by a meeting with the mediator, shall last until agreement is reached by the parties but not more than 60 days, unless the maximum time is extended by the parties.

SECTION 20 - LITIGATION

CONTRACTOR shall testify at CITY's request if litigation is brought against CITY in connection with CONTRACTOR's services under this Agreement. Unless the action is brought by CONTRACTOR, or is based upon CONTRACTOR's wrongdoing, CITY shall compensate CONTRACTOR for preparation for testimony, testimony, and travel at CONTRACTOR's standard hourly rates at the time of actual testimony.

SECTION 21- NOTICES

All notices hereunder shall be given in writing and mailed, postage prepaid, addressed as follows:

To CITY:
Rukshana Singh
City of San Mateo
55 W. Third Avenue
San Mateo, CA, 94402

To CONTRACTOR:
Midwest Tape, LLC
Attn: Sue Bascuk
1417 Timberwolf Drive
Holland, OH 43528

With a copy to:
Midwest Tape, LLC
Attn: Legal
1417 Timberwolf Drive
Holland, OH 43528

SECTION 22 - AGREEMENT CONTAINS ALL UNDERSTANDINGS; AMENDMENT

This document represents the entire and integrated agreement between CITY and CONTRACTOR and supersedes all prior negotiations, representations, and agreements, either written or oral.

This document may be amended only by written instrument, signed by both CITY and CONTRACTOR.

SECTION 23 - GOVERNING LAW AND VENUE

This Agreement shall be governed by the laws of the State of California and, in the event of litigation, venue will be in the County of San Mateo.

IN WITNESS WHEREOF, CITY OF SAN MATEO and MIDWEST TAPE, LLC have executed this Agreement the day and year first above written.

CITY OF SAN MATEO		CONTRACTOR	
Alex Khojikian City Manager	Date	Sue Bascuk Its Authorized Agent Vice President	Date

APPROVED AS TO FORM

Bahar Abdollahi Assistant City Attorney	Date

Attachments:

Exhibit A: Scope of Services
Exhibit B: Payment Rates
Exhibit C: Insurance Requirements

EXHIBIT A
SCOPE OF SERVICES

Vendor will provide certain Digital and Physical Media Services, including, without limitation, access to the Hoopla Platform, which allows libraries to provide their users with access to digital media content using smart phones, tablets, computers, streaming devices, and web browsers.

As to Physical Media Services, Vendor will fulfill orders for physical media as placed by the City and in accordance with Vendor's standard terms for the sale of physical media.

The chart below describes the distribution models included in Midwest Tape's hoopla offering as of the Effective Date, including the digital media licenses that are available via the Digital Media Platform.

	Instant Borrows	Flex Borrows
License type	PPU (Pay-Per Use)	OCOU (One-Copy/One-User)
Circulations / Borrows	An **Instant Title** is a work that is available for simultaneous access by multiple users. Instant Titles may be accessed via **PPU Circulations**, otherwise referred to as **Instant Borrows**, each of which allows a user to stream, download, and/or access the chosen Instant Title, or collection of Titles (*e.g.*, a "Binge Pass", described below), for a limited time that terminates upon the expiration of a fixed period or earlier "return" by the user. Instant Borrows are available regardless of whether another user has borrowed the same title for use at the same time. For each Instant Borrow, the Library purchases one **Instant License** to authorize that particular borrow. A "**Binge Pass**" is an Instant Borrow that provides the borrower access to a collection of titles, either directly through hoopla or through a third-party website or application.	A **Flex Title** is only available to one user at a time, via a digital **OCOU Circulation**, otherwise referred to as a **Flex Borrow**. If the Library has an available **Flex License** to a Flex Title, a Patron may activate a Flex Borrow and that license is digitally checked out and considered "in use." Other users cannot access that title during that borrow unless (i) the Library has purchased additional Flex Licenses to the same title, one of which is available at that time, or (ii) the same title also is available as an Instant Title. A Flex Borrow allows a user to stream, download, and/or access the title for a limited time that terminates upon the expiration of a fixed period or earlier "return" by the user.
Available Formats	All formats (audiobooks, eBooks, comics, movies, television, music, and magazines). Binge Passes are available only for select titles and may not be available for all formats.	Currently available only for audiobooks and eBooks.

Payment obligations	A **PPU-Circulation Fee** is charged for each Instant Borrow. The fees, which are listed on the Library Administration Website, vary by title and format, and are subject to change from time to time.	Where available, Flex Licenses may be ordered via the hoopla Digital Library Administration Website. The costs of these licenses vary by title and format. Fees for Flex Licenses are invoiced after each purchase (typically daily).

EXHIBIT B
PAYMENT RATES

Prices for materials will vary depending on the title and material being ordered/delivered to the CITY, with an annual agreement amount not to exceed $300,000.

EXHIBIT C
INSURANCE REQUIREMENTS

MINIMUM SCOPE OF INSURANCE

Coverage shall be at least as broad as:

1. **Commercial General Liability (CGL)**: Insurance Services Office (ISO) Form CG 00 01 12 07 covering CGL on an "occurrence" basis, including products-completed operations, personal & advertising injury, with limits no less than **$2,000,000** per occurrence. If a general aggregate limit applies, either the general aggregate limit shall apply separately to this project/location or the general aggregate limit shall be twice the required occurrence limit.
2. **Automobile Liability:** ISO Form Number CA 00 01 covering any auto (Code 1), or if Contractor has no owned autos, hired, (Code 8) and non-owned autos (Code 9), with limit no less than **$1,000,000** per accident for bodily injury and property damage.
3. **Workers' Compensation:** as required by the State of California, with Statutory Limits, and Employer's Liability Insurance with limit of no less than **$1,000,000** per accident for bodily injury or disease.

If the contractor maintains higher limits than the minimums shown above, the City requires and shall be entitled to coverage for the higher limits maintained by the contractor.

Other Insurance Provisions
The insurance policies are to contain, or be endorsed to contain, the following provisions:

Additional Insured Status

The City, its elected and appointed officials, employees, and agents are to be covered as insureds on the auto policy for liability arising out of automobiles owned, leased, hired or borrowed by or on behalf of the Contractor; and on the CGL policy with respect to liability arising out of work or operations performed by or on behalf of the Contractor including materials, parts or equipment furnished in connection with such work or operations. General liability coverage can be provided in the form of an endorsement to the Contractor's insurance (at least as broad as ISO Form CG 20 10, 11 85 or both CG 20 10 and CG 20 37 forms if later revisions used).

Primary Coverage

For any claims related to this contract, the **Contractor's insurance coverage shall be primary** insurance as respects the City, its elected and appointed officials, employees, and agents. Any insurance or self-insurance maintained by the City, its elected and appointed officials, employees, or agents shall be excess of the Contractor's insurance and shall not contribute with it.

Notice of Cancellation

Each insurance policy required above shall provide that **coverage shall not be canceled, except after thirty (30) days' prior written notice** (10 days for non-payment) has been given to the City.

Waiver of Subrogation

Contractor hereby grants to City a waiver of any right to subrogation which any insurer of said Contractor may acquire against the City by virtue of the payment of any loss under such insurance. Contractor agrees to obtain any endorsement that may be necessary to effect this waiver of subrogation, but this provision applies regardless of whether or not the City has received a waiver of subrogation endorsement from the insurer.

Deductibles and Self-Insured Retentions

Any deductibles or self-insured retentions must be declared to and approved by the City. The City may require the Contractor to purchase coverage with a lower deductible or retention or provide proof of ability to pay losses and related investigations, claim administration, and defense expenses within the retention.

Acceptability of Insurers

Insurance is to be placed with insurers with a current A.M. Best's rating of no less than A:VII, unless otherwise acceptable to the City.

Verification of Coverage

Contractor shall furnish the City with original certificates and amendatory endorsements or copies of the applicable policy language effecting coverage required by this clause. All certificates and endorsements are to be received and approved by the City before work commences. However, failure to obtain the required documents prior to the work beginning shall not waive the Contractor's obligation to provide them. The City reserves the right to require complete, certified copies of all required insurance policies, including endorsements required by these specifications, at any time.

CITY OF SAN MATEO

City Hall
330 W. 20th Avenue
San Mateo CA 94403
www.cityofsanmateo.org

Agenda Report

Agenda Number: 8 | Section Name: CONSENT CALENDAR | Account Number: 72-467 | File ID: 26-12645

TO: City Council

FROM: Alex Khojikian, City Manager

PREPARED BY: Public Works Department

MEETING DATE: October 05, 2026

SUBJECT:
Collection System Construction Management Services for Various Projects — Agreements

RECOMMENDATION:
Approve five-year agreements with three professional services firms, Tanner Pacific, Inc., 4Leaf, Inc., and Marina Construction Management, Inc., in amounts not to exceed $3,000,000 each, to provide as-needed construction management services for various sanitary sewer collection system projects and authorize the Public Works Director to execute the agreements in substantially the form presented and issue project-specific task orders under these agreements.

BACKGROUND:
The sanitary sewer collection system requires regular rehabilitation and various infrastructure upgrades to improve wastewater system capacity, flow management, and reduce inflow and infiltration to comply with regulatory requirements. Construction management services will provide as-needed support for future collection system improvement projects, which include sewer rehabilitations/repair, lift station rehabilitations/upgrades, and increased sewer capacity improvements related to new developments.

In May 2026, a Request for Qualifications (RFQ) for as-needed construction management services for post-Clean Water Program collection system projects was issued. Six firms responded to the RFQ. Staff evaluated the proposals based on proposal quality, key staff, project understanding, past performance, local experience, scope and approach, references, and skill set, and determined that three consultants were best qualified to provide the required services for the Clean Water Program: Tanner Pacific, Inc. (Tanner Pacific), 4Leaf, Inc. (4Leaf), and Marina Construction Management, Inc. (MCM). The three retained consultants may provide on-call construction management services for collection system evaluation and rehabilitation needs.

Staff recommends awarding agreements to Tanner Pacific, 4Leaf, and MCM, each in an amount not to exceed $3,000,000, for a five-year term through June 30, 2031. The scope of work for project-specific task orders will be determined on an as-needed basis and issued by the Public Works Director.

BUDGET IMPACT:
There are sufficient funds in the Annual Sanitary Sewer Rehabilitation (46s191) and Sanitary Sewer CCTV Inspection Program (46s193) project budgets to fund these three agreements.

ENVIRONMENTAL DETERMINATION:
Council action on this item is exempt from CEQA review under section 15061 (b)(3) of the CEQA Guidelines, since entering into a professional services contract will not have a significant effect on the environment. The resulting sewer collection system projects are Categorically Exempt from CEQA requirements under section 15301 of CEQA guidelines, as they will be

replacing existing facilities.

STRATEGIC PLAN ALIGNMENT
This staff report supports the Infrastructure initiative.

NOTICE PROVIDED
All meeting noticing requirements were met.

ATTACHMENTS
Att 1 – Proposed Agreement - Tanner Pacific, Inc.
Att 2 – Proposed Agreement - 4Leaf, Inc.
Att 3 – Proposed Agreement - Marina Construction Management, Inc.

STAFF CONTACT
Zach Silverman, Assistant Engineer
zsilverman@cityofsanmateo.org
(650) 522-7308

Laura Webb, Senior Engineer
lwebb@cityofsanmateo.org
(650) 522-7322

Thomas Williams, Engineering Manager
twilliams@cityofsanmateo.org
(650) 522-7307

AGREEMENT WITH TANNER PACIFIC, INC.
FOR PROFESSIONAL CONSULTANT SERVICES
FOR
POST-CLEAN WATER PROGRAM CONSULTING SERVICES FOR AS-NEEDED COLLECTION SYSTEM CONSTRUCTION MANAGEMENT SERVICES

This Agreement, made and entered into this day of _____, by and between the **CITY OF SAN MATEO**, a municipal corporation existing under the laws of the State of California ("CITY"), and Tanner Pacific, Inc., a corporation, ("CONSULTANT"), whose address is 274 Redwood Shores Parkway, Suite 607, Redwood City, CA 94065.

RECITALS:

A. CITY desires certain professional services hereinafter described.

B. CITY desires to engage CONSULTANT to provide these professional services by reason of its qualifications and experience for performing such services and CONSULTANT has offered to provide the required services on the terms and in the manner set forth herein.

NOW, THEREFORE, IT IS AGREED as follows:

SECTION 1 - SCOPE OF SERVICES

The scope of services to be performed by CONSULTANT under this Agreement is as described in Exhibit A to this Agreement, attached and incorporated by reference.

SECTION 2 - DUTIES OF CONSULTANT

CONSULTANT shall be responsible for the professional quality, technical accuracy and coordination of all work furnished by CONSULTANT under this Agreement. CONSULTANT shall, without additional compensation, correct or revise any errors or deficiencies in its work.

CONSULTANT represents that it is qualified to furnish the services described under this Agreement.

CONSULTANT shall be responsible for employing or engaging all persons necessary to perform the services of CONSULTANT.

CONSULTANT agrees to comply with the City's minimum wage ordinance as codified in Municipal Code Chapter 5.92, which differs from the state minimum wage and includes a Consumer Price Index escalator.

SECTION 3 - DUTIES OF CITY

CITY shall provide pertinent information regarding its requirements for the project.

CITY shall examine documents submitted by CONSULTANT and shall render decisions pertaining thereto promptly, to avoid unreasonable delay in the progress of CONSULTANT's work.

SECTION 4 - TERM

This Agreement shall be valid for a duration of five (5) years. The services to be performed under this Agreement shall commence upon execution of the Agreement and be completed on June 30, 2031.

SECTION 5 - PAYMENT

Payment shall be made by CITY only for services rendered and upon submission of a payment request upon completion and CITY approval of the work performed. In consideration for the full performance of the services set forth in Exhibit A, CITY agrees to pay CONSULTANT a fee in an amount of $3,000,000, pursuant to rates stated in Exhibit B to this Agreement, attached and incorporated by reference.

SECTION 6 - TERMINATION

Without limitation to such rights or remedies as CITY shall otherwise have by law, CITY shall have the right to terminate this Agreement or suspend work on the Project for any reason, upon ten (10) days' written notice to CONSULTANT. CONSULTANT agrees to cease all work under this Agreement upon receipt of said written notice. Upon the date stipulated in the ten (10) days' written notice. CITY shall reimburse CONSULTANT for all services rendered at the time of termination.

Upon termination and upon CITY's payment of the amount required to be paid, documents become the property of CITY, and CONSULTANT shall transfer them to CITY upon request without additional compensation.

SECTION 7 - OWNERSHIP OF DOCUMENTS

All documents prepared by CONSULTANT in the performance of this Agreement, although instruments of professional service, are and shall be the property of CITY, whether the project for which they are made is executed or not.

SECTION 8 - CONFIDENTIALITY

All reports and documents prepared by CONSULTANT in connection with the performance of this Agreement are confidential until released by CITY to the public. CONSULTANT shall not make any such documents or information available to any individual or organization not employed by CONSULTANT or CITY without the written consent of CITY before any such release.

SECTION 9 - INTEREST OF CONSULTANT

CONSULTANT covenants that it presently has no interest, and shall not acquire any interest, direct or indirect, financial or otherwise, which would conflict in any manner or degree with the performance of the services under this Agreement.

SECTION 10 - CONSULTANT'S STATUS

It is expressly agreed that in the performance of the professional services required under this Agreement, CONSULTANT shall at all times be considered an independent contractor as defined in Labor Code Section 3353, under control of the CITY as to the result of the work but not the means by which the result is accomplished. Nothing herein shall be construed to make CONSULTANT an agent or employee of CITY while providing services under this Agreement.

SECTION 11 - INDEMNITY

CONSULTANT agrees to hold harmless and indemnify CITY, its elected and appointed officials, employees, volunteers, and agents from and against any and all claims, loss, liability, damage, and expense arising out of CONSULTANT's performance of this Agreement, except those claims arising out of CITY's sole negligence or willful misconduct. CONSULTANT agrees to defend City, its elected and appointed officials, employees, volunteers, and agents against any such claims. The CONSULTANT'S duty to indemnify shall survive expiration or early termination of this Agreement.

SECTION 12 - INSURANCE

CONSULTANT shall procure and maintain for the duration of the contract and three years thereafter (five years for building or major improvements) the insurance specified in Exhibit C to this Agreement.

SECTION 13 - NON-ASSIGNABILITY

Both parties hereto recognize that this Agreement is for the personal services of CONSULTANT and cannot be transferred, assigned, or subcontracted by CONSULTANT without the prior written consent of CITY.

SECTION 14 - RELIANCE UPON PROFESSIONAL SKILL OF CONSULTANT

It is mutually understood and agreed by and between the parties hereto that CONSULTANT is skilled in the professional calling necessary to perform the work agreed to be done under this Agreement and that CITY relies upon the skill of CONSULTANT to do and perform the work in accordance with the standard of care applicable to professionals performing similar services in the same or similar locality under similar circumstances, and CONSULTANT agrees to thus perform the work. The acceptance of CONSULTANT's work by CITY does not operate as a release of CONSULTANT from said obligation. CONSULTANT shall not be responsible for errors or omissions to the extent resulting from inaccurate information, documents, or directives provided by CITY.

SECTION 15 - WAIVERS

The waiver by either party of any breach or violation of any term, covenant, or condition of this Agreement or of any provisions of any ordinance or law shall not be deemed to be a waiver of such term, covenant, condition, ordinance or law or of any subsequent breach or violation of the same or of any other term, condition, ordinance, or law. The subsequent acceptance by either party of any fee or other money which may become due hereunder shall not be deemed to be a waiver of any preceding breach or violation by the other party of any term, covenant, or condition of this Agreement or of any applicable law or ordinance.

SECTION 16 - SEVERABILITY

If any term or portion of this Agreement is held to be invalid, illegal, or otherwise unenforceable by a court of competent jurisdiction, the remaining provisions of this Agreement shall continue in full force and effect.

SECTION 17 - COSTS AND ATTORNEY FEES

Attorney fees in total amount not exceeding $5000, shall be recoverable as costs (by the filing of a cost bill) by the prevailing party in any action or actions to enforce the provisions of this Agreement. The above $5000 limit is the total of attorney fees recoverable whether in the trial court, appellate court, or otherwise, and regardless of the number of attorneys, trials, appeals, or actions. It is the intent of this Agreement that neither party shall have to pay the other more than $5000 for attorney fees arising out of an action, or actions to enforce the provisions of this Agreement.

SECTION 18 - NON-DISCRIMINATION

CONSULTANT warrants that it is an Equal Opportunity Employer and shall comply with applicable regulations governing equal employment opportunity. Neither CONSULTANT nor any of its subcontractors shall discriminate in the employment of any person because of race, color, national origin, ancestry, physical handicap, medical condition, marital status, sex, or age, unless based upon a bona fide occupational qualification pursuant to the California Fair Employment and Housing Act.

SECTION 19 - MEDIATION

Should any dispute arise out of this Agreement, any party may request that it be submitted to mediation. The parties shall meet in mediation within 30 days of a request. The mediator shall be agreed to by the mediating parties; in the absence of an agreement, the parties shall each submit one name from mediators listed by either the American Arbitration Association, the State Mediation and Conciliation Service, or other agreed-upon service. The mediator shall be selected by a blind draw.

The cost of mediation shall be borne equally by the parties. Neither party shall be deemed the prevailing party. No party shall be permitted to file a legal action without first meeting in mediation and making a good faith attempt to reach a mediated settlement. The mediation process, once commenced by a meeting with the mediator, shall last until agreement is reached by the parties but not more than 60 days, unless the maximum time is extended by the parties.

SECTION 20 - LITIGATION

CONSULTANT shall testify at CITY'S request if litigation is brought against CITY in connection with CONSULTANT's services under this Agreement. Unless the action is brought by CONSULTANT, or is based upon CONSULTANT's wrongdoing, CITY shall compensate CONSULTANT for preparation for testimony, testimony, and travel at CONSULTANT's standard hourly rates at the time of actual testimony.

SECTION 21 - NOTICES

All notices hereunder shall be given in writing and mailed, postage prepaid, addressed as follows:

To CITY:
Laura Webb
City of San Mateo
330 W. 20th Avenue
San Mateo, CA 94403

To CONSULTANT:
Tanner Pacific, Inc.
Attn: Masih Hamkar
274 Redwood Shores Parkway, Suite 607
Redwood City, CA, 94065

SECTION 22 - AGREEMENT CONTAINS ALL UNDERSTANDINGS; AMENDMENT

This document represents the entire and integrated agreement between CITY and CONSULTANT and supersedes all prior negotiations, representations, and agreements, either written or oral.

This document may be amended only by written instrument, signed by both CITY and CONSULTANT.

SECTION 23 - CONFLICTS

In the event of any conflict between the provisions of this Agreement and any other referenced exhibit or document attached to this Agreement, the language and terms of this Agreement shall control.

SECTION 24 - AUTHORITY TO ENTER INTO AGREEMENT

CONSULTANT has all requisite power and authority to conduct its business and to execute, deliver, and perform the Agreement. Each party warrants that the individuals who have signed this Agreement have the legal power, right, and authority to make this Agreement and to bind each respective party.

SECTION 25 - GOVERNING LAW AND VENUE

This Agreement shall be governed by the laws of the State of California and, in the event of litigation, venue will be in the County of San Mateo.

[SIGNATURE PAGE FOLLOWS]

IN WITNESS WHEREOF, CITY OF SAN MATEO and TANNER PACIFIC, INC. have executed this Agreement the day and year first above written.

CITY OF SAN MATEO		CONSULTANT	
Matt Fabry Public Works Director	Date	William Tanner Its Authorized Agent President If a Corporation, can be either 1) President or 2) Vice President plus an additional corporate officer (i.e., Secretary, Treasurer) who shall sign below.	Date
APPROVED AS TO FORM		ADDITIONAL CORPORATE OFFICER (if necessary per the above)	
Linh Nguyen Assistant City Attorney	Date	<Insert Name> <Insert Title>	Date

Attachments:

Exhibit A: Scope of Services
Exhibit B: Fee Rates
Exhibit C: Insurance Requirements

EXHIBIT A

SCOPE OF SERVICES

ATTACHMENT A

Scope of Services

City of San Mateo
Post-Clean Water Program
Request for Qualifications
Consulting Services for
As-Needed Collection System
Construction Management Services

Scope of Services

Task 1 – General Services

Project management and coordination include tasks that will be performed by the Consultant throughout the project.

These services include:

General Project Management and Coordination
Risk Management
Quality Control
Management of Subconsultants and Subcontractors, if applicable
Agency Coordination and City Meeting Support

Task 1.1 – Project Management

Task 1.1.1 – General Management

The Consultant will be responsible for detailed management of the project, including subconsultants and subcontractors, and will keep the City/Construction Management Lead (CML) appraised of the status of the project.

The Consultant will provide the key management personnel as described in their proposal on this project. The Consultant will not reassign the key project personnel without prior approval of the City/CML per the Standard Agreement for Professional Consultant Services.

Task 1.1.2 – Progress Report

The Consultant will prepare and submit monthly progress reports that include a narrative of the work completed by task and project invoicing. The invoices will comply with Program standards and document the following:

- The man-hours and billing rates for staff for each task in the WBS
- All direct expenses or other costs incurred.
- The current and previous billing period invoice amounts.
- The budget spent, budget remaining, and cost to complete.
- Backup documentation for all expenses.

The invoice amounts will be split by project in the event Consultant is working on more than one Project.

Task 1.2 – Risk Management

The Consultant will participate in risk reviews for the development and maintenance of a project risk register in coordination with the Program's risk management team. A risk meeting will be held at the start of each phase of the project. Each meeting will be about one hour in length.

Task 1.3 – Quality Control

The Consultant will develop a Quality Assurance/Quality Control (QA/QC) Plan for implementation of the Scope of Work. The Consultant's QA/QC Plan will be reviewed and approved by the City Project Manager and will include or reference all the controls necessary for implementation.

Task 1.4 – Management of Subconsultants and Subcontractors

If the Consultant requires the services of any subconsultants or subcontractors, then the Consultant will include a list of them in the proposal, explain why they are needed, and provide a general description of their effort.

The Consultant will manage the activities of subconsultants and subcontractors during performance of the project. All requirements of the contract shall also apply to subconsultants and subcontractors.

Task 1.5 – Agency Coordination

The Consultant will assist the City in coordinating the project with various local/county, state/regional, and federal agencies. This task includes attending meetings, as needed, with applicable agencies, providing meeting minutes, and providing project information and exhibits to the agencies. This task is established as an allowance task and shall only be used when specifically requested by the City in writing. Costs for this task shall be invoiced as a separate line item and shall include a copy of the authorization from the City.

Deliverables

Monthly progress reports, including progress narrative, invoices and financial details.

Task 2 – Construction Management Services

1. Prepare and submit a Construction Management Plan prior to start of project work. This Plan is to be read in conjunction with Clean Water Program (CWP) Program Management Plan (PMP) and Construction Management Guidelines.

2. Project and Contract Administration:

   (a) Coordinate pre-construction and weekly progress meetings and prepare and distribute agenda and meeting minutes. The meeting minutes shall capture key points of information shared, including any issues discussed, directions given, decisions made, and action items assigned.

   (b) Evaluate the Construction Contractor's contract schedule for actual versus planned progress and document all scheduling discrepancies and deviation, including baseline schedule review and acceptance; monthly schedule update reviews; review and approval of schedule changes; and schedule recovery plans.

   (c) Prepare and respond to Time Impact Analysis (TIA).

   (d) Communicate effectively and coordinate with Construction Contractor, Project Manager, Program Manager, Program Team, City Operations and Maintenance (O&M), Design Engineer, and Public Outreach Team.

   (e) Coordinate project access to City O&M and Project Manager during Construction and Repair of Collection Sewers in City Streets.

   (f) Assist Project Manager and City with Public outreach activities, including responding to community inquiries related to the project.

   (g) Prepare and submit Construction monthly progress reports along with monthly payment invoice.

   (h) Construction Monthly progress reports shall include the following:

      (i) Overview of work accomplished, including photos;

      (ii) Safety Records;

      (iii) Outstanding and potential issues;

(iv) Work to be completed the following month;

(v) Updated schedule of work;

(vi) Explanations for deviations from the initial schedule;

(vii) Cost status and forecast;

(viii) Potential changes and force accounts;

(ix) Overview of quality of work;

(x) Overview of project communications;

(xi) Explanation of any upcoming risks/problem areas and corrective action to be taken.

(i) Review Construction Contractor's conduct for compliance with contract documents, environmental documents, state laws, etc.

(j) Review Construction Contractor's submittals for compliance with contract documents and coordinate with Program Manager, Project Manager, City and Design Engineer review.

(k) Review Construction Contractor's Requests for Information (RFI) and coordinate with Project Manager, City and Design Engineer for resolution and response where appropriate. Log all RFIs and associated responses.

(l) Review, approve, and maintain Schedule of Values.

(m) Review Construction Contractor's monthly invoices and recommend payment requests.

(n) Monitor and ensure the Contractor, including their Sub-Contractors' upload monthly their Certified Payrolls to the State of California Department of Industrial Relations (DIR) Public Web Site to ensure compliance of the monthly hours worked by all craft and labor workforce onsite. This includes the General Contractor and Consultant's craft/labor employees performing work onsite and their related work hours completed and reported each month.

    a. For projects in which a third-party labor compliance firm is engaged, review monthly Labor Compliance Reports and coordinate resolution of potential issues.

(o) Provide Construction Contractor with acceptability or deficiencies in work and required actions for contract compliance.

(p) Provide information to Construction Contractor for its detailed and feasible system outage requests.

(q) Review all shutdown requests (MOPs) and contingency plans for feasibility and reliability. Coordinate MOPs with Project Manager, City O&M, Design Engineer and other stakeholders.

(r) Coordinate all system outage requests and general construction activity with Construction Contractor, City Operations and Maintenance (O&M), Design Engineer and other stakeholders to ensure adequate operations of facilities.

(s) Maintain project document files.

(t) Track and manage all communications to assure response compliance.

(u) Prepare responses to correspondence in a timely manner.

(v) Utilize the Procore project documentation website furnished by the City of San Mateo.

(w) Monitor Contractor Quality Control Program.

(x) Prepare Non-Conformance Notice (NTC) and Coordinate Resolution.

(y) Coordinate with Public Works Personnel for review of any PLC/SCADA submittals against the Public Works SCADA standards, as well as for startup and testing support related to the SCADA standards as needed.

(z) Coordinate testing, startup and commissioning, including:

(xii) Coordinate review and acceptance of Testing, Commissioning, and Startup Plans.

(xiii) Monitor facility, equipment, SCADA and performance testing. Coordinate review and approval of test results.

(xiv) Monitor Receipt of Testing results forms.

(xv) Conduct Witness Testing.

(xvi) Review & Approve submitted test results.

(xvii) Track deficient test results or repair work.

3. Construction Observation/Inspection:

(a) Inspect and observe Construction Contractor's work daily for compliance with the contract documents.

(b) Maintain daily inspection reports of work, including photos, descriptions of daily activities, any corrective actions to be taken by Construction Contractor, persons and equipment onsite, and work to be completed the following day(s).

(c) Review materials and equipment delivered to site for compliance with submittals and contract documents.

(d) Coordinate material testing and specialty inspections (to be furnished by separate Consultant) as required in the contract documents.

(e) Review Construction Contractor's compliance with all permits, stormwater regulations and permits (Stormwater Pollution Prevention Plan [SWPPP]), environmental documents, and mitigation measures.

(f) Review Construction Contractor's compliance with health and safety standards and regulations, and report non-compliance.

(g) Conduct monthly monitoring of record documents to ensure proper maintenance and completion by Contractor.

(h) Maintain Completeness of Field Hard Copy Files.

(i) Confirm that preliminary O&M Manuals have been submitted and approved prior to scheduling training on a piece of equipment.

(j) Confirm training is complete prior to scheduling the parties for startup and testing of equipment.

4. Change Order Management:

(a) Prepare and issue Field Orders (FO)/Work Change Directives (WCD).

(b) Prepare and issue Requests for Proposals (RFP).

(c) Coordinate, review, and evaluate potential change orders for entitlement and merit review and negotiate change order pricing.

(d) Maintain change order log for construction activities, and track and communicate potential upcoming changes.

(e) Prepare and update monthly Change and Payment Summary (CPS).

(f) Coordinate, review, evaluate, and recommend course of action for contract change order requests and submittals.

(g) Prepare Change Request Forms (CRF) and Contract Change Orders.

(h) Conduct inspections and evaluate site conditions that are perceived to be different than shown in contract documents.

(i) Review, gather, and evaluate information for resolution of potential claims or disputes.

5. Project Closeout and Acceptance Services

(a) Conduct site inspection(s) to determine if facilities are complete and in compliance with contract documents. Coordinate with Design Engineer and other required staff to walk the site for developing corrective items of work list.

(b) Develop corrective item work lists (punch lists) and conduct inspection of corrective actions performed. Monitor Construction Contractor's correction of the items on the punch list for satisfactory completion.

(c) Consider and recommend final acceptance of work by the City.

(d) Recommend retention release to Construction Contractor.

(e) Prepare substantial completion certificate once corrective actions are complete and project is in compliance with contract documents to the satisfaction of the Program Manager.

(f) Verify all O&M Manual submittals as well as spare parts as required by the contract documents.

(g) Coordinate final submittal of organized and complete record drawings in accordance with contract documents.

(h) Confirm receipt of all special warranties, guarantees, spare parts, and additional maintenance materials.

(i) Review Construction Contractor as-builts and review for completeness and accuracy.

(j) Verify Construction Contractor has made all payments and that all required releases, including warranty release, lien release(s), and release of claims have been submitted by Construction Contractor.

(k) Prepare and submit final construction report.

Task 3 – General Construction Management Services

The following general construction management related services may be included depending on the project and will be defined on an as-needed basis in the request for proposal for each project Task Order.

1. Participate in meetings with Program staff and other stakeholders, review available documents and document management system, and visit project sites to accomplish program and project familiarization.

2. Perform as needed/miscellaneous preconstruction services as requested by Public Works Personnel up to the level of effort/budget established in this TO.

3. Perform constructability reviews of Contract Documents including plans, specifications, and construction schedules and document the review findings in a form agreed with Public Works Personnel.

   (a) The reviews shall consist of both intra-discipline and inter-discipline for Structural, Mechanical, Process, Civil, I&C, Electrical, Architectural and specialty disciplines such as Geotechnical and Environmental.

   (b) If applicable, the Consultant shall make recommendations for cost-effective alternative materials, and/or design concepts.

   (c) The review shall include but not be limited to the following:

      (i) Clarity, consistency, completeness, and ease of construction to achieve the overall project objectives.

      (ii) Detailed requirements of equipment procurement and fabrication.

      (iii) Identification of existing underground utilities.

      (iv) Detailed description of traffic control requirements, hours of work, trench closure procedures and maximum number of headings allowed.

      (v) Detailed description of third-party coordination requirements (e.g. utilities, Right of Entry permits, and worker training needed for working within railroad right-of-way (ROW), or work within CALTRANS ROW)

      (vi) Detailed description of closure periods for work near businesses, schools, or other events.

      (vii) Identification of interfaces and potential interfaces between adjacent contracts and confirmation they are clear and constructible.

      (viii) Front ends and General Requirements for consistency across projects, compatibility with City and other regulatory requirements, incorporation of effective tools for administering the contract and adequate definition of temporary facilities to expedite mobilization (including CM facilities).

      (ix) Specific requirements for major schedule milestones within each Contract to help ensure coordination with other Contracts and prevent interruptions to existing operations.

      (x) Biddability to minimize change orders and risks of bid protest. Review of bid list to include: verify bid items and quantities; make sure the correct pay sections are referenced; and approve the units of measurements included in the list. Verify bid list for incorporation of allowances for common City practice for expediting the work, such as permit fees, field orders and third-party utility coordination/costs.

4. Provide cost estimating and scheduling support, including review of Design Engineer opinions of probable construction cost and preliminary construction schedules.

5. Provide as-needed CMS support under the direction of the CML including consultation, review of cost proposals/estimates, construction schedules and construction contract items. Said support will not be construed as taking on contractor responsibilities for construction means and methods, safety, budget, schedule, performance, etc.

EXHIBIT B

PAYMENT RATES

RATE AND COST SCHEDULE

TANNER PACIFIC, INC

As of September 1, 2026

Team Member	Title	Raw Labor Cost[1]	Raw Labor Cost with 1% Escalation[2]	Fringe Benefits % of Direct Wages[3]	Overhead % of Direct Wages[4]	Subtotal	Profit: %	Loaded Hourly Billing Rates	
								Straight	Overtime
Armando Lopez	Principal in Charge	$ 123.53	$ 124.76	35.00%	97.50%	$ 290.07	10%	$ 319.08	$ 380.85
Masih Hamkar	Project Manager	$ 91.62	$ 92.54	35.00%	97.50%	$ 215.15	10%	$ 236.66	$ 282.47
Alex Garibay	Estimator	$ 123.80	$ 125.03	35.00%	97.50%	$ 290.70	10%	$ 319.77	$ 381.67
Jason Quitugua	Project Engineer	$ 50.38	$ 50.88	58.00%	97.50%	$ 130.01	10%	$ 143.01	$ 168.20
Daniel Huebner	Lead Inspector	$ 71.00	$ 71.71	58.00%	97.50%	$ 183.22	10%	$ 201.54	$ 237.04
Julio Murga	Inspector	$ 71.34	$ 72.05	58.00%	97.50%	$ 184.10	10%	$ 202.51	$ 238.18
Sarah Adams	Document Controller	$ 64.78	$ 65.43	58.00%	97.50%	$ 167.17	10%	$ 183.89	$ 216.28
Ahmad Jamizada	Project Engineer	$ 48.39	$ 48.87	58.00%	97.50%	$ 124.87	10%	$ 137.36	$ 161.56
Principal in Charge		$ 123.53	$ 124.76	35.00%	97.50%	$ 290.07	10%	$ 319.08	$ 380.85
Estimator		$ 123.80	$ 125.03	35.00%	97.50%	$ 290.70	10%	$ 319.77	$ 381.67
Project Manager		$ 105.00	$ 106.05	58.00%	97.50%	$ 270.96	10%	$ 298.05	$ 350.55
CM		$ 95.00	$ 95.95	58.00%	97.50%	$ 245.15	10%	$ 269.67	$ 317.17
Project Engineer		$ 65.00	$ 65.65	58.00%	97.50%	$ 167.74	10%	$ 184.51	$ 217.01
Inspector		$ 80.00	$ 80.80	58.00%	97.50%	$ 206.44	10%	$ 227.09	$ 267.09

Rate Fee Basis:

[1] Current raw labor rates.

[2] If a contract starts within one (1) quarter from when the Consultant would normally increase their employee rates, an increase up to 1% is allowed for all staff working in the first year, to begin at the starting date of the contract, and will be frozen until the anniversary of the contract. This will cover anticipated first year salary increases. Thereafter, a maximum 3% increase for all staff working on the project from year 1 will apply.

[3] Fringe benefits include costs associated with compensated time off, holidays, PTO and other paid leave, group benefits, medical, dental, vision, long-term care and life insurance, retirement benefits, safe harbor and profit-sharing contributions, payroll taxes, Social Security and Medicare (FICA), federal and state unemployment taxes, training funds, and workers' compensation.

[4] Overhead expenses include costs associated with indirect labor, facilities and occupancy, repairs and maintenance, rent, utilities, office operations and supplies, furniture, equipment and tools, professional development, risk and compliance, professional liability and business insurance, safety, technology and software, internet and network services, telephones and tablets, vehicles and related fuel and maintenance, business taxes, accounting and payroll, and legal and business practices.

Expenses:

1. Technology items included in hourly billing rate (includes laptop, software (non CADD), and phone)
2. Bay Area Staff - Personal use vehicles for Project Business and Visits to Sites - Vehicle Mileage (per mile) at Current Federal Travel Regulation (FTR).
3. Non-Bay Area Staff
- Travel meals and hotel at Federal GSA per diem rate/day as published on the USGSA website.
- Rental car, airline tickets, and other miscellaneous travel costs at actual cost. Receipts for all costs over $25 shall be maintained and submitted with invoices.
4. Subconsultant charges at cost plus 5% markup. (Above rate for subconsultant does not include 5% markup)
5. Outside printing services at cost, with prior approval.
6. Other direct project related costs at cost, with prior approval.

Other:

1. Budget changes, rate increase, and any allocation of contingency dollars shall be approved by the City Program Manager in advance of incurring any cost.
2. The Principal in Charge and Estimator are anticipated to have limited involvement and minimal billable hours under this agreement.

RATE AND COST SCHEDULE

TANNER PACIFIC, INC

As of September 1, 2026

Team Member	Title	Loaded Hourly Billing Rates (2026- Jun 2027) 1% Escalation	Loaded Hourly Billing Rates (Jun 2027 - Jun 2028) 3% Escalation	Loaded Hourly Billing Rates (Jun 2028 - Jun 2029) 3% Escalation	Loaded Hourly Billing Rates (Jun 2029 - Jun 2030) 3% Escalation	Loaded Hourly Billing Rates (Jun 2030 - Jun 2031) 3% Escalation
Armando Lopez	Principal in Charge	$ 319.08	$ 328.65	$ 338.51	$ 348.67	$ 359.13
Masih Hamkar	Project Manager	$ 236.66	$ 243.76	$ 251.07	$ 258.61	$ 266.36
Alex Garibay	Estimator	$ 319.77	$ 329.37	$ 339.25	$ 349.43	$ 359.91
Jason Quitugua	Project Engineer	$ 143.01	$ 147.30	$ 151.72	$ 156.27	$ 160.96
Daniel Huebner	Lead Inspector	$ 201.54	$ 207.59	$ 213.81	$ 220.23	$ 226.84
Julio Murga	Inspector	$ 202.51	$ 208.58	$ 214.84	$ 221.28	$ 227.92
Sarah Adams	Document Controller	$ 183.89	$ 189.41	$ 195.09	$ 200.94	$ 206.97
Ahmad Jamizada	Project Engineer	$ 137.36	$ 141.48	$ 145.73	$ 150.10	$ 154.60
Principal in Charge		$ 319.08	$ 328.65	$ 338.51	$ 348.67	$ 359.13
Estimator		$ 319.77	$ 329.37	$ 339.25	$ 349.43	$ 359.91
Project Manager		$ 298.05	$ 307.00	$ 316.20	$ 325.69	$ 335.46
CM		$ 269.67	$ 277.76	$ 286.09	$ 294.67	$ 303.51
Project Engineer		$ 184.51	$ 190.04	$ 195.75	$ 201.62	$ 207.67
Inspector		$ 227.09	$ 233.90	$ 240.92	$ 248.15	$ 255.59

RATE SCHEDULE

Knight CM Group

June 1, 2026 through June 1, 2031

Begin	End	Team Member	Raw Labor Cost	Escalation	Fringe Benefits (% of Direct Wages)	Overhead (% of Direct Wages)	Subtotal	Profit %	Hourly Billing Rate
6/1/2026	12/31/2026	Nick Panayotou, PE	$109.83		$44.26	$77.73	$231.82	$23.18	$255.00
1/1/2027	12/31/2027	Nick Panayotou, PE	$110.93	1%	$44.70	$78.51	$234.14	$23.41	$257.56
1/1/2028	12/31/2028	Nick Panayotou, PE	$114.26	3%	$46.04	$80.87	$241.17	$24.12	$265.28
1/1/2029	12/31/2029	Nick Panayotou, PE	$117.69	3%	$47.42	$83.29	$248.40	$24.84	$273.24
1/1/2030	12/31/2030	Nick Panayotou, PE	$121.22	3%	$48.85	$85.79	$255.85	$25.59	$281.44
1/1/2031	6/1/2031	Nick Panayotou, PE	$124.85	3%	$50.31	$88.36	$263.53	$26.35	$289.88

[1] Current raw labor rates.

[2] If a contract starts within one (1) quarter from when the Consultant would normally increase their employee rates, an increase up to 1% is allowed for all staff working in the first year, to begin at the starting date of the contract, and will be
frozen until the anniversary of the contract. This will cover anticipated first year salary increases.
Thereafter, a maximum 3% increase for all staff working on the project from year 1 will apply.

EXHIBIT C

INSURANCE REQUIREMENTS

MINIMUM SCOPE OF INSURANCE

Coverage shall be at least as broad as:

1. **Commercial General Liability (CGL)**: Insurance Services Office (ISO) Form CG 00 01 12 07 covering CGL on an "occurrence" basis, including products-completed operations, personal & advertising injury, with limits no less than **$2,000,000** per occurrence. If a general aggregate limit applies, either the general aggregate limit shall apply separately to this project/location or the general aggregate limit shall be twice the required occurrence limit.
2. **Automobile Liability:** ISO Form Number CA 00 01 covering any auto (Code 1), or if CONSULTANT has no owned autos, hired, (Code 8) and non-owned autos (Code 9), with limit no less than **$1,000,000** per accident for bodily injury and property damage.
3. **Workers' Compensation:** as required by the State of California, with Statutory Limits, and Employer's Liability Insurance with limit of no less than **$1,000,000** per accident for bodily injury or disease.
4. **Professional Liability (Errors and Omissions):** Insurance appropriate to the CONSULTANT's profession, with limit no less than **$1,000,000** per occurrence or claim, **$2,000,000** aggregate

If the CONSULTANT maintains higher limits than the minimums shown above, the City requires and shall be entitled to coverage for the higher limits maintained by the CONSULTANT.

Other Insurance Provisions
The insurance policies are to contain, or be endorsed to contain, the following provisions:

Additional Insured Status

The City, its elected and appointed officials, employees, volunteers, and agents are to be covered as insureds on the auto policy for liability arising out of automobiles owned, leased, hired or borrowed by or on behalf of the CONSULTANT; and on the CGL policy with respect to liability arising out of work or operations performed by or on behalf of the CONSULTANT including materials, parts or equipment furnished in connection with such work or operations. General liability coverage can be provided in the form of an endorsement to the CONSULTANT's insurance (at least as broad as ISO Form CG 20 10, 11 85 or both CG 20 10 and CG 20 37 forms if later revisions used).

Primary Coverage

For any claims related to this contract, the **CONSULTANT's insurance coverage shall be primary** insurance as respects the City, its elected and appointed officials, employees, volunteers, and agents. Any insurance or self-insurance maintained by the City, its elected and appointed officials, employees, volunteers, or agents shall be excess of the CONSULTANT's insurance and shall not contribute with it.

Notice of Cancellation

Each insurance policy required above shall provide that **coverage shall not be canceled, except after thirty (30) days' prior written notice** (10 days for non-payment) has been given to the City. If a Notice

of Cancellation endorsement is not available, CONSULTANT shall ensure the requisite Notice of Cancellation is specified in the Certificate of Insurance. In the event the Notice of Cancellation is not specified in the Certificate of Insurance, Consultant shall be responsible for providing the City the requisite notice as specified in this Exhibit C.

Waiver of Subrogation

CONSULTANT hereby grants to City a waiver of any right to subrogation which any insurer of said CONSULTANT may acquire against the City by virtue of the payment of any loss under such insurance. CONSULTANT agrees to obtain any endorsement that may be necessary to effect this waiver of subrogation, but this provision applies regardless of whether or not the City has received a waiver of subrogation endorsement from the insurer.

Deductibles and Self-Insured Retentions

Any deductibles or self-insured retentions must be declared to and approved by the City. The City may require the CONSULTANT to purchase coverage with a lower deductible or retention or provide proof of ability to pay losses and related investigations, claim administration, and defense expenses within the retention.

Acceptability of Insurers

Insurance is to be placed with insurers with a current A.M. Best's rating of no less than A:VII, unless otherwise acceptable to the City.

Verification of Coverage

CONSULTANT shall furnish the City with original certificates and amendatory endorsements or copies of the applicable policy language effecting coverage required by this clause. All certificates and endorsements are to be received and approved by the City before work commences. However, failure to obtain the required documents prior to the work beginning shall not waive the CONSULTANT's obligation to provide them. The City reserves the right to require complete, certified copies of all required insurance policies, including endorsements required by these specifications, at any time.

AGREEMENT WITH 4LEAF, INC.
FOR PROFESSIONAL CONSULTANT SERVICES
FOR
POST-CLEAN WATER PROGRAM CONSULTING SERVICES FOR AS-NEEDED COLLECTION SYSTEM CONSTRUCTION MANAGEMENT SERVICES

This Agreement, made and entered into this day of _____, by and between the **CITY OF SAN MATEO**, a municipal corporation existing under the laws of the State of California ("CITY"), and 4Leaf, Inc., a corporation, ("CONSULTANT"), whose address is 2126 Rheem Drive, Pleasanton, CA 94588.

RECITALS:

A. CITY desires certain professional services hereinafter described.

B. CITY desires to engage CONSULTANT to provide these professional services by reason of its qualifications and experience for performing such services and CONSULTANT has offered to provide the required services on the terms and in the manner set forth herein.

NOW, THEREFORE, IT IS AGREED as follows:

SECTION 1 - SCOPE OF SERVICES

The scope of services to be performed by CONSULTANT under this Agreement is as described in Exhibit A to this Agreement, attached and incorporated by reference.

SECTION 2 - DUTIES OF CONSULTANT

CONSULTANT shall be responsible for the professional quality, technical accuracy and coordination of all work furnished by CONSULTANT under this Agreement. CONSULTANT shall, without additional compensation, correct or revise any errors or deficiencies in its work.

CONSULTANT represents that it is qualified to furnish the services described under this Agreement.

CONSULTANT shall be responsible for employing or engaging all persons necessary to perform the services of CONSULTANT.

CONSULTANT agrees to comply with the City's minimum wage ordinance as codified in Municipal Code Chapter 5.92, which differs from the state minimum wage and includes a Consumer Price Index escalator.

SECTION 3 - DUTIES OF CITY

CITY shall provide pertinent information regarding its requirements for the project.

CITY shall examine documents submitted by CONSULTANT and shall render decisions pertaining thereto promptly, to avoid unreasonable delay in the progress of CONSULTANT's work.

SECTION 4 - TERM

This Agreement shall be valid for a duration of five (5) years. The services to be performed under this Agreement shall commence upon execution of the Agreement and be completed on June 30, 2031.

SECTION 5 - PAYMENT

Payment shall be made by CITY only for services rendered and upon submission of a payment request upon completion and CITY approval of the work performed. In consideration for the full performance of the services set forth in Exhibit A, CITY agrees to pay CONSULTANT a fee in an amount of $3,000,000, pursuant to rates stated in Exhibit B to this Agreement, attached and incorporated by reference.

SECTION 6 - TERMINATION

Without limitation to such rights or remedies as CITY shall otherwise have by law, CITY shall have the right to terminate this Agreement or suspend work on the Project for any reason, upon ten (10) days' written notice to CONSULTANT. CONSULTANT agrees to cease all work under this Agreement upon receipt of said written notice.

Upon termination and upon CITY's payment of the amount required to be paid, documents become the property of CITY, and CONSULTANT shall transfer them to CITY upon request without additional compensation.

SECTION 7 - OWNERSHIP OF DOCUMENTS

All documents prepared by CONSULTANT in the performance of this Agreement, although instruments of professional service, are and shall be the property of CITY, whether the project for which they are made is executed or not.

SECTION 8 - CONFIDENTIALITY

All reports and documents prepared by CONSULTANT in connection with the performance of this Agreement are confidential until released by CITY to the public. CONSULTANT shall not make any such documents or information available to any individual or organization not employed by CONSULTANT or CITY without the written consent of CITY before any such release.

SECTION 9 - INTEREST OF CONSULTANT

CONSULTANT covenants that it presently has no interest, and shall not acquire any interest, direct or indirect, financial or otherwise, which would conflict in any manner or degree with the performance of the services under this Agreement.

SECTION 10 - CONSULTANT'S STATUS

It is expressly agreed that in the performance of the professional services required under this Agreement, CONSULTANT shall at all times be considered an independent contractor as defined in Labor Code Section 3353, under control of the CITY as to the result of the work but not the means by which the result is accomplished. Nothing herein shall be construed to make CONSULTANT an agent or employee of CITY while providing services under this Agreement.

SECTION 11 - INDEMNITY

CONSULTANT agrees to hold harmless and indemnify CITY, its elected and appointed officials, employees, volunteers, and agents from and against any and all claims, loss, liability, damage, and expense arising out of CONSULTANT's performance of this Agreement, except those claims arising out of CITY's sole negligence or willful misconduct. CONSULTANT agrees to defend City, its elected and appointed officials, employees, volunteers, and agents against any such claims. The CONSULTANT'S duty to indemnify shall survive expiration or early termination of this Agreement.

SECTION 12 - INSURANCE

CONSULTANT shall procure and maintain for the duration of the contract and three years thereafter (five years for building or major improvements) the insurance specified in Exhibit C to this Agreement.

SECTION 13 - NON-ASSIGNABILITY

Both parties hereto recognize that this Agreement is for the personal services of CONSULTANT and cannot be transferred, assigned, or subcontracted by CONSULTANT without the prior written consent of CITY.

SECTION 14 - RELIANCE UPON PROFESSIONAL SKILL OF CONSULTANT

It is mutually understood and agreed by and between the parties hereto that CONSULTANT is skilled in the professional calling necessary to perform the work agreed to be done under this Agreement and that CITY relies upon the skill of CONSULTANT to do and perform the work in the most skillful manner, and CONSULTANT agrees to thus perform the work. The acceptance of CONSULTANT's work by CITY does not operate as a release of CONSULTANT from said obligation.

SECTION 15 - WAIVERS

The waiver by either party of any breach or violation of any term, covenant, or condition of this Agreement or of any provisions of any ordinance or law shall not be deemed to be a waiver of such term, covenant, condition, ordinance or law or of any subsequent breach or violation of the same or of any other term, condition, ordinance, or law. The subsequent acceptance by either party of any fee or other money which may become due hereunder shall not be deemed to be a waiver of any preceding breach or violation by the other party of any term, covenant, or condition of this Agreement or of any applicable law or ordinance.

SECTION 16 - SEVERABILITY

If any term or portion of this Agreement is held to be invalid, illegal, or otherwise unenforceable by a court of competent jurisdiction, the remaining provisions of this Agreement shall continue in full force and effect.

SECTION 17 - COSTS AND ATTORNEY FEES

Attorney fees in total amount not exceeding $5000, shall be recoverable as costs (by the filing of a cost bill) by the prevailing party in any action or actions to enforce the provisions of this Agreement. The above $5000 limit is the total of attorney fees recoverable whether in the trial court, appellate court, or otherwise, and regardless of the number of attorneys, trials, appeals, or actions. It is the intent of this Agreement that neither party shall have to pay the other more than $5000 for attorney fees arising out of an action, or actions to enforce the provisions of this Agreement.

SECTION 18 - NON-DISCRIMINATION

CONSULTANT warrants that it is an Equal Opportunity Employer and shall comply with applicable regulations governing equal employment opportunity. Neither CONSULTANT nor any of its subcontractors shall discriminate in the employment of any person because of race, color, national origin, ancestry, physical handicap, medical condition, marital status, sex, or age, unless based upon a bona fide occupational qualification pursuant to the California Fair Employment and Housing Act.

SECTION 19 - MEDIATION

Should any dispute arise out of this Agreement, any party may request that it be submitted to mediation. The parties shall meet in mediation within 30 days of a request. The mediator shall be agreed to by the mediating parties; in the absence of an agreement, the parties shall each submit one name from mediators listed by either the American Arbitration Association, the State Mediation and Conciliation Service, or other agreed-upon service. The mediator shall be selected by a blind draw.

The cost of mediation shall be borne equally by the parties. Neither party shall be deemed the prevailing party. No party shall be permitted to file a legal action without first meeting in mediation and making a good faith attempt to reach a mediated settlement. The mediation process, once commenced by a meeting with the mediator, shall last until agreement is reached by the parties but not more than 60 days, unless the maximum time is extended by the parties.

SECTION 20 - LITIGATION

CONSULTANT shall testify at CITY'S request if litigation is brought against CITY in connection with CONSULTANT's services under this Agreement. Unless the action is brought by CONSULTANT, or is based upon CONSULTANT's wrongdoing, CITY shall compensate CONSULTANT for preparation for testimony, testimony, and travel at CONSULTANT's standard hourly rates at the time of actual testimony.

SECTION 21 - NOTICES

All notices hereunder shall be given in writing and mailed, postage prepaid, addressed as follows:

To CITY:
Laura Webb
City of San Mateo
330 W. 20th Avenue
San Mateo, CA 94403

To CONSULTANT:
4Leaf, Inc.
Attn: Gene Barry
2126 Rheem Drive
Pleasanton, CA 94588

SECTION 22 - AGREEMENT CONTAINS ALL UNDERSTANDINGS; AMENDMENT

This document represents the entire and integrated agreement between CITY and CONSULTANT and supersedes all prior negotiations, representations, and agreements, either written or oral.

This document may be amended only by written instrument, signed by both CITY and CONSULTANT.

SECTION 23 - CONFLICTS

In the event of any conflict between the provisions of this Agreement and any other referenced exhibit or document attached to this Agreement, the language and terms of this Agreement shall control.

SECTION 24 - AUTHORITY TO ENTER INTO AGREEMENT

CONSULTANT has all requisite power and authority to conduct its business and to execute, deliver, and perform the Agreement. Each party warrants that the individuals who have signed this Agreement have the legal power, right, and authority to make this Agreement and to bind each respective party.

SECTION 25 - GOVERNING LAW AND VENUE

This Agreement shall be governed by the laws of the State of California and, in the event of litigation, venue will be in the County of San Mateo.

[SIGNATURE PAGE FOLLOWS]

IN WITNESS WHEREOF, CITY OF SAN MATEO and 4LEAF, INC. have executed this Agreement the day and year first above written.

CITY OF SAN MATEO		CONSULTANT	
Matt Fabry Public Works Director	Date	Gene Barry Its Authorized Agent Vice President If a Corporation, can be either 1) President or 2) Vice President plus an additional corporate officer (i.e., Secretary, Treasurer) who shall sign below.	Date
APPROVED AS TO FORM		ADDITIONAL CORPORATE OFFICER (if necessary per the above)	
Linh Nguyen Assistant City Attorney	Date	Kevin Duggan Secretary	Date

Attachments:

Exhibit A: Scope of Services
Exhibit B: Fee Rates
Exhibit C: Insurance Requirements

EXHIBIT A

SCOPE OF SERVICES

ATTACHMENT A

Scope of Services

City of San Mateo
Post-Clean Water Program
Request for Qualifications
Consulting Services for
As-Needed Collection System
Construction Management Services

Scope of Services

Task 1 – General Services

Project management and coordination include tasks that will be performed by the Consultant throughout the project.

These services include:

General Project Management and Coordination
Risk Management
Quality Control
Management of Subconsultants and Subcontractors, if applicable
Agency Coordination and City Meeting Support

Task 1.1 – Project Management

Task 1.1.1 – General Management

The Consultant will be responsible for detailed management of the project, including subconsultants and subcontractors, and will keep the City/Construction Management Lead (CML) appraised of the status of the project.

The Consultant will provide the key management personnel as described in their proposal on this project. The Consultant will not reassign the key project personnel without prior approval of the City/CML per the Standard Agreement for Professional Consultant Services.

Task 1.1.2 – Progress Report

The Consultant will prepare and submit monthly progress reports that include a narrative of the work completed by task and project invoicing. The invoices will comply with Program standards and document the following:

- The man-hours and billing rates for staff for each task in the WBS
- All direct expenses or other costs incurred.
- The current and previous billing period invoice amounts.
- The budget spent, budget remaining, and cost to complete.
- Backup documentation for all expenses.

The invoice amounts will be split by project in the event Consultant is working on more than one Project.

Task 1.2 – Risk Management

The Consultant will participate in risk reviews for the development and maintenance of a project risk register in coordination with the Program's risk management team. A risk meeting will be held at the start of each phase of the project. Each meeting will be about one hour in length.

Task 1.3 – Quality Control

The Consultant will develop a Quality Assurance/Quality Control (QA/QC) Plan for implementation of the Scope of Work. The Consultant's QA/QC Plan will be reviewed and approved by the City Project Manager and will include or reference all the controls necessary for implementation.

Task 1.4 – Management of Subconsultants and Subcontractors

If the Consultant requires the services of any subconsultants or subcontractors, then the Consultant will include a list of them in the proposal, explain why they are needed, and provide a general description of their effort.

The Consultant will manage the activities of subconsultants and subcontractors during performance of the project. All requirements of the contract shall also apply to subconsultants and subcontractors.

Task 1.5 – Agency Coordination

The Consultant will assist the City in coordinating the project with various local/county, state/regional, and federal agencies. This task includes attending meetings, as needed, with applicable agencies, providing meeting minutes, and providing project information and exhibits to the agencies. This task is established as an allowance task and shall only be used when specifically requested by the City in writing. Costs for this task shall be invoiced as a separate line item and shall include a copy of the authorization from the City.

Deliverables

Monthly progress reports, including progress narrative, invoices and financial details.

Task 2 – Construction Management Services

1. Prepare and submit a Construction Management Plan prior to start of project work. This Plan is to be read in conjunction with Clean Water Program (CWP) Program Management Plan (PMP) and Construction Management Guidelines.

2. Project and Contract Administration:

   (a) Coordinate pre-construction and weekly progress meetings and prepare and distribute agenda and meeting minutes. The meeting minutes shall capture key points of information shared, including any issues discussed, directions given, decisions made, and action items assigned.

   (b) Evaluate the Construction Contractor's contract schedule for actual versus planned progress and document all scheduling discrepancies and deviation, including baseline schedule review and acceptance; monthly schedule update reviews; review and approval of schedule changes; and schedule recovery plans.

   (c) Prepare and respond to Time Impact Analysis (TIA).

   (d) Communicate effectively and coordinate with Construction Contractor, Project Manager, Program Manager, Program Team, City Operations and Maintenance (O&M), Design Engineer, and Public Outreach Team.

   (e) Coordinate project access to City O&M and Project Manager during Construction and Repair of Collection Sewers in City Streets.

   (f) Assist Project Manager and City with Public outreach activities, including responding to community inquiries related to the project.

   (g) Prepare and submit Construction monthly progress reports along with monthly payment invoice.

   (h) Construction Monthly progress reports shall include the following:

      (i) Overview of work accomplished, including photos;

      (ii) Safety Records;

      (iii) Outstanding and potential issues;

(iv) Work to be completed the following month;

(v) Updated schedule of work;

(vi) Explanations for deviations from the initial schedule;

(vii) Cost status and forecast;

(viii) Potential changes and force accounts;

(ix) Overview of quality of work;

(x) Overview of project communications;

(xi) Explanation of any upcoming risks/problem areas and corrective action to be taken.

(i) Review Construction Contractor's conduct for compliance with contract documents, environmental documents, state laws, etc.

(j) Review Construction Contractor's submittals for compliance with contract documents and coordinate with Program Manager, Project Manager, City and Design Engineer review.

(k) Review Construction Contractor's Requests for Information (RFI) and coordinate with Project Manager, City and Design Engineer for resolution and response where appropriate. Log all RFIs and associated responses.

(l) Review, approve, and maintain Schedule of Values.

(m) Review Construction Contractor's monthly invoices and recommend payment requests.

(n) Monitor and ensure the Contractor, including their Sub-Contractors' upload monthly their Certified Payrolls to the State of California Department of Industrial Relations (DIR) Public Web Site to ensure compliance of the monthly hours worked by all craft and labor workforce onsite. This includes the General Contractor and Consultant's craft/labor employees performing work onsite and their related work hours completed and reported each month.

    a. For projects in which a third-party labor compliance firm is engaged, review monthly Labor Compliance Reports and coordinate resolution of potential issues.

(o) Provide Construction Contractor with acceptability or deficiencies in work and required actions for contract compliance.

(p) Provide information to Construction Contractor for its detailed and feasible system outage requests.

(q) Review all shutdown requests (MOPs) and contingency plans for feasibility and reliability. Coordinate MOPs with Project Manager, City O&M, Design Engineer and other stakeholders.

(r) Coordinate all system outage requests and general construction activity with Construction Contractor, City Operations and Maintenance (O&M), Design Engineer and other stakeholders to ensure adequate operations of facilities.

(s) Maintain project document files.

(t) Track and manage all communications to assure response compliance.

(u) Prepare responses to correspondence in a timely manner.

(v) Utilize the Procore project documentation website furnished by the City of San Mateo.

(w) Monitor Contractor Quality Control Program.

(x) Prepare Non-Conformance Notice (NTC) and Coordinate Resolution.

(y) Coordinate with Public Works Personnel for review of any PLC/SCADA submittals against the Public Works SCADA standards, as well as for startup and testing support related to the SCADA standards as needed.

(z) Coordinate testing, startup and commissioning, including:

(xii) Coordinate review and acceptance of Testing, Commissioning, and Startup Plans.

(xiii) Monitor facility, equipment, SCADA and performance testing. Coordinate review and approval of test results.

(xiv) Monitor Receipt of Testing results forms.

(xv) Conduct Witness Testing.

(xvi) Review & Approve submitted test results.

(xvii) Track deficient test results or repair work.

3. Construction Observation/Inspection:

(a) Inspect and observe Construction Contractor's work daily for compliance with the contract documents.

(b) Maintain daily inspection reports of work, including photos, descriptions of daily activities, any corrective actions to be taken by Construction Contractor, persons and equipment onsite, and work to be completed the following day(s).

(c) Review materials and equipment delivered to site for compliance with submittals and contract documents.

(d) Coordinate material testing and specialty inspections (to be furnished by separate Consultant) as required in the contract documents.

(e) Review Construction Contractor's compliance with all permits, stormwater regulations and permits (Stormwater Pollution Prevention Plan [SWPPP]), environmental documents, and mitigation measures.

(f) Review Construction Contractor's compliance with health and safety standards and regulations, and report non-compliance.

(g) Conduct monthly monitoring of record documents to ensure proper maintenance and completion by Contractor.

(h) Maintain Completeness of Field Hard Copy Files.

(i) Confirm that preliminary O&M Manuals have been submitted and approved prior to scheduling training on a piece of equipment.

(j) Confirm training is complete prior to scheduling the parties for startup and testing of equipment.

4. Change Order Management:

(a) Prepare and issue Field Orders (FO)/Work Change Directives (WCD).

(b) Prepare and issue Requests for Proposals (RFP).

(c) Coordinate, review, and evaluate potential change orders for entitlement and merit review and negotiate change order pricing.

(d) Maintain change order log for construction activities, and track and communicate potential upcoming changes.

(e) Prepare and update monthly Change and Payment Summary (CPS).

(f) Coordinate, review, evaluate, and recommend course of action for contract change order requests and submittals.

(g) Prepare Change Request Forms (CRF) and Contract Change Orders.

(h) Conduct inspections and evaluate site conditions that are perceived to be different than shown in contract documents.

(i) Review, gather, and evaluate information for resolution of potential claims or disputes.

5. Project Closeout and Acceptance Services

(a) Conduct site inspection(s) to determine if facilities are complete and in compliance with contract documents. Coordinate with Design Engineer and other required staff to walk the site for developing corrective items of work list.

(b) Develop corrective item work lists (punch lists) and conduct inspection of corrective actions performed. Monitor Construction Contractor's correction of the items on the punch list for satisfactory completion.

(c) Consider and recommend final acceptance of work by the City.

(d) Recommend retention release to Construction Contractor.

(e) Prepare substantial completion certificate once corrective actions are complete and project is in compliance with contract documents to the satisfaction of the Program Manager.

(f) Verify all O&M Manual submittals as well as spare parts as required by the contract documents.

(g) Coordinate final submittal of organized and complete record drawings in accordance with contract documents.

(h) Confirm receipt of all special warranties, guarantees, spare parts, and additional maintenance materials.

(i) Review Construction Contractor as-builts and review for completeness and accuracy.

(j) Verify Construction Contractor has made all payments and that all required releases, including warranty release, lien release(s), and release of claims have been submitted by Construction Contractor.

(k) Prepare and submit final construction report.

Task 3 – General Construction Management Services

The following general construction management related services may be included depending on the project and will be defined on an as-needed basis in the request for proposal for each project Task Order.

1. Participate in meetings with Program staff and other stakeholders, review available documents and document management system, and visit project sites to accomplish program and project familiarization.

2. Perform as needed/miscellaneous preconstruction services as requested by Public Works Personnel up to the level of effort/budget established in this TO.

3. Perform constructability reviews of Contract Documents including plans, specifications, and construction schedules and document the review findings in a form agreed with Public Works Personnel.

   (a) The reviews shall consist of both intra-discipline and inter-discipline for Structural, Mechanical, Process, Civil, I&C, Electrical, Architectural and specialty disciplines such as Geotechnical and Environmental.

   (b) If applicable, the Consultant shall make recommendations for cost-effective alternative materials, and/or design concepts.

   (c) The review shall include but not be limited to the following:

      (i) Clarity, consistency, completeness, and ease of construction to achieve the overall project objectives.

      (ii) Detailed requirements of equipment procurement and fabrication.

      (iii) Identification of existing underground utilities.

      (iv) Detailed description of traffic control requirements, hours of work, trench closure procedures and maximum number of headings allowed.

      (v) Detailed description of third-party coordination requirements (e.g. utilities, Right of Entry permits, and worker training needed for working within railroad right-of-way (ROW), or work within CALTRANS ROW)

      (vi) Detailed description of closure periods for work near businesses, schools, or other events.

      (vii) Identification of interfaces and potential interfaces between adjacent contracts and confirmation they are clear and constructible.

      (viii) Front ends and General Requirements for consistency across projects, compatibility with City and other regulatory requirements, incorporation of effective tools for administering the contract and adequate definition of temporary facilities to expedite mobilization (including CM facilities).

      (ix) Specific requirements for major schedule milestones within each Contract to help ensure coordination with other Contracts and prevent interruptions to existing operations.

      (x) Biddability to minimize change orders and risks of bid protest. Review of bid list to include: verify bid items and quantities; make sure the correct pay sections are referenced; and approve the units of measurements included in the list. Verify bid list for incorporation of allowances for common City practice for expediting the work, such as permit fees, field orders and third-party utility coordination/costs.

4. Provide cost estimating and scheduling support, including review of Design Engineer opinions of probable construction cost and preliminary construction schedules.

5. Provide as-needed CMS support under the direction of the CML including consultation, review of cost proposals/estimates, construction schedules and construction contract items. Said support will not be construed as taking on contractor responsibilities for construction means and methods, safety, budget, schedule, performance, etc.

EXHIBIT B

PAYMENT RATES

4LEAF Fee Schedule to Provide On-Call Construction Management Services for the City of San Mateo Public Works Department Collection System Projects

Construction Management and Inspection Services

	Fiscal Year (July 01 – June 30)				
Staff Designation	**2026 / 2027**	**2027 / 2028**	**2028 / 2029**	**2029/2030**	**2030 / 3031**
Principal-in-Charge*	$257.50	$265.23	$273.19	$281.39	$289.83
Construction Manager*	$247.20	$254.62	$262.26	$270.13	$278.23
Public Works Inspector (Regular Time)**	$180.25	$185.66	$191.23	$196.97	$202.88
Public Works Inspector (Night Time)**	$202.78	$208.86	$215.13	$221.59	$228.24
Public Works Inspector (Overtime 1)**	$243.34	$250.64	$258.16	$265.91	$273.88
Public Works Inspector (Overtime 2)**	$333.46	$343.47	$353.77	$364.39	$375.32
Public Works Inspector (Overtime 3)**	$423.59	$436.30	$449.39	$462.87	$476.76
Project Administrative Assistant*	$97.85	$100.77	$103.79	$106.90	$110.11
Public Works Inspector Apprentice**	$100.94 - $154.50	$103.96 - $159.14	$107.88 - $163.91	$111.12 - $168.83	$114.45 - $173.89

All Fees shown include Annual Escalation of 3% at the start of each fiscal year (July 1).

****Staff category subject to California Prevailing Wage Rate Requirements.***

BASIS OF CHARGES

A. Rates shown assume projects under this on-call contract will require compliance with California Prevailing Wage rate requirements and assumes the Client will be filing a PWC-100 Form to the California Department of Industrial Relations (DIR) for the project.

B. Rates for prevailing wage categories are subject to annual escalations in accordance with the bi-annual wage determinations from the California DIR. Rates based on California DIR's wage determinations dated February 2026.

C. Per the requirements being enforced under SB 854 and because it is assumed that a PWC-100 Form will be filed by the Client to the CA DIR for each project, 4LEAF is required to notify an authorized Apprenticeship Committee through submittal of a DAS-140 form. We are then required to make an official request to an authorized Apprenticeship Committee for an apprentice by submitting a DAS-142 form. We are not assured the apprenticeship committee will be able to provide a suitable/qualified apprentice for the project. Per the apprenticeship requirements, the hours worked by the apprentice must be in a ratio of 1:5 for apprentice to journeyman hours. 4LEAF will not know the labor classification of the Public Works Apprentice until an Apprentice is dispatched to the site; therefore, the rates for the five Periods listed under the California DIR's Wage determination for Building Construction Inspector issued February 2025 were used to determine the range of Calendar Year 2025 hourly rates for Public Works Inspector Apprentice.

D. All invoicing will be submitted monthly.

E. Overtime and Premium time will be charged as follows:
   - *Night Time (work begun after 4PM or before 5AM)* — *1.125 x hourly rate*
   - *Overtime 1 (over 8 hours M-F or Saturdays)* — *1.35 x hourly rate*
   - *Overtime 2 (over 8 hours Sat or 1st 8 hour Sun)* — *1.85 x hourly rate*
   - *Overtime 3 (over 8 hours Sun or Holidays)* — *2.35 x hourly rate*

F. All work with less than 8 hours rest between shifts will be charged the appropriate overtime rate.

G. Subconsultant invoices will be assessed a 10% Administrative Processing Fee.

H. Project-related mileage for inspections will be billed at the allowable IRS Rate.

I. Payment due on receipt. All payments over 30 days will be assessed as a 1.5% interest charge.

J. Client shall pay attorneys' fees or other costs incurred in collecting delinquent amounts.

K. Client agrees that 4LEAF's liability will be limited to the value of services provided.

L. In accordance with California's Meal Break and Rest Break Law requirements, Client will be billed one (1) additional hour per day at the regular rate for each missed meal or rest break due to Client-directed tasks or requirements. Client should allow 4LEAF's non-exempt, hourly employees the opportunity to take their entitled rest and meal breaks during each work shift.

M. If 4LEAF is requested or otherwise required to conform to Client's alternative workweek schedule ("AWW"), Client hereby agrees to compensate or reimburse 4LEAF for all overtime paid to its employees who work an AWW. If 4LEAF's affected employment group approves an AWW election and the same is registered, overtime compensation/reimbursement shall not be required.

INSURANCE REQUIREMENTS

MINIMUM SCOPE OF INSURANCE

Coverage shall be at least as broad as:

1. **Commercial General Liability (CGL)**: Insurance Services Office (ISO) Form CG 00 01 12 07 covering CGL on an "occurrence" basis, including products-completed operations, personal & advertising injury, with limits no less than **$2,000,000** per occurrence. If a general aggregate limit applies, either the general aggregate limit shall apply separately to this project/location or the general aggregate limit shall be twice the required occurrence limit.
2. **Automobile Liability:** ISO Form Number CA 00 01 covering any auto (Code 1), or if CONSULTANT has no owned autos, hired, (Code 8) and non-owned autos (Code 9), with limit no less than **$1,000,000** per accident for bodily injury and property damage.
3. **Workers' Compensation:** as required by the State of California, with Statutory Limits, and Employer's Liability Insurance with limit of no less than **$1,000,000** per accident for bodily injury or disease.
4. **Professional Liability (Errors and Omissions):** Insurance appropriate to the CONSULTANT's profession, with limit no less than **$1,000,000** per occurrence or claim, **$2,000,000** aggregate

If the CONSULTANT maintains higher limits than the minimums shown above, the City requires and shall be entitled to coverage for the higher limits maintained by the CONSULTANT.

Other Insurance Provisions
The insurance policies are to contain, or be endorsed to contain, the following provisions:

Additional Insured Status

The City, its elected and appointed officials, employees, volunteers, and agents are to be covered as insureds on the auto policy for liability arising out of automobiles owned, leased, hired or borrowed by or on behalf of the CONSULTANT; and on the CGL policy with respect to liability arising out of work or operations performed by or on behalf of the CONSULTANT including materials, parts or equipment furnished in connection with such work or operations. General liability coverage can be provided in the form of an endorsement to the CONSULTANT's insurance (at least as broad as ISO Form CG 20 10, 11 85 or both CG 20 10 and CG 20 37 forms if later revisions used).

Primary Coverage

For any claims related to this contract, the **CONSULTANT's insurance coverage shall be primary** insurance as respects the City, its elected and appointed officials, employees, volunteers, and agents. Any insurance or self-insurance maintained by the City, its elected and appointed officials, employees, volunteers, or agents shall be excess of the CONSULTANT's insurance and shall not contribute with it.

Notice of Cancellation

Each insurance policy required above shall provide that **coverage shall not be canceled, except after thirty (30) days' prior written notice** (10 days for non-payment) has been given to the City. If a Notice of Cancellation endorsement is not available, CONSULTANT shall ensure the requisite Notice of Cancellation is specified in the Certificate of Insurance. In the event the Notice of Cancellation is not

specified in the Certificate of Insurance, Consultant shall be responsible for providing the City the requisite notice as specified in this Exhibit C.

Waiver of Subrogation

CONSULTANT hereby grants to City a waiver of any right to subrogation which any insurer of said CONSULTANT may acquire against the City by virtue of the payment of any loss under such insurance. CONSULTANT agrees to obtain any endorsement that may be necessary to effect this waiver of subrogation, but this provision applies regardless of whether or not the City has received a waiver of subrogation endorsement from the insurer.

Deductibles and Self-Insured Retentions

Any deductibles or self-insured retentions must be declared to and approved by the City. The City may require the CONSULTANT to purchase coverage with a lower deductible or retention or provide proof of ability to pay losses and related investigations, claim administration, and defense expenses within the retention.

Acceptability of Insurers

Insurance is to be placed with insurers with a current A.M. Best's rating of no less than A:VII, unless otherwise acceptable to the City.

Verification of Coverage

CONSULTANT shall furnish the City with original certificates and amendatory endorsements or copies of the applicable policy language effecting coverage required by this clause. All certificates and endorsements are to be received and approved by the City before work commences. However, failure to obtain the required documents prior to the work beginning shall not waive the CONSULTANT's obligation to provide them. The City reserves the right to require complete, certified copies of all required insurance policies, including endorsements required by these specifications, at any time.

AGREEMENT WITH MARINA CONSTRUCTION MANAGEMENT, INC.
FOR PROFESSIONAL CONSULTANT SERVICES
FOR
POST-CLEAN WATER PROGRAM CONSULTING SERVICES FOR AS-NEEDED COLLECTION SYSTEM CONSTRUCTION MANAGEMENT SERVICES

This Agreement, made and entered into this day of _____, by and between the **CITY OF SAN MATEO**, a municipal corporation existing under the laws of the State of California ("CITY"), and Marina Construction Management, Inc., a corporation, ("CONSULTANT"), whose address is 650 Castro Street, Suite 120-492, Mountain View, CA 94041.

RECITALS:

A. CITY desires certain professional services hereinafter described.

B. CITY desires to engage CONSULTANT to provide these professional services by reason of its qualifications and experience for performing such services and CONSULTANT has offered to provide the required services on the terms and in the manner set forth herein.

NOW, THEREFORE, IT IS AGREED as follows:

SECTION 1 - SCOPE OF SERVICES

The scope of services to be performed by CONSULTANT under this Agreement is as described in Exhibit A to this Agreement, attached and incorporated by reference.

SECTION 2 - DUTIES OF CONSULTANT

CONSULTANT shall be responsible for the professional quality, technical accuracy and coordination of all work furnished by CONSULTANT under this Agreement. CONSULTANT shall, without additional compensation, correct or revise any errors or deficiencies in its work.

CONSULTANT represents that it is qualified to furnish the services described under this Agreement.

CONSULTANT shall be responsible for employing or engaging all persons necessary to perform the services of CONSULTANT.

CONSULTANT agrees to comply with the City's minimum wage ordinance as codified in Municipal Code Chapter 5.92, which differs from the state minimum wage and includes a Consumer Price Index escalator.

SECTION 3 - DUTIES OF CITY

CITY shall provide pertinent information regarding its requirements for the project.

CITY shall examine documents submitted by CONSULTANT and shall render decisions pertaining thereto promptly, to avoid unreasonable delay in the progress of CONSULTANT's work.

SECTION 4 - TERM

This Agreement shall be valid for a duration of five (5) years. The services to be performed under this Agreement shall commence upon execution of the Agreement and be completed on June 30, 2031.

SECTION 5 - PAYMENT

Payment shall be made by CITY only for services rendered and upon submission of a payment request upon completion and CITY approval of the work performed. In consideration for the full performance of the services set forth in Exhibit A, CITY agrees to pay CONSULTANT a fee in an amount of $3,000,000, pursuant to rates stated in Exhibit B to this Agreement, attached and incorporated by reference.

SECTION 6 - TERMINATION

Without limitation to such rights or remedies as CITY shall otherwise have by law, CITY shall have the right to terminate this Agreement or suspend work on the Project for any reason, upon ten (10) days' written notice to CONSULTANT. CONSULTANT agrees to cease all work under this Agreement upon receipt of said written notice.

Upon termination and upon CITY's payment of the amount required to be paid, documents become the property of CITY, and CONSULTANT shall transfer them to CITY upon request without additional compensation.

SECTION 7 - OWNERSHIP OF DOCUMENTS

All documents prepared by CONSULTANT in the performance of this Agreement, although instruments of professional service, are and shall be the property of CITY, whether the project for which they are made is executed or not.

SECTION 8 - CONFIDENTIALITY

All reports and documents prepared by CONSULTANT in connection with the performance of this Agreement are confidential until released by CITY to the public. CONSULTANT shall not make any such documents or information available to any individual or organization not employed by CONSULTANT or CITY without the written consent of CITY before any such release.

SECTION 9 - INTEREST OF CONSULTANT

CONSULTANT covenants that it presently has no interest, and shall not acquire any interest, direct or indirect, financial or otherwise, which would conflict in any manner or degree with the performance of the services under this Agreement.

SECTION 10 - CONSULTANT'S STATUS

It is expressly agreed that in the performance of the professional services required under this Agreement, CONSULTANT shall at all times be considered an independent contractor as defined in Labor Code Section 3353, under control of the CITY as to the result of the work but not the means by which the result is accomplished. Nothing herein shall be construed to make CONSULTANT an agent or employee of CITY while providing services under this Agreement.

SECTION 11 - INDEMNITY

CONSULTANT agrees to hold harmless and indemnify CITY, its elected and appointed officials, employees, volunteers, and agents from and against any and all claims, loss, liability, damage, and expense arising out of CONSULTANT's performance of this Agreement, except those claims arising out of CITY's sole negligence or willful misconduct. CONSULTANT agrees to defend City, its elected and appointed officials, employees, volunteers, and agents against any such claims. The CONSULTANT'S duty to indemnify shall survive expiration or early termination of this Agreement.

SECTION 12 - INSURANCE

CONSULTANT shall procure and maintain for the duration of the contract and three years thereafter (five years for building or major improvements) the insurance specified in Exhibit C to this Agreement.

SECTION 13 - NON-ASSIGNABILITY

Both parties hereto recognize that this Agreement is for the personal services of CONSULTANT and cannot be transferred, assigned, or subcontracted by CONSULTANT without the prior written consent of CITY.

SECTION 14 - RELIANCE UPON PROFESSIONAL SKILL OF CONSULTANT

It is mutually understood and agreed by and between the parties hereto that CONSULTANT is skilled in the professional calling necessary to perform the work agreed to be done under this Agreement and that CITY relies upon the skill of CONSULTANT to do and perform the work in the most skillful manner, and CONSULTANT agrees to thus perform the work. The acceptance of CONSULTANT's work by CITY does not operate as a release of CONSULTANT from said obligation.

SECTION 15 - WAIVERS

The waiver by either party of any breach or violation of any term, covenant, or condition of this Agreement or of any provisions of any ordinance or law shall not be deemed to be a waiver of such term, covenant, condition, ordinance or law or of any subsequent breach or violation of the same or of any other term, condition, ordinance, or law. The subsequent acceptance by either party of any fee or other money which may become due hereunder shall not be deemed to be a waiver of any preceding breach or violation by the other party of any term, covenant, or condition of this Agreement or of any applicable law or ordinance.

SECTION 16 - SEVERABILITY

If any term or portion of this Agreement is held to be invalid, illegal, or otherwise unenforceable by a court of competent jurisdiction, the remaining provisions of this Agreement shall continue in full force and effect.

SECTION 17 - COSTS AND ATTORNEY FEES

Attorney fees in total amount not exceeding $5000, shall be recoverable as costs (by the filing of a cost bill) by the prevailing party in any action or actions to enforce the provisions of this Agreement. The above $5000 limit is the total of attorney fees recoverable whether in the trial court, appellate court, or otherwise, and regardless of the number of attorneys, trials, appeals, or actions. It is the intent of this Agreement that neither party shall have to pay the other more than $5000 for attorney fees arising out of an action, or actions to enforce the provisions of this Agreement.

SECTION 18 - NON-DISCRIMINATION

CONSULTANT warrants that it is an Equal Opportunity Employer and shall comply with applicable regulations governing equal employment opportunity. Neither CONSULTANT nor any of its subcontractors shall discriminate in the employment of any person because of race, color, national origin, ancestry, physical handicap, medical condition, marital status, sex, or age, unless based upon a bona fide occupational qualification pursuant to the California Fair Employment and Housing Act.

SECTION 19 - MEDIATION

Should any dispute arise out of this Agreement, any party may request that it be submitted to mediation. The parties shall meet in mediation within 30 days of a request. The mediator shall be agreed to by the mediating parties; in the absence of an agreement, the parties shall each submit one name from mediators listed by either the American Arbitration Association, the State Mediation and Conciliation Service, or other agreed-upon service. The mediator shall be selected by a blind draw.

The cost of mediation shall be borne equally by the parties. Neither party shall be deemed the prevailing party. No party shall be permitted to file a legal action without first meeting in mediation and making a good faith attempt to reach a mediated settlement. The mediation process, once commenced by a meeting with the mediator, shall last until agreement is reached by the parties but not more than 60 days, unless the maximum time is extended by the parties.

SECTION 20 - LITIGATION

CONSULTANT shall testify at CITY'S request if litigation is brought against CITY in connection with CONSULTANT's services under this Agreement. Unless the action is brought by CONSULTANT, or is based upon CONSULTANT's wrongdoing, CITY shall compensate CONSULTANT for preparation for testimony, testimony, and travel at CONSULTANT's standard hourly rates at the time of actual testimony.

SECTION 21 - NOTICES

All notices hereunder shall be given in writing and mailed, postage prepaid, addressed as follows:

To CITY:
Laura Webb
City of San Mateo
330 W. 20th Avenue
San Mateo, CA 94403

To CONSULTANT:
Marina Construction Management, Inc.
Attn: Marina Chekmareva
650 Castro Street, Suite 120-492
Mountain View, CA 94041

SECTION 22 - AGREEMENT CONTAINS ALL UNDERSTANDINGS; AMENDMENT

This document represents the entire and integrated agreement between CITY and CONSULTANT and supersedes all prior negotiations, representations, and agreements, either written or oral.

This document may be amended only by written instrument, signed by both CITY and CONSULTANT.

SECTION 23 - CONFLICTS

In the event of any conflict between the provisions of this Agreement and any other referenced exhibit or document attached to this Agreement, the language and terms of this Agreement shall control.

SECTION 24 - AUTHORITY TO ENTER INTO AGREEMENT

CONSULTANT has all requisite power and authority to conduct its business and to execute, deliver, and perform the Agreement. Each party warrants that the individuals who have signed this Agreement have the legal power, right, and authority to make this Agreement and to bind each respective party.

SECTION 25 - GOVERNING LAW AND VENUE

This Agreement shall be governed by the laws of the State of California and, in the event of litigation, venue will be in the County of San Mateo.

[SIGNATURE PAGE FOLLOWS]

IN WITNESS WHEREOF, CITY OF SAN MATEO and MARINA CONSTRUCTION MANAGEMENT, INC. have executed this Agreement the day and year first above written.

CITY OF SAN MATEO		CONSULTANT	
Matt Fabry Public Works Director	Date	Marina Chekmareva Its Authorized Agent President If a Corporation, can be either 1) President or 2) Vice President plus an additional corporate officer (i.e., Secretary, Treasurer) who shall sign below.	Date
APPROVED AS TO FORM		ADDITIONAL CORPORATE OFFICER (if necessary per the above)	
Linh Nguyen Assistant City Attorney	Date	<Insert Name> <Insert Title>	Date

Attachments:

Exhibit A: Scope of Services
Exhibit B: Fee Rates
Exhibit C: Insurance Requirements

EXHIBIT A

SCOPE OF SERVICES

ATTACHMENT A

Scope of Services

City of San Mateo
Post-Clean Water Program
Request for Qualifications
Consulting Services for
As-Needed Collection System
Construction Management Services

Scope of Services

Task 1 – General Services

Project management and coordination include tasks that will be performed by the Consultant throughout the project.

These services include:

General Project Management and Coordination
Risk Management
Quality Control
Management of Subconsultants and Subcontractors, if applicable
Agency Coordination and City Meeting Support

Task 1.1 – Project Management

Task 1.1.1 – General Management

The Consultant will be responsible for detailed management of the project, including subconsultants and subcontractors, and will keep the City/Construction Management Lead (CML) appraised of the status of the project.

The Consultant will provide the key management personnel as described in their proposal on this project. The Consultant will not reassign the key project personnel without prior approval of the City/CML per the Standard Agreement for Professional Consultant Services.

Task 1.1.2 – Progress Report

The Consultant will prepare and submit monthly progress reports that include a narrative of the work completed by task and project invoicing. The invoices will comply with Program standards and document the following:

- The man-hours and billing rates for staff for each task in the WBS
- All direct expenses or other costs incurred.
- The current and previous billing period invoice amounts.
- The budget spent, budget remaining, and cost to complete.
- Backup documentation for all expenses.

The invoice amounts will be split by project in the event Consultant is working on more than one Project.

Task 1.2 – Risk Management

The Consultant will participate in risk reviews for the development and maintenance of a project risk register in coordination with the Program's risk management team. A risk meeting will be held at the start of each phase of the project. Each meeting will be about one hour in length.

Task 1.3 – Quality Control

The Consultant will develop a Quality Assurance/Quality Control (QA/QC) Plan for implementation of the Scope of Work. The Consultant's QA/QC Plan will be reviewed and approved by the City Project Manager and will include or reference all the controls necessary for implementation.

Task 1.4 – Management of Subconsultants and Subcontractors

If the Consultant requires the services of any subconsultants or subcontractors, then the Consultant will include a list of them in the proposal, explain why they are needed, and provide a general description of their effort.

The Consultant will manage the activities of subconsultants and subcontractors during performance of the project. All requirements of the contract shall also apply to subconsultants and subcontractors.

Task 1.5 – Agency Coordination

The Consultant will assist the City in coordinating the project with various local/county, state/regional, and federal agencies. This task includes attending meetings, as needed, with applicable agencies, providing meeting minutes, and providing project information and exhibits to the agencies. This task is established as an allowance task and shall only be used when specifically requested by the City in writing. Costs for this task shall be invoiced as a separate line item and shall include a copy of the authorization from the City.

Deliverables

Monthly progress reports, including progress narrative, invoices and financial details.

Task 2 – Construction Management Services

1. Prepare and submit a Construction Management Plan prior to start of project work. This Plan is to be read in conjunction with Clean Water Program (CWP) Program Management Plan (PMP) and Construction Management Guidelines.

2. Project and Contract Administration:

   (a) Coordinate pre-construction and weekly progress meetings and prepare and distribute agenda and meeting minutes. The meeting minutes shall capture key points of information shared, including any issues discussed, directions given, decisions made, and action items assigned.

   (b) Evaluate the Construction Contractor's contract schedule for actual versus planned progress and document all scheduling discrepancies and deviation, including baseline schedule review and acceptance; monthly schedule update reviews; review and approval of schedule changes; and schedule recovery plans.

   (c) Prepare and respond to Time Impact Analysis (TIA).

   (d) Communicate effectively and coordinate with Construction Contractor, Project Manager, Program Manager, Program Team, City Operations and Maintenance (O&M), Design Engineer, and Public Outreach Team.

   (e) Coordinate project access to City O&M and Project Manager during Construction and Repair of Collection Sewers in City Streets.

   (f) Assist Project Manager and City with Public outreach activities, including responding to community inquiries related to the project.

   (g) Prepare and submit Construction monthly progress reports along with monthly payment invoice.

   (h) Construction Monthly progress reports shall include the following:

      (i) Overview of work accomplished, including photos;

      (ii) Safety Records;

      (iii) Outstanding and potential issues;

(iv) Work to be completed the following month;

(v) Updated schedule of work;

(vi) Explanations for deviations from the initial schedule;

(vii) Cost status and forecast;

(viii) Potential changes and force accounts;

(ix) Overview of quality of work;

(x) Overview of project communications;

(xi) Explanation of any upcoming risks/problem areas and corrective action to be taken.

(i) Review Construction Contractor's conduct for compliance with contract documents, environmental documents, state laws, etc.

(j) Review Construction Contractor's submittals for compliance with contract documents and coordinate with Program Manager, Project Manager, City and Design Engineer review.

(k) Review Construction Contractor's Requests for Information (RFI) and coordinate with Project Manager, City and Design Engineer for resolution and response where appropriate. Log all RFIs and associated responses.

(l) Review, approve, and maintain Schedule of Values.

(m) Review Construction Contractor's monthly invoices and recommend payment requests.

(n) Monitor and ensure the Contractor, including their Sub-Contractors' upload monthly their Certified Payrolls to the State of California Department of Industrial Relations (DIR) Public Web Site to ensure compliance of the monthly hours worked by all craft and labor workforce onsite. This includes the General Contractor and Consultant's craft/labor employees performing work onsite and their related work hours completed and reported each month.

    a. For projects in which a third-party labor compliance firm is engaged, review monthly Labor Compliance Reports and coordinate resolution of potential issues.

(o) Provide Construction Contractor with acceptability or deficiencies in work and required actions for contract compliance.

(p) Provide information to Construction Contractor for its detailed and feasible system outage requests.

(q) Review all shutdown requests (MOPs) and contingency plans for feasibility and reliability. Coordinate MOPs with Project Manager, City O&M, Design Engineer and other stakeholders.

(r) Coordinate all system outage requests and general construction activity with Construction Contractor, City Operations and Maintenance (O&M), Design Engineer and other stakeholders to ensure adequate operations of facilities.

(s) Maintain project document files.

(t) Track and manage all communications to assure response compliance.

(u) Prepare responses to correspondence in a timely manner.

(v) Utilize the Procore project documentation website furnished by the City of San Mateo.

(w) Monitor Contractor Quality Control Program.

(x) Prepare Non-Conformance Notice (NTC) and Coordinate Resolution.

(y) Coordinate with Public Works Personnel for review of any PLC/SCADA submittals against the Public Works SCADA standards, as well as for startup and testing support related to the SCADA standards as needed.

(z) Coordinate testing, startup and commissioning, including:

(xii) Coordinate review and acceptance of Testing, Commissioning, and Startup Plans.

(xiii) Monitor facility, equipment, SCADA and performance testing. Coordinate review and approval of test results.

(xiv) Monitor Receipt of Testing results forms.

(xv) Conduct Witness Testing.

(xvi) Review & Approve submitted test results.

(xvii) Track deficient test results or repair work.

3. Construction Observation/Inspection:

(a) Inspect and observe Construction Contractor's work daily for compliance with the contract documents.

(b) Maintain daily inspection reports of work, including photos, descriptions of daily activities, any corrective actions to be taken by Construction Contractor, persons and equipment onsite, and work to be completed the following day(s).

(c) Review materials and equipment delivered to site for compliance with submittals and contract documents.

(d) Coordinate material testing and specialty inspections (to be furnished by separate Consultant) as required in the contract documents.

(e) Review Construction Contractor's compliance with all permits, stormwater regulations and permits (Stormwater Pollution Prevention Plan [SWPPP]), environmental documents, and mitigation measures.

(f) Review Construction Contractor's compliance with health and safety standards and regulations, and report non-compliance.

(g) Conduct monthly monitoring of record documents to ensure proper maintenance and completion by Contractor.

(h) Maintain Completeness of Field Hard Copy Files.

(i) Confirm that preliminary O&M Manuals have been submitted and approved prior to scheduling training on a piece of equipment.

(j) Confirm training is complete prior to scheduling the parties for startup and testing of equipment.

4. Change Order Management:

(a) Prepare and issue Field Orders (FO)/Work Change Directives (WCD).

(b) Prepare and issue Requests for Proposals (RFP).

(c) Coordinate, review, and evaluate potential change orders for entitlement and merit review and negotiate change order pricing.

(d) Maintain change order log for construction activities, and track and communicate potential upcoming changes.

(e) Prepare and update monthly Change and Payment Summary (CPS).

(f) Coordinate, review, evaluate, and recommend course of action for contract change order requests and submittals.

(g) Prepare Change Request Forms (CRF) and Contract Change Orders.

(h) Conduct inspections and evaluate site conditions that are perceived to be different than shown in contract documents.

(i) Review, gather, and evaluate information for resolution of potential claims or disputes.

5. Project Closeout and Acceptance Services

(a) Conduct site inspection(s) to determine if facilities are complete and in compliance with contract documents. Coordinate with Design Engineer and other required staff to walk the site for developing corrective items of work list.

(b) Develop corrective item work lists (punch lists) and conduct inspection of corrective actions performed. Monitor Construction Contractor's correction of the items on the punch list for satisfactory completion.

(c) Consider and recommend final acceptance of work by the City.

(d) Recommend retention release to Construction Contractor.

(e) Prepare substantial completion certificate once corrective actions are complete and project is in compliance with contract documents to the satisfaction of the Program Manager.

(f) Verify all O&M Manual submittals as well as spare parts as required by the contract documents.

(g) Coordinate final submittal of organized and complete record drawings in accordance with contract documents.

(h) Confirm receipt of all special warranties, guarantees, spare parts, and additional maintenance materials.

(i) Review Construction Contractor as-builts and review for completeness and accuracy.

(j) Verify Construction Contractor has made all payments and that all required releases, including warranty release, lien release(s), and release of claims have been submitted by Construction Contractor.

(k) Prepare and submit final construction report.

Task 3 – General Construction Management Services

The following general construction management related services may be included depending on the project and will be defined on an as-needed basis in the request for proposal for each project Task Order.

1. Participate in meetings with Program staff and other stakeholders, review available documents and document management system, and visit project sites to accomplish program and project familiarization.

2. Perform as needed/miscellaneous preconstruction services as requested by Public Works Personnel up to the level of effort/budget established in this TO.

3. Perform constructability reviews of Contract Documents including plans, specifications, and construction schedules and document the review findings in a form agreed with Public Works Personnel.

   (a) The reviews shall consist of both intra-discipline and inter-discipline for Structural, Mechanical, Process, Civil, I&C, Electrical, Architectural and specialty disciplines such as Geotechnical and Environmental.

   (b) If applicable, the Consultant shall make recommendations for cost-effective alternative materials, and/or design concepts.

   (c) The review shall include but not be limited to the following:

      (i) Clarity, consistency, completeness, and ease of construction to achieve the overall project objectives.

      (ii) Detailed requirements of equipment procurement and fabrication.

      (iii) Identification of existing underground utilities.

      (iv) Detailed description of traffic control requirements, hours of work, trench closure procedures and maximum number of headings allowed.

      (v) Detailed description of third-party coordination requirements (e.g. utilities, Right of Entry permits, and worker training needed for working within railroad right-of-way (ROW), or work within CALTRANS ROW)

      (vi) Detailed description of closure periods for work near businesses, schools, or other events.

      (vii) Identification of interfaces and potential interfaces between adjacent contracts and confirmation they are clear and constructible.

      (viii) Front ends and General Requirements for consistency across projects, compatibility with City and other regulatory requirements, incorporation of effective tools for administering the contract and adequate definition of temporary facilities to expedite mobilization (including CM facilities).

      (ix) Specific requirements for major schedule milestones within each Contract to help ensure coordination with other Contracts and prevent interruptions to existing operations.

      (x) Biddability to minimize change orders and risks of bid protest. Review of bid list to include: verify bid items and quantities; make sure the correct pay sections are referenced; and approve the units of measurements included in the list. Verify bid list for incorporation of allowances for common City practice for expediting the work, such as permit fees, field orders and third-party utility coordination/costs.

4. Provide cost estimating and scheduling support, including review of Design Engineer opinions of probable construction cost and preliminary construction schedules.

5. Provide as-needed CMS support under the direction of the CML including consultation, review of cost proposals/estimates, construction schedules and construction contract items. Said support will not be construed as taking on contractor responsibilities for construction means and methods, safety, budget, schedule, performance, etc.

EXHIBIT B

PAYMENT RATES

Rate Schedule and Reimbursable	
Classification	**Hourly Rates**
Principal	$265 - $320
Resident Engineer / Construction Manager	$215 - $295
Project Manager	$200 - $250
Construction Inspector	$195 - $240
Project / Office Engineer	$190 - $215
Scheduler	$210 - $295
Cost Estimator	$210 - $295
Administrative Assistant / Document Control	$120 - $165
Intern	$85 - $120
Vehicle	$1,200 / month

Notes:

(1): Rates are effective July 1, 2026, through June 30, 2027

(2): All hours are billed in conformance to the California Labor Code and prevailing wage requirements.

(3): Rates escalate 3% annually, compounded, effective July 1 of each year beginning July 1, 2027. Escalation applies to all hourly and vehicle rates. See Escalated Rate Schedule on page 2.

(4): All rates listed are straight-time rates. Overtimes rates are billed at 1.25X of straight time rates. Double time rates are billed at 1.50X of straight time rates.

(5): All Subconsultants are invoiced at cost plus 5 percent.

(6): Outside printing services at cost, with prior approval.

(7) Other direct project related costs at cost, with prior approval.

(8): Each staff member is assigned a single fixed hourly rate within the applicable range based on experience, licensure, and certifications. Individual rates will be identified in each task order and will not change during a rate year except as provided in Note (3).

MARINA CONSTRUCTION MANAGEMENT

Escalated Rate Schedule (3% Annual Escalation)					
Classification	**FY 2026/27**	**FY 2027/28**	**FY 2028/29**	**FY 2029/30**	**FY 2030/31**
Principal	$265 – $320	$273 – $330	$281 – $339	$290 – $350	$298 – $360
Resident Engineer / Construction Manager	$215 – $295	$221 – $304	$228 – $313	$235 – $322	$242 – $332
Project Manager	$200 – $250	$206 – $258	$212 – $265	$219 – $273	$225 – $281
Construction Inspector	$195 – $240	$201 – $247	$207 – $255	$213 – $262	$219 – $270
Project / Office Engineer	$190 – $215	$196 – $221	$202 – $228	$208 – $235	$214 – $242
Scheduler	$210 – $295	$216 – $304	$223 – $313	$229 – $322	$236 – $332
Cost Estimator	$210 – $295	$216 – $304	$223 – $313	$229 – $322	$236 – $332
Administrative Assistant / Document Control	$120 – $165	$124 – $170	$127 – $175	$131 – $180	$135 – $186
Intern	$85 – $120	$88 – $124	$90 – $127	$93 – $131	$96 – $135
Vehicle (per month)	$1,200	$1,236	$1,273	$1,311	$1,351
Rate years run July 1 through June 30. FY 2026/27 rates are the base rates shown on page 1. All notes on page 1 apply.					

EXHIBIT C

INSURANCE REQUIREMENTS

MINIMUM SCOPE OF INSURANCE
Coverage shall be at least as broad as:

1. **Commercial General Liability (CGL)**: Insurance Services Office (ISO) Form CG 00 01 12 07 covering CGL on an "occurrence" basis, including products-completed operations, personal & advertising injury, with limits no less than **$2,000,000** per occurrence. If a general aggregate limit applies, either the general aggregate limit shall apply separately to this project/location or the general aggregate limit shall be twice the required occurrence limit.
2. **Automobile Liability:** ISO Form Number CA 00 01 covering any auto (Code 1), or if CONSULTANT has no owned autos, hired, (Code 8) and non-owned autos (Code 9), with limit no less than **$1,000,000** per accident for bodily injury and property damage.
3. **Workers' Compensation:** as required by the State of California, with Statutory Limits, and Employer's Liability Insurance with limit of no less than **$1,000,000** per accident for bodily injury or disease.
4. **Professional Liability (Errors and Omissions):** Insurance appropriate to the CONSULTANT's profession, with limit no less than **$1,000,000** per occurrence or claim, **$2,000,000** aggregate.

If the CONSULTANT maintains higher limits than the minimums shown above, the City requires and shall be entitled to coverage for the higher limits maintained by the CONSULTANT.

Other Insurance Provisions
The insurance policies are to contain, or be endorsed to contain, the following provisions:

Additional Insured Status
The City, its elected and appointed officials, employees, volunteers, and agents are to be covered as insureds on the auto policy for liability arising out of automobiles owned, leased, hired or borrowed by or on behalf of the CONSULTANT; and on the CGL policy with respect to liability arising out of work or operations performed by or on behalf of the CONSULTANT including materials, parts or equipment furnished in connection with such work or operations. General liability coverage can be provided in the form of an endorsement to the CONSULTANT's insurance (at least as broad as ISO Form CG 20 10, 11 85 or both CG 20 10 and CG 20 37 forms if later revisions used).

Primary Coverage
For any claims related to this contract, the **CONSULTANT's insurance coverage shall be primary** insurance as respects the City, its elected and appointed officials, employees, volunteers, and agents. Any insurance or self-insurance maintained by the City, its elected and appointed officials, employees, volunteers, or agents shall be excess of the CONSULTANT's insurance and shall not contribute with it.

Notice of Cancellation
Each insurance policy required above shall provide that **coverage shall not be canceled, except after thirty (30) days' prior written notice** (10 days for non-payment) has been given to the City.

Waiver of Subrogation
CONSULTANT hereby grants to City a waiver of any right to subrogation which any insurer of said CONSULTANT may acquire against the City by virtue of the payment of any loss under such insurance. CONSULTANT agrees to obtain any endorsement that may be necessary to effect this waiver of subrogation, but this provision applies regardless of whether or not the City has received a waiver of subrogation endorsement from the insurer.

Deductibles and Self-Insured Retentions
Any deductibles or self-insured retentions must be declared to and approved by the City. The City may require the CONSULTANT to purchase coverage with a lower deductible or retention or provide proof of ability to pay losses and related investigations, claim administration, and defense expenses within the retention.

Acceptability of Insurers
Insurance is to be placed with insurers with a current A.M. Best's rating of no less than A:VII, unless otherwise acceptable to the City.

Verification of Coverage
CONSULTANT shall furnish the City with original certificates and amendatory endorsements or copies of the applicable policy language effecting coverage required by this clause. All certificates and endorsements are to be received and approved by the City before work commences. However, failure to obtain the required documents prior to the work beginning shall not waive the CONSULTANT's obligation to provide them. The City reserves the right to require complete, certified copies of all required insurance policies, including endorsements required by these specifications, at any time.

Agenda Number: 9 | Section Name: CONSENT CALENDAR | Account Number: 10-315 | File ID: 26-11583

TO: City Council

FROM: Alex Khojikian, City Manager

PREPARED BY: Community Development Department

MEETING DATE: October 5, 2026

SUBJECT:
Child Care Facility Fund Program Loan Documents – Revision and Amendment

RECOMMENDATION:
Approve a Loan Agreement Amendment, Deed of Trust, and Promissory Note with Mighty Tiger Preschool, LLC to change the real property loan collateral for the Child Care Facilities Fund loan in the remaining amount of $344,000; and authorize City Manager to execute the Loan Agreement Amendment, Deed of Trust, and Promissory Note in substantially the form presented.

BACKGROUND:
The Child Care Facilities Fund was originally established in 2004 with the Child Care Development Fee to address the critical need for more childcare spaces in the City. There has been a longtime need for greater amount of information and assistance for potential childcare providers who are interested in starting or expanding their businesses. For those interested in obtaining financial assistance, the City has a variety of methods. To date, the primary method has been secured loans. The funds are legally restricted to capital expenditures for child care uses related to construction and elements that are fixed in the property. These loans are available to childcare providers and/or developers to specifically develop, expand, or otherwise enhance childcare facilities resulting in new licensed child care spaces. The benefits to the loan option are that the terms include zero percent interest, deferred/no payments, and a loan forgiveness schedule based on the amount of money borrowed. The loan forgiveness is contingent upon consistently meeting the annual performance requirements.

On December 4, 2023, the City Council approved a Child Care Facility Fund loan of $430,000 to Geoffrey Choy and Ruth H. Choy (Owners) for tenant improvements at 2575 Flores Street, Suite 1, to establish a new child care facility, Mighty Tiger Preschool, LLC, resulting in 48 new licensed childcare spaces. Since then, the Owners have operated the Mighty Tiger Preschool, LLC, successfully and have qualified twice for the annual ten percent (10%) loan forgiveness of $43,000 for the years of 2024 and 2025. The annual ten percent (10%) loan forgiveness, as established in the City's loan program, is contingent on the submission of an annual report demonstrating implementation of program requirements for the past year. This annual report includes a narrative summarizing enrollment details to demonstrate that the business is operating per their approved scope and narratives summarizing the business's annual efforts, highlights, challenges and professional development for staff that support quality and continuous improvement. A total of $86,000 has been forgiven from their original loan, and $344,000 remains outstanding.

Earlier this year, due to the pending sale of the Owners' property that was originally used as collateral for securing the loan, the Owners submitted a request to change the collateral property securing the remaining loan funds. The original property securing the loan, located at 115 Agustin Narvaez St #4, San Jose, CA 95136, was sold in April 2026. Due to delays with the Owners' purchase of the new property, the remaining unforgiven $344,000 loan funds were issued back to the City to hold in an escrow account until the new property that would serve as collateral came under full legal ownership of

the Owners. The proposed collateral property is located at 400 El Camino Real #210, Belmont, CA 94002, and it meets the minimum valuation requirements to secure the outstanding loan. This requested change has been reviewed by staff, meets all applicable requirements, and does not change the monetary terms under which the original loan was granted in 2023. The current change only relates to the collateral property. If the Owners continue to successfully operate the preschool and qualify for the annual forgiveness at the regular rate of ten percent (10%) there will be an annual forgiveness of $43,000 based on the original loan amount of $430,000.

BUDGET IMPACT:
This is an existing loan from the Child Care Facilities Fund which was approved in 2023 and this change to the loan collateral does not have any impact to the Child Care Facilities Fund or the General Fund.

ENVIRONMENTAL DETERMINATION:
This loan collateral change is not a project subject to CEQA, because it can be seen with certainty that it will not cause a physical change in the environment. (Public Resources Code Section 21065.)

STRATEGIC PLAN ALIGNMENT:
Administration of the Child Care Facility Fund Program supports the Land Use and Economic Development initiatives.

NOTICE PROVIDED:
All meeting noticing requirements were met.

ATTACHMENTS
Att 1 – Loan Agreement Amendment
Att 2 – Deed of Trust
Att 3 – Promissory Note

STAFF CONTACT
Jennifer Rosas, Business Manager
jrosas@cityofsanmateo.org
(650) 522-7164

AMENDMENT NO. 1 TO THE LOAN AGREEMENT
BETWEEN THE CITY OF SAN MATEO AND MIGHTY TIGER PRESCHOOL, LLC

This Amendment No. 1 is made and entered into this day of _____, by and between the CITY OF SAN MATEO, a municipal corporation existing under the laws of the State of California ("CITY"), and MIGHTY TIGER PRESCHOOL LLC., a California Limited Liability Corporation ("Borrower").

WHEREAS, City and Borrower wish to amend that certain Loan Agreement dated January 11, 2024, to change the collateral property securing the loan.

NOW, THEREFORE, the Parties agree as follows:

1. Recital D of the Agreement is amended to read:

   Borrower owns the real property more commonly known as 400 El Camino Real #210, Belmont, California 94002, as more particularly described in Exhibit A (the "Collateral Property"), and Borrower desires to use this real property as collateral for the Loan.

2. Exhibit A of the Loan Agreement is repealed in its entirety and replaced with Exhibit A-1, attached hereto and incorporated by reference.

3. The remaining terms of the Agreement remain in full force and effect.

[SIGNATURE PAGE FOLLOWS]

IN WITNESS WHEREOF, this Amendment No. 1 has been executed by the Parties as of the Effective Date.

CITY:

CITY OF SAN MATEO, a California municipal corporation

By: _____

Name: Alex Khojikian

Its: City Manager

BORROWER:

APPROVED AS TO FORM

By: _____

Name: Prasanna W. Rasiah

Its: City Attorney

CHILD CARE FACILITATOR:

MIGHTY TIGER PRESCHOOL LLC,
a California Limited Liability Company

By: _____

Name: Geoffrey Choy

Its: Co-owner and Administrator

EXHIBIT A-1

LEGAL DESCRIPTION OF PROPERTY
(2575 Flores Street, San Mateo, CA)

BEGINING AT THE INTERSECTION OF THE EASTERLY LINE OF FLORES STREET WITH THE NORTHWESTERLY LINE OF A 15 FOOT EASEMENT FOR STREET OR TRAVEL PURPOSES AND PUBLIC UTILITIES, AS GRANTED BY DEED OF DEDICATION OF EASEMENT FROM STADER, ALSO KNOWN AS FRED WILLIAM STADER, TO THE CITY OF SAN MATEO, A MUNICIPAL CORPORATION, DATED AUGUST 7,1950 AND RECORDED NOVEMBER 13,1950 IN BOOK 1974 OF OFFICIAL RECORDS AT PAGE 535, RECORDS OF SAN MATEO COUNTY, CALIFORNIA; THENCE FROM SAID POINT OF BEGINNING, ALONG SAID NORTHWESTERLY LINE, NORTH 70' 44' EAST 167.87 FEET; THENCE LEAVING SAID NORTHWESTERLY LINE, NORTH 27° 41' WEST 40.44 FEET; THENCE SOUTH 70° 44' WEST 151,99 FEET TO THE EASTERLY LINE OF FLORES STREET AS ABOVE MENTIONED; THENCE ALONG SAID EASTERLY LINE SOUTH 1' 58' EAST 3.07 FEET AND ALONG A CURVE TO THE LEFT, WITH A RADIUS OF 305.00 FEET, A CENTRAL ANGLE OF 7° 10' 22", AN ARC DISTANCE OF 38.18 FEET TO THE POINT OF BEGINNING.

LEGAL DESCRIPTION OF THE COLLATERAL PROPERTY

400 El Camino Real #210, Belmont, California 94002

For APN/Parcel ID(s): 117-600-060

THE LAND REFERRED TO HEREIN BELOW IS SITUATED IN THE CITY OF BELMONT, COUNTY OF SAN MATEO, STATE OF CALIFORNIA AND IS DESCRIBED AS FOLLOWS:

A CONDOMINIUM COMPRISED OF:

PARCEL 1:

AN UNDIVIDED 1/74TH FEE SIMPLE INTEREST AS A TENANT IN COMMON IN AND TO THE COMMON AREA WHICH IS A PORTION OF THE PROPERTY SHOWN ON FINAL MAP OF 400 EL CAMINO REAL (THE "FINAL MAP") FILED NOVEMBER 9, 2018 IN BOOK 142 OF FINAL MAPS AT PAGES 16-17, IN THE OFFICE OF THE RECORDER OF THE COUNTY OF SAN MATEO, STATE OF CALIFORNIA ("OFFICIAL RECORDS") SHOWN ON THE CONDOMINIUM PLAN FOR THE ASHTON, FILED FOR RECORD IN THE OFFICIAL RECORDS ON DECEMBER 24, 2018 AS INSTRUMENT NO. 2018-100040, TOGETHER WITH ANY AMENDMENTS OR MODIFICATIONS THERETO ("CONDOMINIUM PLAN").

PARCEL 2:

UNIT 23, AS SHOWN ON THE CONDOMINIUM PLAN.

EXCEPTING THEREFROM THE EASEMENTS AS DESCRIBED IN THE DECLARATION REFERRED TO BELOW.

PARCEL 3:

AN EXCLUSIVE EASEMENT TO USE EACH PORTION OF THE ASSOCIATION PROPERTY, IF ANY, DESIGNATED IN THE CONDOMINIUM PLAN AS BEING AN EXCLUSIVE USE [BALCONY/PATIO] AREA APPURTENANT TO THE UNIT DESCRIBED IN PARCEL 2 ABOVE FOR THE PURPOSES DESCRIBED IN THE DECLARATION.

PARCEL 4:

NON-EXCLUSIVE APPURTENANT EASEMENTS IN AND TO THE ASSOCIATION PROPERTY AS SAID ASSOCIATION PROPERTY IS SHOWN ON THE CONDOMINIUM PLAN AND AS FURTHER DESCRIBED IN THAT CERTAIN DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS OF THE ASHTON RECORDED IN THE OFFICIAL RECORDS ON DECEMBER 24, 2018, AS INSTRUMENT NO. 2018-100041 AND ANY AMENDMENTS AND SUPPLEMENTS THERETO ("DECLARATION"),

FURTHER EXCEPTING THEREFROM THE EASEMENTS AND OTHER RIGHTS RESERVED IN FAVOR OF DECLARANT IN THE DECLARATION FOR MARKETING AND DEVELOPMENT INCLUDING WITHOUT LIMITATION, SUBJECT TO THE EXCLUSIVE USE EASEMENTS, THE RIGHT OF GRANTOR TO MAINTAIN MARKETING UNITS IN THE CONDOMINIUMS OWNED BY GRANTOR AS WELL AS THE RIGHT OF ACCESS, INGRESS AND EGRESS FOR VISITORS TO THE MARKETING UNITS AND THE RIGHT TO MAINTAIN SIGNS OR OTHER MARKETING MATERIALS WITHIN THE ASSOCIATION PROPERTY.

JPN: 256-090-000-23

RECORDING REQUESTED BY
AND WHEN RECORDED MAIL TO:

City of San Mateo
330 W. 20th Avenue
San Mateo, CA 94403
Attention: Community Development Department

NO FEE FOR RECORDING PURSUANT TO
GOVERNMENT CODE SECTION 27383

SPACE ABOVE THIS LINE FOR RECORDER'S USE

SHORT FORM DEED OF TRUST AND ASSIGNMENT OF RENTS

This Deed of Trust, made as of September __, 2026, between, **Geoffrey Kamen Choy and Ruth Heidi Choy**, herein called **Trustor**,
whose address is: **508 DAVEY GLEN RD**
BELMONT, CA 94002

First American Title Company, a California corporation, herein called **Trustee**, and the City of San Mateo, a California municipal corporation, herein called **Beneficiary**,

Witnesseth: That Trustor **IRREVOCABLY GRANTS, TRANSFERS AND ASSIGNS to TRUSTEE IN TRUST, WITH POWER OF SALE**, That property located at **400 El Camino Real #210, Belmont, California, 94002,** described as follows:

SEE EXHIBIT A, incorporated herein by this reference

TOGETHER WITH the rents, issues and profits thereof, SUBJECT, HOWEVER, to the right, power and authority given to and conferred upon Beneficiary by paragraph (10) of the provisions incorporated herein by reference to collect and apply such rents, issues and profits.

For the Purpose of Securing:

1. Performance of each agreement of Trustor incorporated by reference or contained herein. 2. Payment of the indebtedness evidenced by one promissory note of even date herewith, and any extension or renewal thereof, in the principal sum of up to **three hundred forty-four thousand**

Dollars ($**344,000**) executed by Trustor in favor of Beneficiary or order. 3. Payment of such further sums as the then record owner of said property hereafter may borrow from Beneficiary, when evidenced by another note (or notes) reciting it is so secured.

To Protect the Security of This Deed of Trust, Trustor Agrees: By the execution and delivery of this Deed of Trust and the note secured hereby, including the provisions set forth EXHIBIT B of this Deed of Trust, which are incorporated by this reference, and the provisions (1) to (14) inclusive, of the fictitious deed of trust recorded in San Mateo County, in the book and at the page of Official Records in the office of the county recorder of the county where said property is located, noted below opposite the name of the county, viz.:

COUNTY	BOOK	PAGE	COUNTY	BOOK	PAGE	COUNTY	BOOK	PAGE	COUNTY	BOOK	PAGE
Alameda	435	684	Kings	792	833	Placer	895	301	Sierra	29	335
Alpine	1	250	Lake	362	39	Plumas	151	5	Siskiyou	468	181
Amador	104	348	Lassen	171	471	Riverside	3005	523	Solano	1105	182
Butte	1145	1	Los Angeles	T2055	899	Sacramento	4331	62	Sonoma	1851	689
Calaveras	145	152	Madera	810	170	San Benito	271	383	Stanislaus	1715	456
Colusa	296	617	Marin	1508	339	San Bernardino	5567	61	Sutter	572	297
Contra Costa	3978	47	Mariposa	77	292	San Francisco	A332	905	Tehama	401	289
Del Norte	78	414	Mendocino	579	530	San Joaquin	2470	311	Trinity	93	366
El Dorado	568	456	Merced	1547	538	San Luis Obispo	1151	12	Tulare	2294	275
Fresno	4626	572	Modoc	184	851	San Mateo	4078	420	Tuolumne	135	47
Glenn	422	184	Mono	52	429	Santa Barbara	1878	860	Ventura	2062	386
Humboldt	657	527	Monterey	2194	538	Santa Clara	5336	341	Yolo	653	245
Imperial	1091	501	Napa	639	86	Santa Cruz	1431	494	Yuba	334	486
Inyo	147	598	Nevada	305	320	Shasta	684	528			
Kern	3427	60	Orange	5889	611	San Diego Series2 Book 1961, Page 183887					

(which provisions, identical in all counties, are printed on attached herewith) hereby are adopted and incorporated herein and made a part hereof as fully as though set forth herein at length; that Trustor will observe and perform said provisions; and that the references to property, obligations and parties in said provisions shall be construed to refer to the property, obligations, and parties set forth in this Deed of Trust.

TRUSTOR:

Geoffrey Kamen Choy and Ruth Heidi Choy, husband and wife, as joint tenants

By: _____

Name: Geoffrey Kamen Choy

Its: Owner

By: _____

Name: Ruth-Heidi Choy

Its: Owner

A notary public or other officer completing this certificate verifies only the identity of the individual who signed the document to which this certificate is attached, and not the truthfulness, accuracy, or validity of that document.

STATE OF CALIFORNIA)
)
COUNTY OF _____)

On _____, before me, _____, Notary Public, personally appeared _____, who proved to me on the basis of satisfactory evidence to be the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify UNDER PENALTY OF PERJURY under the laws of the State of California that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

_____
Name: _____
Notary Public

Exhibit A

Property Description

400 El Camino Real #210, Belmont, CA 94002

For APN/Parcel ID(s): 117-600-060

THE LAND REFERRED TO HEREIN BELOW IS SITUATED IN THE CITY OF BELMONT, COUNTY OF SAN MATEO, STATE OF CALIFORNIA AND IS DESCRIBED AS FOLLOWS:

A CONDOMINIUM COMPRISED OF:

PARCEL 1:

AN UNDIVIDED 1/74TH FEE SIMPLE INTEREST AS A TENANT IN COMMON IN AND TO THE COMMON AREA WHICH IS A PORTION OF THE PROPERTY SHOWN ON FINAL MAP OF 400 EL CAMINO REAL (THE "FINAL MAP") FILED NOVEMBER 9, 2018 IN BOOK 142 OF FINAL MAPS AT PAGES 16-17, IN THE OFFICE OF THE RECORDER OF THE COUNTY OF SAN MATEO, STATE OF CALIFORNIA ("OFFICIAL RECORDS") SHOWN ON THE CONDOMINIUM PLAN FOR THE ASHTON, FILED FOR RECORD IN THE OFFICIAL RECORDS ON DECEMBER 24, 2018 AS INSTRUMENT NO. 2018-100040, TOGETHER WITH ANY AMENDMENTS OR MODIFICATIONS THERETO ("CONDOMINIUM PLAN").

PARCEL 2:

UNIT 23, AS SHOWN ON THE CONDOMINIUM PLAN.

EXCEPTING THEREFROM THE EASEMENTS AS DESCRIBED IN THE DECLARATION REFERRED TO BELOW.

PARCEL 3:

AN EXCLUSIVE EASEMENT TO USE EACH PORTION OF THE ASSOCIATION PROPERTY, IF ANY, DESIGNATED IN THE CONDOMINIUM PLAN AS BEING AN EXCLUSIVE USE [BALCONY/PATIO] AREA APPURTENANT TO THE UNIT DESCRIBED IN PARCEL 2 ABOVE FOR THE PURPOSES DESCRIBED IN THE DECLARATION.

PARCEL 4:

NON-EXCLUSIVE APPURTENANT EASEMENTS IN AND TO THE ASSOCIATION PROPERTY AS SAID ASSOCIATION PROPERTY IS SHOWN ON THE CONDOMINIUM PLAN AND AS FURTHER DESCRIBED IN THAT CERTAIN DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS OF THE ASHTON RECORDED IN THE OFFICIAL RECORDS ON DECEMBER 24, 2018, AS INSTRUMENT NO. 2018-100041 AND ANY AMENDMENTS AND SUPPLEMENTS THERETO ("DECLARATION"),

FURTHER EXCEPTING THEREFROM THE EASEMENTS AND OTHER RIGHTS RESERVED IN FAVOR OF DECLARANT IN THE DECLARATION FOR MARKETING AND DEVELOPMENT INCLUDING WITHOUT LIMITATION, SUBJECT TO THE EXCLUSIVE USE EASEMENTS, THE RIGHT OF GRANTOR TO MAINTAIN MARKETING UNITS IN THE CONDOMINIUMS OWNED BY GRANTOR AS WELL AS THE RIGHT OF ACCESS, INGRESS AND EGRESS FOR VISITORS TO THE MARKETING UNITS AND THE RIGHT TO MAINTAIN SIGNS OR OTHER MARKETING MATERIALS WITHIN THE ASSOCIATION PROPERTY.

JPN: 256-090-000-23

TO BE REMOVED PRIOR TO RECORDATION:

SHORT FORM DEED OF TRUST AND ASSIGNMENT OF RENTS (INDIVIDUAL)

The following is a copy of provisions (1) to (14), inclusive, of the fictitious deed of trust, recorded in each county in California, as stated in the foregoing Deed of Trust and incorporated by reference in said Deed of Trust as being a part thereof as if set forth at length therein.

To Protect the Security of This Deed of Trust, Trustor Agrees:

(1) To keep said property in good condition and repair; not to remove or demolish any building thereon; to complete or restore promptly in good and workmanlike manner any building which may be constructed, damaged or destroyed thereon and to pay when due all claims for labor performed and materials furnished therefor; to comply with all laws affecting said property or requiring any alterations or improvements to be made thereon: not to commit or permit waste thereof; not to commit, suffer or permit any act upon said property in violation of law; to cultivate, irrigate, fertilize, prune and do all other acts which from the character or use of said property may be reasonably necessary, the specific enumerations herein not excluding the general.

(2) To provide, maintain and deliver to Beneficiary fire insurance satisfactory to and with loss payable to Beneficiary. The amount collected under any fire or other insurance policy may be applied by Beneficiary upon any indebtedness secured hereby and in such order as Beneficiary may determine, or at option of Beneficiary the entire amount so collected or any part thereof may be released to Trustor. Such application or release shall not cure or waive any default hereunder or invalidated any act done pursuant to such notice.

(3) To appear in and defend any action or proceeding purporting to affect the security hereof or the rights or powers of Beneficiary or Trustee; and to pay all costs and expenses, including cost of evidence of title and attorney's fees in a reasonable sum, in any such actions or proceeding in which Beneficiary or Trustee may appear, and in any suit brought by Beneficiary to foreclose this Deed.

(4) To pay: at least ten days before delinquency all taxes and assessments affecting said property, including assessments on appurtenant water stock; when due, all encumbrances, charges and liens with interest, on said property or any part thereof, which appear to be prior or superior hereto; all costs, fees and expenses of this Trust.

Should Trustor fail to make any payment or to do any act as herein provided, the Beneficiary or Trustee, but without obligation so to do and without notice to or demand upon Trustor and without releasing Trustor from any obligation hereof, may: make or do the same in such manner and to such extent as either may deem necessary to protect the security hereof, Beneficiary or Trustee being authorized to enter upon said property for such purposes; appear in and defend any action or proceeding purporting to affect the security hereof or the rights or powers of Beneficiary or Trustee; pay, purchase, contest or compromise any encumbrance, charge or lien which in the judgment of either appears to be prior to or superior hereto; and, in exercising any such powers, pay necessary expenses, employ counsel and pay his reasonable fees.

(5) To pay immediately and without demand all sums so expended by Beneficiary or Trustee, with interest from date of expenditure at amount allowed by law in effect at the date hereof, and to pay for any statement provided for by law in effect at the date hereof regarding the obligation secured hereby any amount demanded by the Beneficiary not to exceed the maximum allowed by law at the time when said statement is demanded.

That any award of damages in connection with any condemnation for public use or injury to said property or any part thereof is hereby assigned and shall be paid to Beneficiary who may apply or release such moneys received by him/her/them in the same manner and with the same effect as above provided for disposition of proceeds of fire or other insurance.

(6) That any award of damages in connection with any condemnation for public use or injury to said property or any part thereof is hereby assigned and shall be paid to Beneficiary who may apply or release such moneys received by him/her them in the same manner and with the same effect as above provided for disposition of proceeds of fire or other insurance.

(7) That by accepting payment of any sum secured hereby after its due date, beneficiary does not waive his right either to require prompt payment when due all other sums so secured or to declare default for failure so to pay.

(8) That at any time or from time to time, without liability therefor and without notice, upon written request of Beneficiary and presentation of this Deed and said Note for endorsement, and without affecting the personal liability of any person for payment of the indebtedness secured hereby, Trustee may; reconvey any part of said property, consent to the making of any map or plat thereof; join in granting any easement thereon, or join in any extension agreement or any agreement subordinating the lien or charge hereof.

(9) That upon written request of Beneficiary stating that all sums secured hereby have been paid, and upon surrender of this Deed and said Note to Trustee for cancellation and retention and upon payment of its fees, Trustee shall reconvey, without warranty, the property then held hereunder. The recitals in such reconveyance of any matters or facts shall be conclusive proof of the truthfulness thereof. The grantee in such reconveyance may be described as "the person or persons legally entitled thereto." Five years after issuance of such full reconveyance, Trustee may destroy this document (unless directed in such request to retain it).

(10) That as additional security, Trustor hereby gives to and confers upon Beneficiary the right, power and authority, during the continuance of these Trusts, to collect the rents, issues and profits of said property, reserving unto Trustor the right, prior to any default by Trustor in payment of any indebtedness secured hereby or in performance of any agreement hereunder, to collect and retain such rents, issues and profits as they become due and payable. Upon any such default, Beneficiary may at any time without notice, either in person, by agent, or by a receiver to be appointed by a court, and without regard to adequacy of any security for the indebtedness hereby secured enter upon and take possession of said property or any part thereof, in his/her/their own name sue for or otherwise collect such rents, issues and profits, including those past due and unpaid, and apply the same, less costs and expenses of operation and collection, including reasonable attorney's fees, upon any indebtedness secured hereby, and in such order as Beneficiary may determine. The entering upon and taking possession of said property, the collection of such rents issues and profits and the application thereof as aforesaid, shall not cure or waive any default or notice of default hereunder or invalidate any act done pursuant to such notice.

(11) That upon default by trustor in payment of any indebtedness secured hereby or in performance of any agreement hereunder, Beneficiary may declare all sums secured hereby immediately due and payable by delivery to Trustee of written declaration of default and demand for sale and of written notice of default and of election to cause to be sold said property, which notice Trustee shall cause to be filed for record. Beneficiary also shall deposit with Trustee this Deed, said Note and all documents evidencing expenditures secured hereby.

After the lapse of such time as may then be required by law following the recordation of said notice of default, and notice of sale having been given as then required by law, Trustee, without demand on Trustor, shall sell said property at the time and place fixed by it in said notice of sale, either as a whole or in separate parcels, and in such order as it may determine, at public auction to the highest bidder for cash in lawful money of the United States, payable at time of sale. Trustee may postpone sale of all or any portion of said property by public announcement at such time and place of sale and from time to time thereafter may postpone such sale by public announcement at the time fixed by the preceding postponement. Trustee shall deliver to such purchaser its deed conveying the property so sold, but without any covenant or warranty, express or implied. The recitals in such deed of any matters of facts shall be conclusive proof of the truthfulness thereof. Any person, including Trustor, Trustee, or Beneficiary as hereinafter defined, may purchase at such sale.

After deducting all costs, fees and expenses of Trustee and of this Trust, including cost of evidence of title in connection with sale, Trustee shall apply the proceeds of sale to payment of: all sums expended under the terms hereof, not the repaid, with accrued interest at the amount allowed by law in effect at the date hereof; all other sums then secured hereby; and the remainder, if any, to the person or persons legally entitled thereto.

(12) Beneficiary, or any successor in ownership of any indebtedness secured hereby, may from time to time, by instrument in writing, substitute a successor or successors to any Trustee named herein or acting hereunder, which instrument executed by the Beneficiary and duly acknowledged and recorded in the office of the recorder of the county or counties where said property is situated, shall be conclusive proof of proper substitution of such successor Trustee or Trustees, who shall, without conveyance from the Trustee predecessor, succeed to all its title, estate, rights, powers and duties. Said instrument must contain the name of the original Trustor, Trustee and Beneficiary hereunder, the book and page where this Deed is recorded and the name and address of the new Trustee.

(13) That this Deed applies to inures to the benefit of, and binds all parties hereto, their heirs, legatees, devisees, administrators, executors, successors and assigns. The term Beneficiary shall mean the owner and holder, including pledgees, of the Note secured hereby, whether or not named as Beneficiary herein. In this Deed, whenever the context so requires, the masculine gender includes the feminine and/or neuter, and the singular number includes the plural.

(14) That trustee accepts this Trust when this Deed, duly executed and acknowledged, is made a public record as provided by law. Trustee is not obligated to notify any party hereto of pending sale under any other Deed of Trust or of any action or proceeding in which Trustor, Beneficiary or Trustee shall be a party unless brought by Trustee.

PROMISSORY NOTE
(San Mateo-Child Care Loan Program)

$344,000 San Mateo, California
September __, 2026

FOR VALUE RECEIVED, **MIGHTY TIGER PRESCHOOL, a California Limited Liability Company** ("Borrower"), promises to pay to the City of San Mateo, a California municipal corporation ("Holder"), the principal sum of **three hundred forty-four thousand** Dollars ($**344,000**) plus interest thereon pursuant to Section 2 below. All capitalized terms used but not defined in this Promissory Note (the "Note") have the meanings set forth in the Loan Agreement (as defined below).

1. Borrower's Obligation. This Note evidences the Borrower's obligation to pay the Holder the principal amount of **three hundred forty-four thousand** Dollars ($**344,000**) loaned to Borrower by Holder pursuant to that certain Loan Agreement between Borrower and Holder of even date herewith (the "Loan Agreement").

2. Interest. Except as otherwise set forth herein, this Note does not bear interest. If a Default occurs, interest on the principal balance will begin to accrue as of the date of Default (following expiration of applicable notice and cure periods) and continuing until such time as the Loan funds are repaid in full or the Default is cured, at which time the accrued interest shall be automatically forgiven at the default rate of the lesser of ten percent (10%), compounded annually, or the highest rate permitted by law.

3. Term and Repayment Requirements. Annual forgiveness and payments due under this Note, if any, are due in accordance with this Note and as set forth in Section 2.7 of the Loan Agreement.

4. No Assumption. This Note is not assumable by the successors and assigns of Borrower without the prior written consent of the Holder, except as may be otherwise set forth in the Loan Agreement.

5. Security. This Note is secured by that certain Short Form Deed of Trust and Assignment of Rents (the "Deed of Trust") wherein the Borrower is the trustor and the Holder is the beneficiary.

6. Terms of Payment.

(i) Borrower shall make all payments due under this Note in currency of the United States of America to Holder at the City of San Mateo, 330 W. 20th Avenue, San Mateo, CA 94403, Attn: Community Development Department, or such other place as Holder may from time to time designate.

(a) All payments on this Note are without expense to Holder. Borrower shall pay all costs and expenses, including reconveyance fees and reasonable attorney's fees of Holder,

incurred in connection with the payment of this Note and the release of any security hereof.

(b) Notwithstanding any other provision of this Note, or any instrument securing the obligations of Borrower under this Note, if, for any reason whatsoever, the payment of any sums by Borrower pursuant to the terms of this Note would result in the payment of interest that exceeds the amount that Holder may legally charge under the laws of the State of California, then the amount by which payments exceed the lawful interest rate will automatically be deducted from the principal balance owing on this Note, so that in no event is Borrower obligated under the terms of this Note to pay any interest that would exceed the lawful rate.

(c) The obligations of Borrower under this Note are absolute and Borrower waives any and all rights to offset, deduct or withhold any payments or charges due under this Note for any reason whatsoever.

(d) Upon recordation of the Deed of Trust, this Note will be nonrecourse to the Borrower, pursuant to and except as provided in Section 2.8 of the Loan Agreement.

7. Default.

(a) The entire unpaid principal balance, together with all interest thereon, and together with all other sums payable under this Note, shall at the option of the Holder become immediately due and payable without further demand, upon occurrence of:

(i) Any failure of Borrower to pay, in full, any payment required under this Note within five (5) days after receipt of written notice that such payment is due;

(ii) Any failure in the performance by the Borrower of any other term, condition, provision or covenant set forth in this Note subject to the notice and cure period set forth in the Loan Agreement;

(iii) The occurrence of any Default under any of the Loan Documents, or other instrument securing the obligations of the Borrower under this Note or under any other promissory notes hereafter issued by the Borrower to the Holder pursuant to the Loan Agreement or the Deed of Trust, subject to notice and cure periods, if any, set forth therein.

(b) The Holder's failure to exercise the remedy set forth in Subsection 7(a) above or any other remedy provided by law upon the occurrence of a default will not constitute a waiver of the right to exercise any remedy at any subsequent time in respect to the same or any other default. The acceptance by Holder hereof of any payment which is less than the total of all amounts due and payable at the time of such payment will not constitute a waiver of the right to exercise any of the foregoing remedies or options at that time or at any subsequent time, or nullify any prior exercise of any such remedy or option, without the express consent of the Holder, except as and to the extent otherwise provided by law.

8. Waivers.

(a) Borrower hereby waives diligence, presentment, protest and demand, and notice of protest, notice of demand, notice of dishonor and notice of non-payment of this Note. Borrower expressly agrees that this Note or any payment hereunder may be extended from time to time, and that Holder may accept further security or release any security for this Note, all without in any way affecting the liability of Borrower.

(b) Any extension of time for payment of this Note or any installment hereof made by agreement of Holder with any person now or hereafter liable for payment of this Note must not operate to release, discharge, modify, change or affect the original liability of Borrower under this Note, either in whole or in part.

9. Miscellaneous Provisions.

(a) All notices to Holder or Borrower are to be given in the manner and at the addresses set forth in the Loan Agreement, or to such addresses as Holder and Borrower may therein designate.

(b) Borrower promises to pay all costs and expenses, including reasonable attorney's fees, incurred by Holder in the enforcement of the provisions of this Note, regardless of whether suit is filed to seek enforcement.

(c) This Note may not be changed orally, but only by an agreement in writing signed by the party against whom enforcement of any waiver, change, modification or discharge is sought.

(d) This Note is governed by the laws of the State of California.

(e) The times for the performance of any obligations hereunder are to be strictly construed, time being of the essence.

(f) The Loan Documents, of which this Note is a part, contain the entire agreement between the parties as to the Loan. This Note may not be modified except upon the written consent of the parties.

Remainder of Page Left Intentionally Blank

IN WITNESS WHEREOF, this Promissory Note is executed by Borrower and is effective as of the date first written above.

BORROWER:
MIGHTY TIGER PRESCHOOL,
a California Limited Liability Company

By: _____

Name: Geoffrey K. Choy

Its: LLC Member

By: _____

Name: Ruth Heidi. Choy

Its: LLC Member

CITY OF SAN MATEO

City Hall
330 W. 20th Avenue
San Mateo CA 94403
www.cityofsanmateo.org

Agenda Report

Agenda Number: 10 | Section Name: CONSENT CALENDAR | Account Number: 14-5122 | File ID: 26-11631

TO: City Council

FROM: Alex Khojikian, City Manager

PREPARED BY: Police Department

MEETING DATE: October 05, 2026

SUBJECT:
Parking Enforcement Services — Amendment

RECOMMENDATION:
Approve Amendment No. 4 to the agreement with Laz Parking for Citywide parking enforcement in the amount of $1,581,576 for a new agreement total not to exceed $9,375,151; and authorize the Chief of Police to execute the amendment in substantially the form presented.

BACKGROUND:
The City of San Mateo has contracted for parking enforcement services with LAZ Parking (formerly Serco) since 2019. Enforcement activities in the City commenced in 2020, with a scope of work including issuing parking citations for observed violations in the Downtown commercial district, Residential Parking Permit Program (RPPP) zones, and for street sweeping violations; completing data entry and uploading citation data for processing; monitoring equipment and signage and reporting any damage; and performing other duties as needed such as traffic control and operational support at special events. The current contract was originally executed in 2021 in the amount of $2,034,004 for a term ending on November 30, 2022. The contract has been amended three times before. In 2022, Amendment No. 1 was executed to extend the term and increase compensation by $2,773,216. In 2024, Amendment No. 2 was executed to extend the term and increase compensation by $1,464,506. In 2025, Amendment No. 3 was executed to extend the term and increase compensation by $1,521,849.

The term of the current amended contract concludes on November 30, 2026, with an option to extend for an additional one (1) year term. The service provided by LAZ continues to meet expectations, and staff wishes to continue to partner with LAZ for parking enforcement services and exercise the option to extend the contract for an additional year. Amendment No. 4 extends the term for one year, and increases compensation by four percent, which is aligned with prior annual increases.

BUDGET IMPACT:
Parking enforcement activities are funded by the Downtown Services Fund. Costs for contracted enforcement services are included in the Police Department's operating budget, and the cost of Amendment No. 4 can be accommodated within the adopted 2026-27 budget.

ENVIRONMENTAL DETERMINATION:
This action is not a project subject to CEQA, because it can be seen with certainty that it will not cause a physical change in the environment. (Public Resources Code Section 21065.)

STRATEGIC PLAN ALIGNMENT
This staff report supports the Public Safety initiative.

NOTICE PROVIDED
All meeting noticing requirements were met.

ATTACHMENTS
Att 1 – Proposed Amendment No. 4

STAFF CONTACT
Ed Barberini, Chief of Police
ebarberini@cityofsanmateo.org
(650) 522-7600

Dave Peruzzaro, Captain of Police
dperuzzaro@cityofsanmateo.org
(650) 522-7684

AMENDMENT NO. 4 TO THE AGREEMENT
BETWEEN THE CITY OF SAN MATEO AND LAZ PARKING CALIFORNIA LLC
FOR CONTRACT PARKING ENFORCEMENT SERVICES FOR CITYWIDE PARKING ENFORCEMENT
(Original Amount: $2,034,004; Amendment No. 1: $2,773,216; Amendment No. 2: $1,464,506; Amendment No. 3: $1,521,849; Amendment No. 4 $1,581,576
New Amount Not to Exceed $9,375,151)

This Amendment is made and entered into this ____ day of October, 2026, by and between the CITY OF SAN MATEO, a municipal corporation existing under the laws of the State of California ("CITY"), and LAZ Parking California LLC, a Connecticut Limited Liability Company ("CONTRACTOR").

WHEREAS, the City and CONTRACTOR entered into an Agreement for Contracted Parking Enforcement Services for Citywide Parking Enforcement ("Agreement") on May 5, 2021; and

WHEREAS, the City and CONTRACTOR entered into Amendments 1, 2 and 3 on November 4, 2022, December 6, 2024, and December 7, 2025, respectively to increase compensation and extend the term as described therein; and

WHEREAS, City and CONTRACTOR wish to amend the Agreement effective December 1, 2026 to increase compensation and extend the term of this Agreement.

NOW, THEREFORE, the parties agree as follows:

1. Section 4 of the Agreement is amended to read:

   Term: The services to be performed under this agreement shall commence on May 5, 2021 and will remain in effect for a period ending November 30, 2027, for a continuation of services as detailed in the Agreement, with the option to extend for one (1) additional one (1) year term. City will exercise each option via a modification signed by both parties.

2. Section 5 of the Agreement is amended to read:

   Payment: Payment shall be made by CITY only for services rendered and upon submission of a payment request upon completion and CITY approval of the work performed. In consideration for the full performance of the services set forth in Exhibit A, City agrees to pay CONTRACTOR a fee pursuant to the rates stated in Exhibit F "Year 7", attached and incorporated by reference. The payment terms are due 30 days from receipt of a monthly invoice summarizing hours worked and other direct costs (ODCs) provided by Contractor.

3. The remaining terms of the Agreement remain in full force and effect.

[SIGNATURE PAGE FOLLOWS]

IN WITNESS WHEREOF, CITY OF SAN MATEO and LAZ PARKING CALIFORNIA LLC have executed this Agreement the day and year as indicated below.

CITY OF SAN MATEO		CONTRACTOR	
Ed Barberini Chief of Police	Date	John Svendblad President, West Coast	Date

APPROVED AS TO FORM

Bahar Abdollahi Assistant City Attorney	Date

EXHIBIT F
PAYMENT RATES

Contract Pricing Schedule							
	Contract Year		Hourly	Monthly	Annual Hours		Annually
PEO - Time & Material (T&M)							
**Partial Year (8 months)*	**Year 1**	$	36.88		14,080	$	519,331
	Year 2	$	38.62		21,120	$	815,689
	Year 3	$	44.40		21,120	$	937,644
	Year 4	$	46.31		21,120	$	978,067
	Year 5	$	48.16		21,120	$	1,017,190
	Year 6	$	50.09		21,120	$	1,057,877
	Year 7	$	52.09		21,120	$	1,100,193
PM - Time & Material (T&M)							
**Partial Year (8 months)*	**Year 1**	$	86.51		1,280	$	110,739
	Year 2	$	88.27		1,920	$	169,479
	Year 3	$	90.07		1,920	$	172,936
	Year 4	$	91.91		1,920	$	176,464
	Year 5	$	95.59		1,920	$	183,526
	Year 6	$	99.41		1,920	$	190,867
	Year 7	$	103.39		1,920	$	198,502
Other Direct Charges (ODCs)							
**Partial Year (8 months)*	**Year 1**			$ 18,382		$	147,052
	Year 2			$ 18,500		$	221,999
	Year 3			$ 18,624		$	223,483
	Year 4			$ 18,747		$	224,966
	Year 5			$ 19,497		$	233,963
	Year 6			$ 20,277		$	243,321
	Year 7			$ 21,088		$	253,054
Automated License Plate Technology							
ALPR Support Services							
**Partial Year (8 months)*	**Year 1**			$ 2,486		$	19,866
	Year 2			$ 2,486		$	29,828
	Year 3			$ 2,486		$	29,828
	Year 4			$ 2,486		$	29,828
	Year 5			$ 2,486		$	29,828
	Year 6			$ 2,486		$	29,828
	Year 7			$ 2,486		$	29,828
Estimated Annual Contract Value							
	Year 1		*(Partial Year - 8 Months)*			$	796,008
	Year 2					$	1,236,996
	Year 3					$	1,363,891
	Year 4					$	1,409,325
	Year 5					$	1,464,506
	Year 6					$	1,521,893
	Year 7					$	1,581,576

CITY OF SAN MATEO

City Hall
330 W. 20th Avenue
San Mateo CA 94403
www.cityofsanmateo.org

Agenda Report

Agenda Number: 11 | Section Name: CONSENT CALENDAR | Account Number: 10-5112 | File ID: 26-11632

TO: City Council

FROM: Alex Khojikian, City Manager

PREPARED BY: Police Department

MEETING DATE: October 05, 2026

SUBJECT:
Grand Jury Report: "Is Our Flock of ALPR Cameras Properly Tended?" — Response Letter

RECOMMENDATION:
Approve a letter responding to the August 3, 2026, San Mateo County Civil Grand Jury report titled "Is Our Flock of ALPR Cameras Properly Tended?" and authorize the Mayor to send the response of behalf of the City Council.

BACKGROUND:
On August 3, 2026, the San Mateo County Civil Grand Jury released a report entitled "Is Our Flock of ALPR Cameras Properly Tended?" (Attachment 2). The purpose of the report is to examine whether Automated License Plate Reader (ALPR) operators in San Mateo County are in full compliance with applicable California law and whether their practices align with their adopted ALPR policies. The Grand Jury developed five findings and five recommendations applicable to the City of San Mateo. The response to each finding and recommendation requires City Council approval and is due to the Grand Jury no later than November 2, 2026.

The draft response letter is attached to this report as Attachment 1. In summary, staff agreed with the findings of the report. At the time of the Civil Grand Jury's review, the San Mateo Police Department's ALPR audits were not being completed consistently on a monthly basis. However, since the review, the Department has implemented a formal monthly audit process in accordance with California law, Lexipol Policy 463, and Standard Operating Procedure (SOP) 205. These audits provide documented oversight, reinforce accountability, and help verify that the Department's ALPR system is being used appropriately and for authorized law enforcement purposes.

Furthermore, the recommendations detailed in the report have been implemented or will be implemented. Since submitting its Automated License Plate Reader records, policies, and procedures to the Civil Grand Jury on December 30, 2025, the Police Department has continued to evaluate and strengthen the ALPR program. Consistent with the Department's commitment to transparency, accountability, and compliance with California law, SMPD has enhanced its audit process, revised its Standard Operating Procedure, and updated departmental policy. These actions reflect the Police Department's continuing efforts to ensure the lawful and responsible use, oversight, and management of ALPR technology.

BUDGET IMPACT:
There is no budget impact associated with this action.

ENVIRONMENTAL DETERMINATION:
This action is not a project subject to CEQA, because it is an organizational or administrative activity that will not result in direct or indirect physical changes in the environment. (CEQA Guidelines Section 15378(b)(5).)

STRATEGIC PLAN ALIGNMENT
This staff report supports the Public Safety initiative.

NOTICE PROVIDED
All meeting noticing requirements were met.

ATTACHMENTS
Att 1 – Draft Response Letter
    Exhibit A – Lexipol Policy 463
    Exhibit B – Standard Operating Procedure 205
Att 2 – Grand Jury Report

STAFF CONTACT
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October 5, 2026

Honorable Rachel Holt
Judge of the Superior Court
c/o Jenarda Dubois
Hall of Justice
400 County Center; 8th Floor
Redwood City, CA 94063-1655

RESPONSE TO GRAND JURY REPORT: "IS OUR FLOCK OF ALPR CAMERAS PROPERLY TENDED?"

Honorable Judge Holt –

Thank you for the opportunity to review and comment on the above referenced Grand Jury Report filed on August 3, 2026. The City of San Mateo's response to both the findings and the recommendations are listed below:

Response to Grand Jury Findings:

F4. The ALPR operator did not produce records demonstrating that audits required by its ALPR policy had been conducted.
Response to F4: Respondent agrees with this finding.

F5. The audit reports produced by the ALPR operator were insufficient to substantiate compliance with applicable California law and the operator's published ALPR policy.
Response to F5: Respondent agrees with this finding.

F6. The ALPR operator's Flock Safety contract does not include provisions specifically requiring compliance with applicable California ALPR laws.
Response to F6: Respondent agrees with this finding.

F7. The operator's ALPR policy described a process requiring written requests and executed agreements for ALPR data-sharing relationships; however, the records produced did not substantiate that this process was followed or that the required agreements were obtained.

DRAFT

Response to F7: Respondent agrees with this finding.

F8. The operator's ALPR policy did not establish criteria governing the approval of in-state ALPR data-sharing requests or the termination of existing network-sharing relationships.
Response to F8: Respondent agrees with this finding.

Response to Grand Jury Recommendations:

R4. The ALPR operator should prepare audit reports in accordance with the frequency stated in the operator's published ALPR policy.
The recommendation has been implemented. Since submitting its ALPR records to the Civil Grand Jury on December 30, 2025, the San Mateo Police Department has updated its ALPR policy and procedures and implemented monthly audits of the ALPR system. The audits are conducted in accordance with Lexipol Policy 463 and SOP 205. Copies of the updated policy and SOP are attached for reference (Exhibits A and B).

R5. The audit reports produced by the ALPR operator should substantiate compliance with applicable California law and the operator's published ALPR policy.
The recommendation has been implemented. The Department's monthly audit process is designed to evaluate compliance with Senate Bill 34, Senate Bill 54, California Civil Code sections 1798.90.5 through 1798.90.55, Lexipol Policy 463, and SOP 205. Audit results are documented and reported by the Department's ALPR System Administrator to the Chief of Police. The Police Department will continue to review its policies, training, audit practices, and oversight procedures to ensure the lawful, transparent, and accountable use of ALPR technology.

R6. Upon contract renewal, the ALPR operator should incorporate contractual language requiring vendor compliance with applicable California law and prohibiting vendors from disclosing ALPR data to unauthorized third parties. Operators should consider provisions similar to those contained in the Town of Colma contract with Flock.
The recommendation will be implemented. At the time of renewal with Flock Safety or entrance into a new agreement with an alternate service provider, the Police Department will seek contractual language requiring compliance with applicable California law and prohibiting the disclosure of ALPR data to unauthorized third parties. The Department will review the contractual provisions used by the Town of Colma to determine appropriate language for inclusion in a renewed or new agreement.

R7. The ALPR operator should update its ALPR policy to accurately reflect the process used to approve ALPR data-sharing relationships.
The recommendation has been implemented. As a precautionary measure, the Police Department disabled all external access to SMPD ALPR data. Outside agencies may not access SMPD ALPR data unless the agency has entered into an approved ALPR Data Sharing Agreement and the sharing relationship has been reviewed and authorized in accordance with Department policy. The Department has updated its policy to establish a process for reviewing, approving, and documenting ALPR data-sharing relationships. The revised provisions require each proposed relationship to be evaluated for compliance with applicable law, Department policy, and a legitimate law enforcement purpose before access is granted.

DRAFT

R8. The ALPR operator should include in their ALPR policies written criteria governing the approval, denial, periodic review, and termination of in-state ALPR network-sharing relationships.
The recommendation has been implemented. The Police Department has revised its ALPR policy to include written criteria governing the approval, denial, periodic review, and termination of in-state ALPR network-sharing relationships. The revised policy establishes documented standards for evaluating each sharing relationship and conducting periodic reviews to confirm that continued access remains lawful, necessary, and consistent with Department policy.

The City continues to support the ongoing work of the San Mateo Police Department to be leaders in the area of transparency, legitimacy and community engagement. Since submitting its Automated License Plate Reader records, policies, and procedures to the Civil Grand Jury on December 30, 2025, the San Mateo Police Department has continued to evaluate and strengthen its ALPR program. Consistent with the Department's commitment to accountability, and compliance with California law, SMPD has enhanced its audit process, revised its Standard Operating Procedure, and updated departmental policy. These actions reflect the Department's continuing efforts to ensure the lawful and responsible use, oversight, and management of ALPR technology.

This response to the Grand Jury was approved at a public meeting on October 5, 2026.

Respectfully,

Adam Lorraine
Mayor – City of San Mateo

Exhibit A – Lexipol Policy 463
Exhibit B – Standard Operating Procedure 205

DRAFT

Automated License Plate Readers (ALPRs)

463.1 PURPOSE AND SCOPE

The purpose of this policy is to provide guidance for the capture, storage and use of digital data obtained through the use of Automated License Plate Reader (ALPR) technology.

463.2 ADMINISTRATION

The ALPR technology, also known as License Plate Recognition (LPR), allows for the automated detection of license plates. It is used by the San Mateo Police Department to convert data associated with vehicle license plates for official law enforcement purposes, including identifying stolen or wanted vehicles, stolen license plates and missing persons. It may also be used to gather information related to active warrants,,, suspect interdiction, and stolen property recovery.

All installation and maintenance of ALPR equipment, as well as ALPR data retention and access, shall be managed by the ALPR Committee Captain or their designee. The ALPR Committee Captain or their designee will assign members under his/her command to administer the day-to-day operation of the ALPR equipment and data.

463.2.1 ALPR ADMINISTRATOR

The ALPR Committee Captain, as the ALPR Administrator, or their designee, shall be responsible for developing guidelines and procedures to comply with the requirements of Civil Code § 1798.90.5 et seq. These guidelines and procedures are delineated in this policy and/or in our Department's Automated License Plate Readers Operating Procedure.

463.3 DEFINITIONS

"**Automated license plate recognition operator**" or "**ALPR operator**," means a person that operates an ALPR system. For our Department purposes, this will usually refer to our personnel or authorized designee operating a vehicle or other item of equipment with ALPR cameras collecting license plate data.

"**Automated license plate recognition end-user**" or "**ALPR end-user**" means a person that accesses or uses an ALPR system. For our Department purposes, this will usually refer to our personnel or authorized designee accessing data on a retroactive basis that is collected and stored in a centralized database(s).

463.4 OPERATIONS

Use of an ALPR is restricted to the purposes outlined below. Department members shall not use, or allow others to use the equipment or database records for any unauthorized purpose (Civil Code § 1798.90.51; Civil Code § 1798.90.53).

(a) An ALPR shall only be used for official law enforcement business by any Department member(s) or authorized designee whose job duties necessitate the use of ALPR and that have completed Department approved training.

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(b) An ALPR may be used in conjunction with any routine patrol operation or criminal investigation. Reasonable suspicion or probable cause is not required before using an ALPR.

(c) Partial license plates and unique vehicle descriptions reported during major or serial crimes should be entered into the ALPR system in an attempt to identify suspect vehicles.

(d) No member of this department or authorized designee shall operate ALPR equipment or access ALPR data without first completing department-approved training. This training is further described in SOP 205.

(e) A search by any Department members(s) of ALPR data shall be completed by providing a reason for the search, usually an agency case number, incident number, or a warrant number.

(f) The employee or authorized designee using our ALPR system must recognize that the data collected from the ALPR device, and the content of referenced hotlists, consists of data that may or may not be accurate, despite ongoing efforts to maximize the currency and accuracy of such data.To the greatest extent possible, vehicle and subject information will be verified using separate law enforcement information sources to confirm the vehicle or subject's identity and justification for contact.Users of ALPR data must to the fullest extent possible visually confirm the actual plate characters generated by the ALPR readers correspond with the digital image of the license plate in question.

(g) A search of the ALPR data may not be used to investigate, interrogate, detain, detect, or arrest person for immigration purposes. (CA Gov Code 7284)

463.5 DATA COLLECTION AND RETENTION

The ALPR Committee Captain or their designee is responsible for ensuring systems and processes are in place for the proper collection and retention of ALPR data.

All ALPR data downloaded to the server should be stored for 30 days from the collection date. ALPR information being used as criminal evidence will be retained until the criminal matter is resolved and/or in accordance with other criminal evidentiary retention schedules. All data and images gathered by ALPR are for the official use of the San Mateo Police Department and because such data may contain confidential CLETS information, it is not open to public review. ALPR information gathered and retained by this Department may be used and shared with prosecutors or others only as law permits.

Data relevant to a criminal prosecution should be exported from the ALPR system and securely transferred to digital evidence storage according to established department procedures.

463.6 ACCOUNTABILITY

All data will be closely safeguarded and protected by both procedural and technological means. The San Mateo Police Department will observe the following safeguards regarding access to and use of stored data (Civil Code § 1798.90.51; Civil Code § 1798.90.53):

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(a) All ALPR data downloaded to the mobile workstation and in storage shall be accessible only through a login/password-protected system capable of documenting all access of information by name, date and time (Civil Code § 1798.90.52).

(b) Members approved to access ALPR data under these guidelines are permitted to access the data for legitimate law enforcement purposes only, such as when the data relates to a specific criminal investigation or department-related civil or administrative action.

(c) ALPR system audits should be conducted on a regular basis, as described in SOP 205.

For security or data breaches, see the Records Release and Maintenance Policy.

463.7 POLICY

The policy of the San Mateo Police Department is to utilize ALPR technology to capture and store digital license plate data and images while recognizing the established privacy rights of the public.

All data and images gathered by the ALPR are for the official use of this department. Because such data may contain confidential information, it is not open to public review.

463.8 ALPR DATA SHARING

The Department may share ALPR data only with another California public agency and only as authorized by any other applicable federal or state law. The Department shall not sell, share, or transfer ALPR data to any private entity, nongovernmental organization, or out-of-state agency except as otherwise expressly authorized by law.

The following procedures are guidelines for the ALPR in-state network data-sharing relationship requests:

(a) The agency makes a written request for the ALPR in-state network data-sharing relationship that includes:

  (a) The name of the agency.

  (b) The name of the person requesting.

  (c) The intended purpose of obtaining the data sharing-relationship

(b) The request is reviewed by the ALPR Program Administrator and approved before the request is fulfilled.

(c) The approved request is retained on file.

Requests for ALPR data by non-California public agencies will be processed as provided in the Records Maintenance and Release Policy (Civil Code § 1798.90.55).

APPROVAL CRITERIA

The ALPR Program Administrator shall establish and maintain written criteria for evaluating all requests for in-state ALPR network-sharing access. Before approving a network-sharing relationship, the ALPR Program Administrator shall determine that:

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(a) The requesting entity is a California public agency authorized by law to receive ALPR information.

(b) The requesting agency has a publicly available ALPR Usage and Privacy Policy that complies with California Civil Code sections 1798.90.51 through 1798.90.55.

(c) The requesting agency certifies that ALPR information will be accessed and used only for lawful purposes authorized by California law.

(d) The requesting agency agrees to comply with all applicable security, audit, retention, privacy, and dissemination requirements established by law and Department policy.

(e) A written agreement or documented authorization governing the network-sharing relationship has been executed and approved by the Department.

DENIAL CRITERIA

The ALPR Program Administrator shall deny a request for network-sharing access when:

(a) The requesting entity is not an eligible California public agency.

(b) The request is not authorized by law.

(c) The requesting agency fails to provide the certifications or documentation required by this policy.

(d) The requesting agency has demonstrated a history of misuse of ALPR information or noncompliance with applicable law or policy.

(e) Approval would create an unacceptable legal, operational, security, or privacy risk.

PERIODIC REVIEW

The ALPR Program Administrator shall review each approved in-state network-sharing relationship at least annually to determine continued compliance with applicable law and Department policy.

The review shall include, at a minimum:

(a) Verification that the participating agency remains eligible to receive ALPR information.

(b) Confirmation that the agency continues to maintain a compliant ALPR Usage and Privacy Policy.

(c) Verification that the operational need for continued sharing remains valid.

The results of the review shall be documented and retained in accordance with the Department's records retention schedule.

SUSPENSION OR TERMINATION

The Department may suspend or terminate a network-sharing relationship immediately whenever the ALPR Program Administrator determines that:

(a) The participating agency no longer qualifies as an eligible California public agency.

(b) The agency violates California law governing ALPR information.

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(c) The agency violates the terms of the applicable sharing agreement.

(d) Continued sharing presents an unacceptable privacy, legal, operational, or cybersecurity risk.

(e) Continued sharing is no longer necessary to accomplish a legitimate law enforcement purpose.

The ALPR Program Administrator shall document the basis for any suspension or termination and shall notify the participating agency of the decision.

DOCUMENTATION

The Department shall maintain records of all approvals, denials, periodic reviews, suspensions, and terminations of in-state ALPR network-sharing relationships. Such records shall include the basis for each decision and shall be retained in accordance with applicable records retention requirements.

463.9 TRAINING

The ALPR Administrator shall ensure that members receive department-approved training to operate or access the ALPR system (Civil Code § 1798.90.51; Civil Code § 1798.90.53). This training is further described in SOP 205.

463.10 ALPR DATA SEARCH AUDITS

It is the responsibility of the ALPR Committee Captain or the authorized designee to ensure an audit is conducted of ALPR data searches at least monthly for internal ALPR users and quarterly for external CA public agency users. The audit shall be documented in the form of an internal department memorandum to the Chief of Police. The memorandum shall include any data errors found so any such errors can be corrected. After review by the Chief of Police, the memorandum and any associated documentation shall be filed and retained.

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Automated License Plate Reader Operating Procedure

205.1 PURPOSE AND SCOPE

This Standard Operating Procedure provides guidelines for the operation and accessing of the Department's Automated License Plate Reader (ALPR) program and data. This document is intended to supplement Policy 463.

Our Department currently uses three independent ALPR technology platforms - Flock Safety Inc. and AXON Fleet 3 Police Vehicle In-Car Camera System.

In accordance with the California Values Act, ALPR data may not be used for the purposes of immigration enforcement or other similar duties.

This Standard Operating Procedure, along with ALPR Policy, shall be posted conspicuously on our Department website.

205.2 DEFINITIONS

The following definitions for 'Operator' and 'End-User,' are listed in our Policy 463, and come from California Civil Code 1798.

"**Automated license plate recognition operator**" or "**ALPR operator**," means a person that operates an ALPR system. For our Department purposes, this will usually refer to our personnel or authorized designee operating a vehicle or other item of equipment with ALPR cameras collecting license plate data.

"**Automated license plate recognition end-user**" or "**ALPR end-user**" means a person that accesses or uses an ALPR system. For our Department purposes, this will usually refer to our personnel or authorized designee accessing historical data that is collected and stored in a centralized database(s).

205.3 ALPR OPERATOR TRAINING

Prior to the operation of the our Department approved ALPR system, any person operating a system shall complete Department approved training. The training will be coordinated by the Department Training Division, and shall include the following:

- A general review of the functionality of the vendor's software system
- The authorized purposes for operating the ALPR system.
- How to access the software system, by way of a login/password protected registry
- How our vendor maintains logs of access and use
- How our vendor retains and purges data from its system

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- How our vendor maintains system security to protect collected data
- How to trouble-shoot and report basic malfunctions

Departmental Operator training will be included in the onboarding process for new personnel.Records of this training shall be maintained by our Training Division. Additional or refresher training will be determined by the department system administrator.

205.4 ALPR END-USER TRAINING

Prior to accessing the ALPR platforms to review data as end-users, any person doing so shall complete Department approved training. The training will be coordinated by the Department Training Division, and shall include the following:

- A general review of how the ALPR Platform works
- The authorized purposes for accessing the ALPR platform
- Every ALPR data search shall be documented with a reason for the search, usually by agency case number, incident number, or warrant number.
- How to access the software system, by way of a login/password protected registry
- How the ALPR platform maintains logs of operator access and use
- How the ALPR platform retains and purges data from its systems

Any person(s) using the ALPR platform as end-user shall complete Department approved training.

205.5 ALPR SYSTEMS AUDITING

The Field Operations Captain has administrative responsibility for the ALPR platforms. This responsibility may be delegated to a designee as appropriate. ALPR systems audit should be completed monthly to ensure compliance of department policies. The results of this audit should be submitted to the Chief of Police for their review.

205.5.1 ALPR PLATFORMS

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Flock Safety

The Flock Safety Automated License Plate Recognition (ALPR) system consists of networked cameras that automatically capture license plate images and associated vehicle characteristics, including make, model, color, and other identifying attributes as vehicles pass within view of the cameras.

The primary purpose of the system is to assist law enforcement in preventing, deterring, and investigating crime by generating searchable ALPR data and providing real-time alerts when a detected license plate is associated with vehicles linked to stolen vehicles, vehicles involved in criminal activity, missing persons, AMBER Alerts, Silver Alerts, wanted individuals, or missing persons.

All ALPR detections collected through the Flock Safety system are stored within Flock Safety's secure cloud-based infrastructure. The system utilizes industry-standard encryption to protect ALPR information both in transit and at rest. Administrative, technical, and physical safeguards are implemented to protect ALPR information from unauthorized access, disclosure, modification, or destruction, consistent with applicable security standards.

Access to ALPR information is restricted to authorized personnel for legitimate law enforcement purposes, and system activity is subject to audit logging.

Axon Fleet 3 Police In-Vehicle Camera System

The Axon Fleet 3 Police In-Vehicle Camera System is an in-car video and digital evidence management platform designed for public safety vehicles. The system integrates video recording, automated license plate recognition (ALPR) functionality, and real-time connectivity into a single platform to support law enforcement operations and evidence collection.

The system may capture ALPR detections and associated vehicle characteristics when equipped with ALPR capabilities. This information may be used to assist law enforcement personnel in investigating crimes, identifying vehicles associated with missing persons, criminal activity, locating stolen vehicles, and supporting public safety operations.

Axon Fleet 3 incorporates security controls designed to protect digital evidence and ALPR information. Data collected by the system is encrypted during transmission and while stored, and is maintained within CJIS-compliant cloud storage environments. Access to the system and data is restricted through role-based access controls and authentication measure

205.6 PROTOCOL REVIEW

This Standard Operating Procedure should be reviewed on an annual basis with the Field Operations Captain, or their designee, and any other person(s) as determined by the Field Operations Captain.

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205.7 ALPR COMMITTEE

The ALPR committee will meet to discuss ALPR systems audit, training, equipment issues and maintenance, review policy and SOP, and other projects related to automated license plate systems.

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Is Our Flock of ALPR Cameras Properly Tended?

San Mateo County Civil Grand Jury
2025-2026

Release Date: August 3, 2026

ISSUE | SUMMARY | BACKGROUND | METHODOLOGY | DISCUSSION | FINDINGS
RECOMMENDATIONS | REQUEST FOR RESPONSES | RESPONSE REQUIREMENTS |
BIBLIOGRAPHY | APPENDIX

ISSUE

Over the past year, Automated License Plate Readers (ALPRs) have come under increasing public scrutiny. This report examines whether ALPR operators in San Mateo County (SMC) are in full compliance with applicable California law and whether their practices align with their adopted ALPR policies.

SUMMARY

Automated License Plate Readers have become widely deployed in SMC, with more than 500 cameras now in operation by law enforcement agencies (LEAs) within the County. The rapid increase in ALPR deployment has been accompanied by California legislation governing ALPR use, and also by increased media coverage of alleged violations. Over the past year, SMC LEAs have made notable operational improvements, particularly with respect to out-of-state data sharing. Most changes were driven by stronger default compliance made by Flock Safety (Flock), now the dominant ALPR platform among the SMC operators reviewed. But SMC ALPR operators continue to have many of the same operational deficiencies identified by a 2019 California State Audit that investigated four operators elsewhere in California. Many of the required policy documents are deficient or need significant revision to accurately reflect current operations, and audit materials produced were inconsistent in scope and rigor. Although the materials reviewed did not identify current sharing by SMC operators with out-of-state entities, most operators did not document criteria, process, or controls governing in-state sharing in a manner sufficient to demonstrate compliance with law. This report presents findings and recommendations to promote transparent operation of ALPR systems consistent with public safety, privacy, and applicable law.

BACKGROUND

Automated License Plate Readers

Automated License Plate Readers (ALPRs) are camera-based systems that automatically capture and analyze license plates on passing vehicles. Cameras are typically located at fixed roadside locations along high-traffic corridors, major intersections, city entry/exit routes, areas with high crime rates, and transportation infrastructure (bridges, tunnels, freeways). These systems combine high-speed cameras, infrared illumination, and optical character recognition software to convert license plate images into searchable digital data. Law enforcement agencies use ALPR systems to locate stolen vehicles, identify vehicles connected to criminal investigations, generate investigative leads, and assist in locating missing persons. When connected through regional or national networks, ALPR systems allow investigators to reconstruct vehicle movements across jurisdictions.

Digital imaging, optical character recognition, and large-scale data storage allow ALPR systems to process large numbers of license plates quickly and automatically. Modern systems can read thousands of plates per hour and store the results in databases that investigators can search later.

When a motor vehicle is detected by an ALPR as it passes through the camera's field of view, a digital record is generated recording the vehicle's license plate number, an image of the plate, a

contextual image of the vehicle (make, model, color, etc.), the date and time of the scan, the location of the camera, and the identification number of the camera device. Once the image is captured, the digital record is immediately transmitted to a cloud-based database that compares the scanned license plate and other vehicle data against law enforcement watch lists, often referred to as "hot lists," that may include information on vehicles that have been reported stolen, those associated with criminal investigations, outstanding warrants, or connected to missing persons or Amber Alerts. When a match occurs, the system can send an alert to officers or dispatch centers in real time.

ALPR cameras are usually deployed as part of a network such that when the same vehicle is detected by multiple cameras, investigators can analyze those detections to determine travel routes and timelines. By default, only data captured by cameras within that local jurisdiction are available. LEAs typically elect to contribute their data to regional databases or multi-jurisdictional systems that allow sharing across multiple cities, counties, or states. The ability to share data among multiple jurisdictions is more effective in assisting law enforcement in their investigations as suspects rarely limit their travel within a single jurisdiction.

As of March 30, 2026, more than 582 ALPR cameras were deployed across SMC. These cameras are operated by municipal police departments within their respective jurisdictions and by the San Mateo County Sheriff's Office (SMCSO) in unincorporated areas and in jurisdictions where the Sheriff provides contracted law enforcement services. The only police department in SMC with no ALPR cameras is Broadmoor.

Operator	Cameras as of 3/30/2026	Comments
Atherton	53	Earliest in SMC, 2020.
Belmont	10	
Brisbane	16	
Burlingame	18	
Colma	11	
Daly City	44	
East Palo Alto	25	
Foster City	20	
Half Moon Bay	14	Separate Flock contract, operated by SMCSO.
Hillsborough	22	
Menlo Park	32	
Pacifica	10	
Redwood City	25	
San Bruno	54	
San Mateo	66	

Operator	Cameras as of 3/30/2026	Comments
San Mateo County Sheriff's Office	109	Includes unincorporated SMC (except Broadmoor), Portola Valley, San Carlos and Millbrae.
South San Francisco	37	
Woodside	26	Separate Flock contract, operated by SMCSO

Key Issue

ALPRs and the sharing of image data across jurisdictional lines have created controversy with respect to issues of privacy. While not the focus of this report, some civil liberties groups, including the American Civil Liberties Union (ACLU), argue that vehicle tracking could affect freedom of association if it reveals attendance at protests, political meetings, or religious gatherings (First Amendment).

Others, including the Electronic Frontier Foundation (EFF) question whether large-scale tracking of vehicle locations over time could constitute a search under constitutional law (Fourth Amendment). While the focus of this report is not to investigate the constitutional issues surrounding ALPRs, data sharing among law enforcement agencies has become a significant public concern and has, in some communities, resulted in the suspension or termination of ALPR programs. Although no such actions have occurred in SMC, several Bay Area jurisdictions—including Mountain View, Los Altos Hills, Santa Clara County, and Santa Cruz—have discontinued their use of ALPR systems.

This report evaluates, based on records obtained during the investigation, whether SMC LEAs satisfy California law governing the use of ALPR systems and the sharing of ALPR data. Civil Code section 1798.90.51 requires APLR operators to implement and publicly post a usage and privacy policy. This report also evaluates whether the policies produced accurately describe actual operations.

Legislative Framework

California has enacted legislation governing the use of ALPR systems, with a focus on transparency, accountability, and limitations on data sharing. The primary statutory framework was enacted by Senate Bill 34 (SB 34) (Stats. 2015, Ch. 532), codified at Civil Code sections 1798.90.5 through 1798.90.55.

Effective January 1, 2016, SB 34 imposes requirements governing the collection, storage, access, and sharing of ALPR data. SB 34 applies to both operators of ALPR systems and entities that access ALPR data. Among other requirements, ALPR operators must adopt written usage policies, maintain detailed audit logs, implement reasonable security measures, and provide an opportunity for public comment prior to implementing an ALPR program. The California Department of Justice has issued guidance on SB 34 in Information Bulletin No. 2023-DLE-06.

In addition to SB 34, Senate Bill 54 (SB 54) (Stats. 2017, Ch. 495), known as the California Values Act (Gov. Code § 7284 et seq.) restricts the use of state and local law enforcement resources for

federal immigration enforcement purposes. SB 54 limits the sharing of certain information with federal immigration authorities and reinforces the principle that local law enforcement data systems, including ALPR databases, must not be used in a manner inconsistent with California law. The California Department of Justice has issued guidance clarifying these restrictions in Information Bulletin No. 2025-DLE-08.

In 2025, the California Legislature passed Senate Bill 274, which would have imposed additional restrictions and oversight. The bill proposed limiting retention periods for non-matching records and expanding state-level review of ALPR use. However, SB 274 was vetoed by Governor Gavin Newsom, who concluded that SB 274 did "not strike the delicate balance between protecting individual privacy and ensuring public safety,... particularly with respect to cold cases."

Collectively, these statutes establish a legal framework that emphasizes transparency, accountability, and restricted data sharing, while placing primary responsibility for compliance on individual law enforcement agencies.

Data Sharing and Side-Sharing

The effectiveness of ALPR systems depends in large part on the ability of LEAs to share data across jurisdictions. Within most ALPR platforms, each agency organizes its cameras into one or more networks that govern both system configuration and data sharing. Agencies may control which other agencies can discover their networks and whether access requests are automatically approved or require explicit authorization. Once access is granted, authorized users from another agency may query shared ALPR data without further approval.

While this model enhances investigative capability—particularly in cases involving vehicles that travel across jurisdictional boundaries—it also places responsibility on each agency to ensure that data sharing practices comply with California law. Civil Code section 1798.90.55(b) provides that a public agency shall not sell, share, or transfer ALPR information, except to another public agency, and only as otherwise permitted by law. The SMCCGJ found that data sharing practices vary widely among agencies, with some limiting access to nearby jurisdictions and others permitting broad sharing within the state. The decentralized nature of these sharing controls creates a structural risk: compliance with California law depends not on system-enforced restrictions, but on how individual agencies configure and manage their networks. As a result, even where written policies are compliant, system configurations may permit data sharing practices that are inconsistent with statutory requirements. In general, as the size of a network increases and more law enforcement agencies are granted access, the risk of misuse correspondingly increases.

A related concern is the practice commonly referred to as "side-sharing." For purposes of this report, "side-sharing" refers to the practice in which a California ALPR operator conducts a network query on behalf of an organization that is not authorized to access the data directly—typically an out-of-state or federal agency—and then provides the results outside of the ALPR system. In such cases, audit records reflect that the query was initiated and used by a California agency, when in fact the request originated from, and the results were delivered to, an external entity.

Because the ALPR audit logs reviewed by the SMCCGJ record only the identity of the querying agency and do not capture the ultimate recipient of the data, side-sharing is inherently difficult to detect. Activity that appears compliant on its face may, in fact, circumvent the restrictions imposed by California law, including limitations on sharing ALPR data with entities outside the state.

Side-sharing may involve attempts to access ALPR data outside of established sharing arrangements, including by law enforcement personnel who do not have authorized access. For example, a federal immigration agency may seek to obtain ALPR data from a California jurisdiction in a manner inconsistent with the restrictions imposed by SB 54. Such access could be facilitated by directly contacting personnel within a California LEA and requesting that they conduct an ALPR query on behalf of the external agency.

This issue has been the subject of media reporting and public concern, although verification in specific instances is challenging due to the limitations of available audit data. Media coverage of public statements by certain law enforcement officials has further highlighted the potential risk.

The SMCCGJ found that existing controls to prevent or detect improper data sharing, including side-sharing, are limited. While the ALPR platform provides audit logs, role-based access controls, and, more recently, anomaly detection tools, these features rely on agency-level oversight and do not provide a comprehensive or system-enforced safeguard. There is no centralized mechanism to prevent a user from conducting a query on behalf of an unauthorized entity or to ensure that query results are used solely for authorized purposes.

As a result, compliance with California law in this area depends largely on the policies, training, and oversight practices of individual agencies. In the absence of stronger technical controls or more robust audit capabilities, the risk of unauthorized data access—whether through misconfiguration or side-sharing—remains a significant concern.

Flock Safety

Flock Safety is the largest provider of ALPR systems in the United States and the primary provider of ALPR systems used by LEAs in SMC. The company provides both the physical camera infrastructure and a cloud-based software platform that enables agencies to collect, store, search, and share vehicle detection data. This represents a significant market shift from Vigilant Solutions, who was the most common provider in 2019.

Note that while nearly all ALPR cameras in SMC are provided by Flock, Pacifica also operates 4 Axon mobile cameras that were not investigated by SMCCGJ. Also, ALPR data collected by Flock cameras may also be forwarded to intelligence fusion systems that include other types of surveillance data. Some SMC LEAs use C3.ai, and SMC has recently funded a pilot with Peregrine Systems. These systems are capable of sharing data among agencies and across state boundaries but were not investigated by SMCCGJ and have not received wide media attention.

Flock cameras are typically installed at fixed locations such as major intersections, highways, and entry or exit points to a community. These cameras do not continuously track vehicles; rather, they capture individual "snapshots" or detections as vehicles pass through a camera's field of view. Each detection includes a license plate number, vehicle characteristics (such as make, color, and body type), and metadata including the date, time, and location of the observation.

This information is transmitted to Flock's cloud-based platform, where it is indexed and made searchable. Authorized users access the system through a web-based interface, allowing them to query historical detections or monitor real-time alerts. For example, agencies may create "hotlists" of vehicles of interest—such as stolen vehicles or those associated with criminal investigations—which trigger notifications when detected by any connected camera.

A key feature of the system is its ability to aggregate data across multiple cameras and jurisdictions. While a single camera provides only a point-in-time observation, multiple detections across different locations can allow investigators to infer travel patterns or identify a vehicle's movement over time.

All user activity—including searches, alerts, and administrative actions—is recorded in audit logs. These logs are intended to support oversight and accountability by providing a record of how the system is used. Although Flock hosts the data and provides the technical infrastructure, each customer agency retains control over its own data and is responsible for determining who may access it and under what conditions.

Data Sharing Framework

A defining feature of the Flock platform is its ability to facilitate data sharing among law enforcement agencies. This capability is implemented through a system of configurable "Networks," which function as both administrative groupings and sharing mechanisms. Each agency organizes its cameras into one or more networks and determines whether those networks are visible to other agencies within the platform. When a network is made visible, other agencies may discover it—typically through a map-based interface—and request access.

These access requests are routed to a designated administrator within the owning agency. Depending on how the system is configured, the administrator may review and approve each request individually, or the system may automatically approve requests based on predefined criteria. Once access is granted, users from the approved agency can query the shared data directly, without needing to request permission for each individual search.

This model allows investigators to search for vehicles across jurisdictional boundaries, which can be particularly useful in cases involving regional travel or coordinated criminal activity. At the same time, it introduces complexity, as each agency must determine which other agencies should be granted access and under what conditions.

Agencies can limit sharing in several ways, including restricting access to specific agencies, geographic regions, or operational groupings. Importantly, sharing permissions are not transitive: if Agency A shares data with Agency B, and Agency B shares data with Agency C, Agency C does not automatically gain access to Agency A's data.

Private entities, such as commercial businesses or homeowners' associations, participate in the system differently. Their cameras are not visible within the shared network interface, and they do not independently request access to law enforcement data. Instead, data from private cameras is typically shared directly with local LEAs through arrangements managed with Flock outside the standard user interface.

While this network-based architecture enables collaboration and enhances investigative capabilities, it also places primary responsibility on each agency to manage its sharing relationships in a manner consistent with applicable laws and local policy.

Concerns

Beginning in 2025, a number of media reports and public records analyses brought increased attention to the use of ALPR systems, particularly with respect to how data was being shared among law enforcement agencies. These reports identified instances in which California agencies had configured their systems in a manner that allowed access to ALPR data by out-of-state entities, a practice inconsistent with California law.

Within SMC, the Menlo Park Police Department acknowledged prior instances in which ALPR data had been shared across state lines. Similar issues were identified in other jurisdictions throughout California, suggesting that these were not isolated occurrences but rather reflected broader challenges in how the systems were configured and used.

In addition to concerns regarding system configuration, analysis of audit data highlighted issues related to how queries were conducted and documented. In some cases, users entered generalized descriptions such as "Investigation,"[1] without specifying a particular law enforcement purpose. While such entries are not necessarily improper, they limit the ability of agencies, auditors, and the public to determine whether queries were conducted for authorized purposes.

Taken together, these findings raised questions not only about compliance with legal requirements, but also about the adequacy of system controls and oversight mechanisms. They also underscored the degree to which proper use of the system depends on both technical configuration and user behavior.

System Controls and Vendor Response

In response to these concerns, Flock implemented a series of changes beginning in 2025, aimed at reducing the likelihood of improper data sharing and improving the ability of agencies to monitor system use. These changes reflect a shift from a system that relied heavily on user discretion to one that incorporates more structured controls and constraints.

One of the most significant changes involved restrictions on data sharing across state lines. Prior to 2025, agencies had broad discretion to configure sharing relationships, including the ability to enable "Nationwide" access or establish direct connections with out-of-state agencies. Although such configurations were inconsistent with California law, they were technically permitted within the system.

To address this issue, Flock implemented a phased set of changes. Nationwide sharing was first disabled by default in February 2025 and then permanently removed in March 2025, eliminating the ability for California agencies to broadly expose their data to agencies outside the state. In June 2025, Flock further restricted sharing by disabling the ability to create new out-of-state sharing relationships.

Importantly, these changes did not automatically terminate existing shared relationships. Instead, Flock undertook a process of customer outreach and education, encouraging agencies to review and modify their configurations. As a result, most agencies voluntarily discontinued such arrangements, although some pre-existing relationships remain subject to ongoing legal proceedings. As of this writing, the City of El Cajon is the only California agency with ALPR network sharing relationships extending outside the state. In October 2025, the California Attorney General filed an action against El Cajon alleging non-compliance with SB 34; the case is currently in litigation.

In addition to changes in sharing controls, Flock introduced enhancements aimed at improving how system use is documented and monitored. Historically, users were able to enter free-form text to

[1] Analysis done by the SMCCGJ on all 2025 network queries in California on one SMC LEA's data found that 13.1% of queries entered only "Investigation" as the "Reason" for performing the query.

describe the purpose of a query in a "Reason" field. In practice, this resulted in inconsistent and often vague entries[2], limiting the effectiveness of audit review.

In December 2025, Flock augmented this approach by requiring users to select an "Offense Type" from a standardized list[3] based on National Incident-Based Reporting System (NIBRS) codes. Within California, categories inconsistent with SB 54 are disabled. This change provides a more consistent framework for documenting queries and enables more meaningful analysis of system use. Many agencies have supplemented this requirement by mandating the entry of a case number, linking each query to a specific investigation. This case number is useful for auditing queries within a department but is ineffective for analysis of network queries as LEAs in California do not share a common case management system.

Flock also expanded its audit and monitoring capabilities. Audit logs continue to record all user activity, but additional tools have been introduced to support review. Activity logs track changes to system configuration, including modifications to sharing settings, while the Transparency Portal allows agencies to publish usage statistics and audit summaries.

In April 2026, Flock introduced "Audit Assistance," an automated tool that analyzes system activity and identifies patterns that deviate from an agency's typical usage. These alerts are intended to assist administrators in identifying potential misuse, including unusual query patterns or activity that may warrant further review (side-sharing).

Additional controls have been implemented to restrict system access and reinforce appropriate use. These include limitations on "guest" users outside the agency's domain and role-based access controls that allow agencies to tailor system permissions based on user responsibilities. Flock's terms of service also prohibit use of the system on behalf of unauthorized individuals or agencies.

While these changes represent meaningful improvements, they are primarily designed to support and guide user behavior rather than to enforce compliance directly. As such, their effectiveness depends on how agencies configure and use the system.

Training and Compliance Support

Flock provides training on system operation, legal use, and compliance requirements as part of its onboarding process. Agencies may supplement this training with local policies, procedures, and internal controls tailored to their operational environment. While these resources support compliance, they do not substitute for agency responsibility to ensure that system use is consistent with applicable laws and policies.

Remaining Limitations

Notwithstanding these enhancements, important limitations remain in the system's ability to prevent or detect improper use.

First, while audit logs provide a record of which agency conducted a query and when it occurred, they do not capture how the resulting information is ultimately used or shared. This means that even

[2] The search reason "warrant" could refer to a warrant issued by a California judge for an authorized law enforcement purpose, or alternatively to an administrative warrant issued by a federal agency such as ICE. Numeric strings typically correspond to sections of California penal code, but many LEA's listed a crime category such as "theft" or "burglary". The SMCCGJ found no accepted usage of the "Reason" field across or even within LEAs.

[3] A list of these offense codes is provided in Appendix A.

where a query appears appropriate on its face, there is no direct way to determine whether the results were subsequently provided to an unauthorized party.

Second, the system does not technically prevent a user from conducting a query on behalf of another individual or agency (side-sharing). Although such conduct may violate policy or law, it is not inherently detectable through system controls alone. As a result, certain forms of misuse—particularly those involving indirect access—are difficult to identify through audit data.

Finally, the effectiveness of audit and monitoring tools depend on active review by agency personnel. Identifying potential issues requires not only access to audit data but also the time, expertise, and judgment to interpret that data. This introduces variability in how different agencies monitor system use and respond to potential concerns.

These limitations illustrate that, while system-level controls can reduce risk, they cannot fully eliminate it. Effective oversight requires a combination of technical controls, clear policies, and consistent enforcement.

Conclusion

Flock has implemented a number of substantive changes to its platform in response to concerns regarding data sharing and legal compliance. These changes have improved transparency, standardized key aspects of system use, and provided agencies with additional tools to monitor activity.

At the same time, the system continues to rely heavily on agency-level decisions regarding configuration, access, and oversight. Certain risks—particularly those associated with indirect or unauthorized use—cannot be fully mitigated through system design alone.

As a result, responsibility for ensuring compliance with Civil Code sections 1798.90.5 through 1798.90.55 ultimately rests with each individual law enforcement agency. The effectiveness of the system, therefore, depends not only on the capabilities of the technology but also on how it is implemented and governed at the local level.

METHODOLOGY

To determine whether ALPR operators in SMC comply with applicable California law and whether their practices align with their adopted ALPR policies, the SMCCGJ began by reviewing the content available on the public websites of each LEA in the County. Most LEA websites include information regarding ALPR usage and transparency, often with a link to the agency's Flock Transparency Portal, which is maintained by Flock on behalf of its customers.

The SMCCGJ issued document requests to all ALPR operators in SMC, seeking ALPR policies, recent audit reports, current Flock contracts, and any supporting documentation demonstrating compliance with California law and agency policy. Findings based on nonproduction reflect the absence of responsive records produced to the SMCCGJ, not a conclusive determination that no responsive record exists.

The SMCCGJ was able to identify an ALPR policy document for every SMC ALPR operator, which guided the examination of compliance with that policy. For some operators we were provided an organization audit report, which lists all ALPR queries initiated within that LEA. The organization audit was visually reviewed in a spreadsheet, which is feasible for what is at most a few hundred rows. Some operators provided a network audit report, which lists all ALPR queries initiated by

other Flock customers on that operator's data. As the network audit report can be quite large (upwards of 25,000/month), analysis of this data was carried out by first loading it into a database.[4]

The SMCCGJ examined network sharing reports from the operators that provided them. This information is also publicly available through Flock Safety's Transparency Portal. The network sharing reports identify the agencies and entities with which each operator shares ALPR data.

The SMCCGJ conducted interviews with several LEAs in SMC, with representatives of Flock, and with the Northern California Regional Intelligence Center (NCRIC).The SMCCGJ collected media reports related to ALPR implementations in SMC, in the state of California, and nationwide.

DISCUSSION

Public Interest

Issues related to the use of ALPR systems have received significant public attention in both SMC and throughout California. Several communities within the County have debated canceling their ALPR contracts or exploring alternative provider. As of this date, all have decided to continue operations with Flock. An article on ALPR usage published by Palo Alto Online on December 29, 2025, was the publication's most-downloaded article of the year.

For the general public, it can be difficult to determine the root cause of security breaches reported in the media. Coverage has variously attributed these incidents to product design limitations, accidental or intentional misconfiguration, and inadequate operator training. As discussed earlier in this report, ALPR system functionality has evolved in response to public concerns, with enhancements intended to facilitate compliance with applicable laws.

Sharing Within San Mateo County

This investigation found that the extent of data sharing among SMC ALPR operators varies significantly, with the number of network sharing relationships ranging from three in Woodside to 335 in San Bruno. During the course of this investigation, one SMC operator reduced the scope of their network sharing after evaluating the public safety value of broader data access against local privacy considerations. Some LEAs felt that broad access was valuable in addressing the pattern of crimes committed in their community. Others felt that sharing too broadly would not solve more crimes and could risk losing the support of their local community.

As of December 2025, no SMC operators were found to be sharing ALPR data with entities outside California. The investigation did identify instances in which SMC operators shared ALPR data with private organizations, specifically security agencies serving Stanford University and University of the Pacific. Under Civil Code section 1798.90.55(b), a public agency may share ALPR information only with another "public agency" and only as otherwise permitted by law. The materials produced did not establish that the private university security recipients meet the definition of a "public agency" or that an applicable statutory exception authorizes the sharing. It remains the responsibility of each LEA to determine whether such entities qualify as public agencies under applicable law. If deemed public agencies, these entities would be subject to the same statutory and policy requirements governing ALPR use.

[4] The network audit report was delivered in comma-separated value format, was then bulk-loaded into a MySQL database and then queried using the Structured Query Language.

The table below summarizes these findings.

Operator	Network Shares 2/26/2026	Network Shares 4/13/2026	Private University Security Shares 4/13/2026	Apparent Sharing Guideline
Atherton	315	317	2	
Belmont	157	145	2	Adjacent Counties
Brisbane	93	92	1	50-mile radius
Burlingame	Not available	357	2	
Colma	321	326	2	
Daly City	Not available	Not available	not available	Flock portal is not enabled.
East Palo Alto	303	308	2	
Foster City	Not available	Not available	Not available	Flock portal excluded network sharing report.
Half Moon Bay	Not available	290	0	
Hillsborough	303	318	2	
Menlo Park	247	242	1	
Pacifica	276	283	2	
Redwood City	102	100	1	Bay Area Counties
San Bruno	331	335	2	
San Mateo	283	280	0	
San Mateo County Sheriff's Office	299	300	2	Reduced in February to adjacent Counties.
South San Francisco	15	15	0	San Mateo County
Woodside	3	3	0	Adjacent towns

Public Commentary

Under Civil Code section 1798.90.55(a), a public agency that operates an ALPR system must provide the opportunity for public comment. The SMCCGJ did not identify any instances in which ALPR cameras were deployed without the required public notice and discussion.

ALPR Policies

California law requires each ALPR operator to adopt a written ALPR policy and to post that policy in a conspicuous manner (Civ. Code, §§ 1798.90.53(a)–(b); 1798.90.51 (a)–(b)). The California Department of Justice provides a model ALPR policy template, which agencies may adopt or

modify. Some departments also utilize policy templates developed by Lexipol, a provider of standardized law enforcement policy materials.

The following section evaluates each SMC law enforcement agency's ALPR policy, including whether it is conspicuously posted, and assesses whether the agency's actual operations are consistent with its stated policy.

Summary Matrix of ALPR Policy and Operational Findings

Policy Posting and Currency. Most LEAs and police departments provided an ALPR policy in response to the SMCCGJ document request. The SMCGJ reviewed each policy for alignment with the policy templates and guidance provided by the State of California and Lexipol. The SMCCGJ also reviewed each department's public website to determine whether the policy was conspicuously posted in accordance with California DOJ guidance 2023-DLE-06, and whether the publicly posted version matched the version provided in response to the document request.

Audit Practices. The SMCCGJ requested copies of recent audit reports from each LEA. Where an audit frequency was specified in an agency's ALPR Policy, the SMCCGJ reviewed the materials provided to determine whether audits appeared to have been conducted at the stated intervals. The SMCCGJ also examined the contents and scope of each audit report.

For purposes of this investigation, a "strong" audit is one that substantiates compliance with both applicable California law and each material element of the LEA's stated ALPR Policy. California law requires a policy to describe monitoring and "a process for periodic system audits," but does not prescribe a uniform audit report format or methodology. The labels "strong," "partial," and "weak" are assessment terms used in this report and are not statutory classifications.

In the absence of meaningful audit controls, the public has limited assurance that an agency's stated policies are being consistently implemented in practice. By contrast, a "weak" audit examines only selected legal or policy elements and does not comprehensively evaluate operational compliance.

Finally, the SMCCGJ reviewed whether audit reports were made available to the public or presented to the relevant city, town, or county governing body.

Data Retention. Civil Code section 1798.90.51(b)(2)(D) requires each ALPR policy to specify a data retention period after which ALPR data will be deleted unless it is associated with an active investigation or otherwise retained pursuant to law. The SMCCGJ compared the retention period stated in each agency's ALPR policy with the retention period displayed on Flock's Transparency Portal and, where available, the retention provisions contained in the agency's Flock contract. Matching retention periods were classified as "consistent," while differing retention periods were classified as "inconsistent." We did not examine in detail the process by which Flock deletes data after the stated retention period, as this topic has been addressed by third-party audits.

Data Sharing Process. Each policy must describe criteria and a process for sharing ALPR data. We examined this statement to ensure that it prohibits the sale of ALPR data, out-of-state sharing, sharing to private parties, and usage for other than valid law enforcement purposes. We examined any written guidelines and processes for receiving and approving requests for sharing data, and for any documentary evidence supporting the implementation of that process. Most policies included the sharing process description and documented from templates, but our interviews and document requests did not find an LEA who followed the process described in this "Template." Several LEAs described the sharing process provided by the Flock platform, which is what we heard described

during interviews as the adopted process. The LEAs with outdated policies described an outdated sharing process mediated by NCRIC. No LEA's policy described guidelines for ALPR data sharing within California, though several outlined coherent criteria for what sharing requests to approve.

Contract Terms. The SMCCGJ reviewed the 14 Flock contracts provided in response to its document requests. One contract included an addendum with California compliance provisions ("CA terms") requiring Flock to adhere to California law governing the protection, access, and disclosure of ALPR data maintained on behalf of California LEA customers, consistent with recommendations previously issued by the California State Auditor.

The absence of express contractual compliance terms does not itself establish a violation of California law, which applies regardless of contract language. In this report, the presence or absence of such terms is evaluated as an additional contractual compliance control.

The table below summarizes the SMCGJ's assessment of ALPR policy compliance and operational alignment among LEAs in SMC.

Agency	Policy Posting / Currency	Audit Practices	Data Retention	Data Sharing Process	Contract Terms
Atherton	Not conspicuous; current, but with multiple versions	Strong; published in Council Minutes	Inconsistent	Template	No CA terms
Belmont	Conspicuous; current	Strong; not published	Consistent	Flock	No CA terms
Brisbane	Not conspicuous; current	Audit reports not provided	Consistent	Template	No CA terms
Burlingame	Not conspicuous; current	Audit reports not provided	Consistent	Template	Contract not provided
Colma	Not conspicuous; current	Strong; not published	Inconsistent	Template	CA terms included in addendum
Daly City	Conspicuous, outdated (NCRIC references)	Strong, regular audit; not published	Inconsistent	Outdated	No CA terms
East Palo Alto	Conspicuous; current	Partial; publicly posted	Consistent	Not described	No CA terms

Agency	Policy Posting / Currency	Audit Practices	Data Retention	Data Sharing Process	Contract Terms
Foster City	Conspicuous; current, but broken link to policy	Audit reports not provided.	Inconsistent	Template	No CA terms
Hillsborough	Not conspicuous; Outdated (NCRIC references)	Audit reports not provided.	Consistent	Outdated	No CA terms
Menlo Park	Not conspicuous; current	Weak; published in City Council minutes.	Consistent	Template	No CA terms
Pacifica	Conspicuous; current	Brief, but strong; not published	Consistent	Flock	Contract not provided
Redwood City	Conspicuous, outdated (NCRIC references)	Strong; not published	Inconsistent	Outdated	No CA terms
San Bruno	Conspicuous; current	Partial; not published	Consistent	Flock	No CA terms
San Mateo	Conspicuous; current	Weak; not published	Consistent	Template	No CA terms
SMC Sheriff's Office	Conspicuous; current	Partial; published in BOS minutes.	No stated retention	Template	No CA terms
South San Francisco	Conspicuous; current	Partial; not published.	Consistent	Template	No CA terms
Woodside	Conspicuous (via SMC SO) and current	Strong; published in Town Council minutes	Consistent	Template	Contract not provided.

As shown above, while several agencies demonstrate strong alignment between policy and operational practices, others exhibit deficiencies in audit procedures, inconsistencies in stated data retention practices, and incomplete or inaccurate documentation of data-sharing processes and decisions. These findings highlight the absence of standardized ALPR governance and oversight practices across SMC.

FINDINGS

This section summarizes findings based on evidence produced or otherwise reviewed by the SMCCGJ. The accompanying table identifies the findings assigned to the governing body of each LEA based on the evidence described in this report.

F1. The ALPR operator's ALPR policy was not posted in a manner that appears consistent with the California Attorney General's guidance on "conspicuous" posting.

F2. The ALPR operator's ALPR Policy appears to be outdated because it describes ALPR operations as mediated by NCRIC, a practice the investigation found was discontinued several years ago.

F3. The ALPR operator shared ALPR information with private university security entities but did not establish that the receiving entity was a "public agency" as defined in Civil Code section 1798.90.55(b), or that the sharing was otherwise permitted by law within the meaning of Civil Code section 1798.90.55(b).

F4. The ALPR operator did not produce records demonstrating that audits required by its ALPR policy had been conducted.

F5. The audit reports produced by the ALPR operator were insufficient to substantiate compliance with applicable California law and the operator's published ALPR policy.

F6. The ALPR operator's Flock Safety contract does not include provisions specifically requiring compliance with applicable California ALPR laws.

F7. The operator's ALPR policy described a process requiring written requests and executed agreements for ALPR data-sharing relationships; however, the records produced did not substantiate that this process was followed or that the required agreements were obtained.

F8. The operator's ALPR policy did not establish criteria governing the approval of in-state ALPR data-sharing requests or the termination of existing network-sharing relationships.

F9. The retention period specified in the operator's ALPR Policy does not match the retention period as reported by the Flock transparency portal or Flock contract.

RECOMMENDATIONS

While the recommendations below are generally applicable to all LEAs in SMC, some recommendations have already been implemented by some LEAs. The accompanying table identifies the recommendations directed to the governing body of each LEA reviewed by the SMCCGJ.

R1. The ALPR operator should conspicuously post the current version of their ALPR Policy as required by Civil Code sections 1798.90.51(a)–(b).

R2. The ALPR operator with outdated ALPR policies should revise those policies to accurately reflect current operational practices.

R3. The ALPR operator currently identified as sharing ALPR data with private university security entities should obtain and retain a written legal and factual determination that the recipient is a "public agency" under Civil Code section 1798.90.5(f), or that the sharing is otherwise permitted by law; if no lawful basis exists, the operator should terminate the sharing relationship.

R**4.** The ALPR operator should prepare audit reports in accordance with the frequency stated in the operator's published ALPR policy.

R5. The audit reports produced by the ALPR operator should substantiate compliance with applicable California law and the operator's published ALPR policy.

R6. Upon contract renewal, the ALPR operator should incorporate contractual language requiring vendor compliance with applicable California law and prohibiting vendors from disclosing ALPR data to unauthorized third parties. Operators should consider provisions similar to those contained in the Town of Colma contract with Flock.

R7. The ALPR operator should update its ALPR policy to accurately reflect the process used to approve ALPR data-sharing relationships.

R8. The ALPR operator should include in their ALPR policies written criteria governing the approval, denial, periodic review, and termination of in-state ALPR network-sharing relationships.

R9. The ALPR operator should update their ALPR policy or Flock contract terms, as necessary, so that the stated retention rule accurately reflects operations.

REQUEST FOR RESPONSES

Pursuant to Penal Code 933.05, the Civil Grand Jury requests responses from the following governing bodies:

Respondent	Findings	Recommendations
Atherton Town Council	F1, F3, F6, F7, F8, F9	R1, R3, R6, R7, R8, R9
Belmont City Council	F3, F6, F8	R3, R6, R8
Brisbane City Council	F1, F3, F4, F5, F6, F7, F8	R1, R3, R4, R5, R6, R7, R8
Burlingame City Council	F1, F3, F4, F5, F6, F7, F8	R1, R3, R4, R5, R6, R7, R8
Colma City Council	F1, F3, F5, F7, F8, F9	R1, R3, R5, R7, R8, R9
Daly City City Council	F3, F6, F7, F8, F9	R3, R6, R7, R8, R9
East Palo Alto City Council	F3, F5, F6, F7, F8	R3, R5, R6, R7, R8
Foster City City Council	F3, F4, F5, F6, F7, F8, F9	R3, R4, R5, R6, R7, R8, R9
Half Moon Bay Town Council	F3, F5, F6, F7, F8, F9	R3, R5, R6, R7, R8, R9
Hillsborough Town Council	F1, F2, F3, F4, F5, F6, F7, F8	R1, R2, R3, R4, R5, R6, R7, R8
Menlo Park City Council	F1, F3, F5, F6, F7, F8	R1, R3, R5, R6, R7, R8
Millbrae City Council	F3, F5, F6, F7, F8, F9	R3, R5, R6, R7, R8, R9
Pacifica City Council	F3, F5, F6, F8	R3, R5, R6, R8
Portola Valley Town Council	F3, F5, F6, F7, F8, F9	R3, R5, R6, R7, R8, R9
City Council of Redwood City	F2, F3, F5, F6, F7, F8, F9	R2, R3, R5, R6, R7, R8, R9
San Bruno City Council	F4, F5, F6, F7, F8	R4, R5, R6, R7, R8
San Carlos City Council	F3, F5, F6, F7, F8, F9	R3, R5, R6, R7, R8, R9

Respondent	Findings	Recommendations
Ken Binder, San Mateo County Sheriff	F3, F5, F6, F7, F8, F9	R3, R5, R6, R7, R8, R9
San Mateo City Council	F4, F5, F6, F7, F8	R4, R5, R6, R7, R8
South SF City Council	F5, F6, F7, F8	R5, R6, R7, R8
Woodside Town Council	F5, F6, F7, F8	R5, R6, R7, R8

RESPONSE REQUIREMENTS

California Penal Code Section 933.05 provides as follows (emphasis added):

(a) For purposes of subdivision (b) of Section 933, as to each grand jury finding, the responding person or entity shall report one of the following:

(1) The respondent **agrees** with the finding.
(2) The respondent **disagrees** wholly or partially with the finding, in which case the response shall **specify the portion of the finding that is disputed and shall include an explanation of the reasons therefor**.

(b) For purposes of subdivision (b) of Section 933, as to each grand jury recommendation, the responding person or entity shall report one of the following actions:

(1) The recommendation has been implemented, **with a summary regarding the implemented action**.
(2) The recommendation has not yet been implemented, but will be implemented in the future, **with a timeframe for implementation**.
(3) The recommendation requires further analysis, **with an explanation and the scope and parameters of an analysis or study, and a timeframe for the matter to be prepared for discussion by the officer or head of the agency or department being investigated or reviewed, including the governing body of the public agency when applicable. This timeframe shall not exceed six months from the date of publication of the grand jury report**.
(4) The recommendation will not be implemented because it is not warranted or is not reasonable **with an explanation therefor.**

Under Penal Code section 933(c), the governing body of a public agency must respond within 90 days after the grand jury submits its final report, and an elected county officer or agency head for which the grand jury has responsibility under Penal Code section 914.1 must respond within 60 days regarding matters under that officer's or agency head's control.

BIBLIOGRAPHY

Automated License Plate Readers, Report 2019-118, California State Auditor, February 2020.

California Automated License Plate Reader Data, 2023-DLE-06, California Department of Justice.

National Crime Information Center Administration of Warrants, 2025-DLE-08, California Department of Justice, April 7, 2025.

A Delicate Balance: Privacy vs. Protection, Report of the San Mateo County Civil Grand Jury, 2016–2017.

FOOTNOTES

1 Analysis done by SMCCGJ on all 2025 network queries in California on one SMC LEA's data found that 13.1% of queries entered only "Investigation" as the Reason for performing the query.

2 The search reason "warrant" could refer to a warrant issued by a California judge for an authorized law enforcement purpose, or alternatively to an administrative warrant issued by a federal agency such as ICE.

3 A list of these offense codes is provided in Appendix A.

4 The network audit report was delivered in comma-separated value (CSV) format, bulk-loaded into a MySQL database and analyzed using the Structured Query Language (SQL).

5 https://www.paloaltoonline.com/police/2025/11/05/east-palo-alto-leaders-push-back-on-license-plate-readers-amid-privacy-concerns/

6 https://www.coastsidenews.com/news/half-moon-bay-to-revisit-license-plate-reader-program-and-ice-policies/

7 https://www.almanacnews.com/news/2025/12/29/the-years-biggest-stories/

Appendix A - Flock Safety Offense Types

Flock Safety

Agency Specific Settings

Depending on your agency's settings, searches may also require Search Reason or Case Number. These settings are chosen by your administrator and should align with your agency's LPR Policy.

All Available Offense Types

- Animal Offenses (cruelty/neglect)
- Arson
- Assault/Battery Offenses
- Assault/Battery Offenses (Domestic)
- Bribery
- Burglary/Breaking & Entering
- City Planning/Traffic Analysis
- Child Abuse/Neglect
- Counterfeiting/Forgery
- Criminal Motor Vehicle Offense (incl. Road Rage/Reckless)
- Curfew/Loitering/Vagrancy Violations
- Destruction/Damage/Vandalism of Property
- Disorderly Conduct/Disturbance
- Driving Under the Influence (DUI/DWI/OWI/OVI)
- Drugs/Narcotics
- Extortion/Blackmail
- Financial Crime (Embezzlement/Fraud)
- Gambling
- Hit and Run/Car Accident
- Homicide/Death Investigation
- Human Trafficking
- Illegal Dumping/Littering
- Immigration (civil/administrative)
- Immigration (criminal)
- Indecent Exposure/Lewd
- Juvenile Delinquency
- Kidnapping/Abduction
- Larceny/Theft Offenses
- Alcohol Offenses (Non-DUI)
- Material Witness
- Missing/Endangered Person/Runaway
- Motor Vehicle Theft/Stolen
- Obstructing the Police (Fleeing/Eluding)
- Obstructing Justice
- Pornography/Obscene Material
- Prostitution
- Disturbing Public Peace/Riot
- Robbery
- Secured Area Access Control
- Sex Offenses
- Stalking
- Stolen Property Offenses
- Terrorism/Terroristic Threats
- Threats/Harassment
- Traffic Infraction
- Trespass
- Wanted Person (Arrest Warrant/Fugitive)
- Weapons Offense (Guns/Shots Fired)
- Property Recovery (Civil Enforcement)
- Protective/Protection Order
- Welfare Check

flocksafety.com (866) 901-1781 | support@flocksafety.com

CITY OF SAN MATEO

City Hall
330 W. 20th Avenue
San Mateo CA 94403
www.cityofsanmateo.org

Agenda Report

Agenda Number: 12 | Section Name: CONSENT CALENDAR | Account Number: 10-511 | File ID: 26-11633

TO: City Council

FROM: Alex Khojikian, City Manager

PREPARED BY: Police Department

MEETING DATE: October 05, 2026

SUBJECT:
Master Services Purchasing Agreement — Amendment

RECOMMENDATION:
Approve Amendment No. 1 to the Master Services and Purchasing Agreement with Axon Enterprise, Inc., to provide Automated License Plate Readers and related technology for a 98 month term in the amount of $1,145,260.45, for a new cumulative agreement total of $8,495,312.58; and authorize the Chief of Police to execute the agreement in substantially the form presented.

BACKGROUND:
The San Mateo Police Department currently uses Automated License Plate Reader (ALPR) technology as an investigative and public safety tool. ALPR systems assist law enforcement in identifying vehicles associated with reported crimes, locating vehicles of interest, and developing investigative leads. The Police Department has found ALPR technology to be a valuable resource in supporting criminal investigations and enhancing situational awareness.

The City has an agreement with Flock Safety for ALPR hardware and services which remains effect through 2028. In addition, the City has a Master Services and Purchasing Agreement (MSPA) with Axon Enterprise Inc., for the provision of various public safety technologies and services. Axon has offered the opportunity to deploy its ALPR technology at the City's existing fixed ALPR locations. The proposed deployment is intended to provide the Police Department with an opportunity to evaluate an additional ALPR platform and determine whether Axon's technology can meet the Department's operational, investigative, security, privacy, and data-management requirements. The Police Department's interest is in the capabilities and value of ALPR technology, rather than in maintaining a particular vendor or platform solely because it is currently already in use.

Operational Considerations
The proposed amendment provides an opportunity to evaluate whether Axon's ALPR platform can provide improved functionality while offering operational advantages through integration with the City's existing Axon technology environment. Axon's ALPR platform is integrated into the broader Axon ecosystem used by the Police Department. Deploying the Axon cameras at existing ALPR locations will allow the Department to conduct a practical comparison of the systems under similar operating conditions. The Department can assess factors such as:

- ALPR detection and recognition performance;
- reliability and system uptime;
- quality and usability of investigative searches;
- integration with existing Department technology;
- administrative and user management;
- data security and access controls;

- auditing and reporting capabilities;
- data retention and management;
- officer and investigator usability; and
- overall cost and value.

These considerations will inform the Department's ongoing management and evaluation of ALPR technology and help ensure the system meets the operational, security, and public safety needs.

Proposed Amendment
Amendment No. 1 to the MSPA would expand the Police Department's existing Axon technology suite to include additional ALPR cameras. For clarity, the proposed agreement includes an initial deployment of 45 ALPR cameras, plus one unmounted spare camera to be maintained as a replacement unit. Of the 45 deployed cameras, the City will pay for 40, and Axon will provide 5 at no cost. In Year 2, the City will purchase an additional 14 cameras, bringing the total deployment to 59 cameras (54 City-funded and 5 provided at no cost), plus one spare. At the equipment refresh scheduled for the end of the contract term in January 2035, the 5 cameras provided at no cost will not be replaced, leaving 54 deployed cameras plus one spare. The Axon cameras would be deployed in the same general locations currently served by the City's Flock ALPR cameras. The Department would therefore be able to evaluate the Axon system using comparable locations and operational conditions while continuing to maintain its existing Flock service through the expiration of the current agreement in 2028.

Axon has offered the initial ALPR hardware at no cost during the first 12 months of the deployment. The proposed terms provide the City with the ability to discontinue the Axon ALPR service during that initial 12-month period without a penalty or obligation to pay for the hardware. If service is continued beyond the initial 12 months and is subsequently terminated, the City would be responsible for the applicable hardware costs as specified in the amended agreement.

The proposed amendment adds hardware and services for a 98 month term, intended to run coterminously with the Axon MSPA so that all services expire on the same date. The payment plan is summarized in Table 1, and has been structured so that no payment for the Axon ALPR service is due until June 2028. This structure allows staff to utilize the Axon platform concurrently with the existing Flock system without creating duplicative costs during the remaining term of the City's Flock agreement.

Payment Date	**Total**
June 1, 2028	$145,000.97
June 1, 2029	$150,801.02
June 1, 2030	$156,833.07
June 1, 2031	$163,106.38
June 1, 2032	$169,630.63
June 1, 2033	$176,415.87
June 1, 2034	$183,472.851
Total	**$1,145,260.45**

Table 1: MSPA Amendment 1 Payment Summary

The Police Department considers ALPR technology an important investigative and public safety resource. The amendment provides the City with a low-risk opportunity to evaluate an additional ALPR platform while maintaining existing ALPR capabilities, avoiding duplicative near-term service costs, and allowing the Police Department to conduct appropriate due diligence regarding technology performance, data security, privacy, access, and operational value.

BUDGET IMPACT:
There is no immediate financial impact associated with the initial deployment of the Axon ALPR cameras under the proposed amendment. Axon will provide the cameras for the first 12-months at no hardware cost and without a cancellation penalty. Beginning in June 2028, the City would incur annual payments for the Axon ALPR system as shown in Table 1. The payment schedule allows the City to continue its existing Flock ALPR service through the remainder of the current Flock agreement without incurring costs for both ALPR platforms during the period in which the City is already

contractually obligated to Flock. The annual cost of the Axon ALPR system is consistent with the City's current annual cost for Flock ALPR services. Funding for the Axon ALPR system would begin in June 2028 and would be included in the appropriate future fiscal year operating budgets, subject to the City's normal budget approval process.

ENVIRONMENTAL DETERMINATION:
This action is not a project subject to CEQA, because it can be seen with certainty that it will not cause a physical change in the environment. (Public Resources Code Section 21065.)

STRATEGIC PLAN ALIGNMENT
This staff report supports the Public Safety initiative.

NOTICE PROVIDED
All meeting noticing requirements were met.

ATTACHMENTS
Att 1 – Proposed Amendment No. 1

STAFF CONTACT
Ed Barberini, Chief of Police
ebarberini@cityofsanmateo.org
(650) 522-7600

AMENDMENT NO. 1 TO THE MASTER SERVICES AND PURCHASING AGREEMENT BETWEEN THE CITY OF SAN MATEO AND AXON ENTERPRISE, INC. FOR HARDWARE, SOFTWARE AND SERVICES FOR THE POLICE DEPARTMENT (Original Amount: $7,350,052.13; New Amount $8,495,312.58)

This Amendment is made and entered into this ____ day of October, 2026, by and between the CITY OF SAN MATEO, a municipal corporation existing under the laws of the State of California ("CITY"), and AXON Enterprise, Inc. (“CONTRACTOR”).

WHEREAS, the City and CONTRACTOR entered into a Master Services and Purchasing Agreement for Hardware, Software and Services for the Police Department (“Agreement”) on December 10, 2024; and

WHEREAS, City and CONTRACTOR wish to amend the Agreement to purchase automated license plate readers (ALPR); to include security and privacy language applicable to access to Criminal Justice Information Services (CJIS) material; to require compliance with applicable California law prohibiting vendors from disclosing ALPR data to unauthorized third parties; and to set forth requirements for disclosure in the event of a security breach.

NOW, THEREFORE, the parties agree as follows:

1. Exhibit D detailing Quote Q-865809-009 is added to the Agreement.

2. Section 17 – “Termination” of the Agreement is amended to add:
   17.5 – **Applicability**. These terms do not apply to Quotation Q-865809-009, which may be terminated in accordance with the terms specified on the quotation itself.

3. Section 20 – “Security” is added to the Agreement to read:
   20.1 **California Civil Code Compliance.** Contractor is advised of, and agrees to comply with, the requirements of the California Civil Code, Division 3, Part 4, Title 1.81.23 COLLECTION OF LICENSE PLATE INFORMATION [§§1798.90.5 - 1798.90.55] as applicable to an automated license plate recognition (ALPR) operator. To the extent the ALPR services involve the collection, access to, storage, use, or disclosure of ALPR information on behalf of the City, Contractor shall maintain reasonable security procedures and practices appropriate to the nature of such information and consistent with applicable law and the security and privacy requirements otherwise applicable to the services under this Agreement. Contractor shall maintain compliance with applicable Criminal Justice Information Services (CJIS) Security Policy requirements.

   20.2 **Disclosure of Security Breach.** Contractor is advised of the requirements of the California Civil Code, section 1798.29, requiring notification to any resident of California in the event of breach of the security of the system. Contractor agrees it will notify the City immediately (and in no event more than 48 hours) upon the known occurrence of any breach in the security of data that may potentially trigger the need for security breach notifications pursuant to Civil Code section 1798.29 or similar State or Federal law.

4. The following Axon Device Specific Terms and Conditions are added to the Agreement as under the Axon Fleet Appendix follows:

a. Axon Outpost.

i. Installation. Contractor shall be responsible for initial installation of all Axon Outpost devices and associated equipment provided under this amendment. Contractor shall coordinate with Customer regarding the location and scheduling of installation and shall provide all labor, tools, equipment, mounting hardware, configuration, and all other services reasonably necessary to install, configure, and place the devices into operational service at locations designated by the Customer. Unless otherwise expressly stated in the Amendment, all costs associated with the installation and configuration of the devices shall be included in the fees and shall be at no additional cost to the City. Customers will obtain, maintain all legally required permits, authorizations, and/or licensing in order to place, maintain, and/or remove the Axon Outpost device at the installation location, including licenses or permits for fixed installation of poles. If mutually agreed by the Parties, Axon or an Axon authorized subcontractor may assist with obtaining the necessary local, state, or Federal approvals before installing Axon Outpost.

ii. Vandalism or Motor Vehicle Accident Warranty. If Customer purchases the Vandalism and Accident warranty, Axon will provide up to two (2) replacements per warranty purchased if your Outpost is damaged due to vandalism or a motor vehicle accident. Axon will make a commercially reasonable effort to provide new installation free of charge, but installation may require additional cost. Axon does not provide refunds or credits if the warranty is not used during the Term f the Quote.

5. The remaining terms of the MSPA remain in full force and effect.

IN WITNESS WHEREOF, CITY OF SAN MATEO and AXON ENTERPRISE, INC. have executed this Agreement the day and year as indicated below.

CITY OF SAN MATEO

Ed Barberini Date
Chief of Police

CONTRACTOR: AXON ENTERPRISE, INC.

Robert Driscoll Date
Deputy General Counsel

APPROVED AS TO FORM

Bahar Abdollahi Date
Assistant City Attorney

EXHIBIT D

Axon Enterprise, Inc.

17800 N 85th St, Scottsdale, Arizona 85255, United States
VAT: 86-0741227
Domestic: (800) 978-2737 | International: +1 800.978.2737

Q-865809-009 Acct: 105721

Issued	**Sep 5, 2026**
Expires	**Oct 16, 2026**
Payment Terms	**N30**
Mode of Delivery	**AUTO-GND**

San Mateo Police Dept. - CA **Currency: USD**

CUSTOMER DETAILS

SHIP TO
San Mateo Police Dept. - CA
200 Franklin Pkwy
San Mateo, CA
94403-1921
USA

BILL TO
San Mateo Police Dept. - CA
200 Franklin Pkwy
San Mateo, CA
94403-1921
USA

SALES REPRESENTATIVE
Tierney Stuhr
Phone: (480) 712-4910
Email: tstuhr@axon.com

PRIMARY CONTACT
Edmund Barberini
Email: ebarberini@cityofsanmateo.org

QUOTE SUMMARY

Program Length	**98 Months**
Contract Start	**Nov 15, 2026**
Contract End	**Jan 14, 2035**
TOTAL CONTRACT	
Net Total	**$1,112,613.70**
Est. Tax	**$32,646.75**
Total Contract Value	**$1,145,260.45**

DISCOUNT SUMMARY

List Price	**$2,181,750.89**
Total Savings	**$1,069,137.19**
Discount	**49.00%**
Avg. Savings / Year	**$130,914.76**

PAYMENT SUMMARY

DATE	SUBTOTAL	EST. TAX	TOTAL
Jun 1, 2028	$140,867.59	$4,133.38	$145,000.97
Jun 1, 2029	$146,502.29	$4,298.73	$150,801.02
Jun 1, 2030	$152,362.39	$4,470.68	$156,833.07
Jun 1, 2031	$158,456.87	$4,649.51	$163,106.38
Jun 1, 2032	$164,795.15	$4,835.48	$169,630.63
Jun 1, 2033	$171,386.96	$5,028.91	$176,415.87
Jun 1, 2034	$178,242.45	$5,230.06	$183,472.51
Total	**$1,112,613.70**	**$32,646.75**	**$1,145,260.45**

SUMMARY PRICING FOR TERM

ITEM	DESCRIPTION	QTY	TERM (START)	UNBUNDLED	LIST PRICE	NET PRICE	SUBTOTAL	EST. TAX	TOTAL
TRANSFER BALANCE									
103070	Outpost TAP Bundle True-Up	40	22 (11/2026)	—	$102.50	$0.00	$0.00	$0.00	$0.00
103070	Outpost TAP Bundle True-Up	14	34 (11/2026)	—	$104.59	$0.00	$0.00	$0.00	$0.00
					Transfer Balance Total		$0.00	$0.00	$0.00
VEHICLE INTELLIGENCE									
B00075	OUTPOST DONOR BUNDLE	5	60 (11/2026)	$308.72	$229.10	$0.00	$0.00	$0.00	$0.00
B00076	Outpost TAP Plan	40	98 (11/2026)	$370.14	$260.73	$215.64	$845,316.32	$23,177.29	$868,493.61
B00074	Outpost Extension Plan	5	38 (11/2031)	$210.48	$149.69	$0.00	$0.00	$0.00	$0.00
B00076	Outpost TAP Plan	14	86 (11/2027)	$380.62	$256.88	$222.01	$267,297.38	$9,469.46	$276,766.84
					Vehicle Intelligence Total		$1,112,613.70	$32,646.75	$1,145,260.45
							SUBTOTAL	EST. TAX	TOTAL
	Total						$1,112,613.70	$32,646.75	$1,145,260.45

DELIVERY SCHEDULE

ESTIMATED SHIPPING DATE: Oct 15, 2026

Shipping Location: **200 Franklin Pkwy, San Mateo, CA, 94403-1921, USA**

HARDWARE	QTY
Axon Outpost - Battery & Charger Enclosure - Extended	45
Axon Outpost - Camera	46
Axon Outpost - Pole - Standard	45
Axon Outpost - Solar Panel - 100W	45
Axon Outpost - Standard Solar Hardware Kit	45
Axon Outpost - Top Mount End Cap - Standard	45
SERVICES	**QTY**
Axon Outpost - Standard Installation	45
Axon Outpost - Upgrade Installation	40
WARRANTIES	**QTY**
Axon Outpost - Ext Warranty - Camera	46
Axon Outpost - Maintenance	45

ESTIMATED SHIPPING DATE: Nov 15, 2026

Shipping Location: **200 Franklin Pkwy, San Mateo, CA, 94403-1921, USA**

SOFTWARE	QTY
Axon Vehicle Intelligence - ALPR License	45

ESTIMATED SHIPPING DATE: Oct 15, 2027

Shipping Location: **200 Franklin Pkwy, San Mateo, CA, 94403-1921, USA**

HARDWARE	QTY
Axon Outpost - Battery & Charger Enclosure - Extended	14
Axon Outpost - Camera	14
Axon Outpost - Pole - Standard	14
Axon Outpost - Solar Panel - 100W	14
Axon Outpost - Standard Solar Hardware Kit	14
Axon Outpost - Top Mount End Cap - Standard	14
SERVICES	**QTY**
Axon Outpost - Standard Installation	14
Axon Outpost - Upgrade Installation	14
WARRANTIES	**QTY**
Axon Outpost - Ext Warranty - Camera	14
Axon Outpost - Maintenance	14

ESTIMATED SHIPPING DATE: Nov 15, 2027

Shipping Location: **200 Franklin Pkwy, San Mateo, CA, 94403-1921, USA**

SOFTWARE	QTY
Axon Vehicle Intelligence - ALPR License	14

ESTIMATED SHIPPING DATE: Oct 15, 2031

Shipping Location: **200 Franklin Pkwy, San Mateo, CA, 94403-1921, USA**

Tax estimates are approximate and subject to change at time of invoicing.

HARDWARE	QTY
Axon Outpost - TAP Refresh One - Battery Enclosure Extended	40
Axon Outpost - TAP Refresh One - Camera	41

WARRANTIES	QTY
Axon Outpost - Ext Warranty - Camera	5
Axon Outpost - Maintenance	5

ESTIMATED SHIPPING DATE: Nov 15, 2031

Shipping Location: **200 Franklin Pkwy, San Mateo, CA, 94403-1921, USA**

SOFTWARE	QTY
Axon Vehicle Intelligence - ALPR License	5

ESTIMATED SHIPPING DATE: Oct 15, 2032

Shipping Location: **200 Franklin Pkwy, San Mateo, CA, 94403-1921, USA**

HARDWARE	QTY
Axon Outpost - TAP Refresh One - Battery Enclosure Extended	14
Axon Outpost - TAP Refresh One - Camera	14

ESTIMATED SHIPPING DATE: Jan 14, 2035

Shipping Location: **200 Franklin Pkwy, San Mateo, CA, 94403-1921, USA**

HARDWARE	QTY
Axon Outpost - TAP Refresh Two - Battery Enclosure Extended	54
Axon Outpost - TAP Refresh Two - Camera	55

TERMS & CONDITIONS

Tax is estimated based on rates applicable at date of quote and subject to change at time of invoicing. If a tax exemption certificate should be applied, please submit prior to invoicing.

STANDARD TERMS AND CONDITIONS

Axon Master Services and Purchasing Agreement:
This Quote is limited to and conditional upon your acceptance of the provisions set forth herein and Axon's Master Services and Purchasing Agreement (posted at https://www.axon.com/sales-terms-and-conditions), as well as the attached Statement of Work (SOW) for Axon Fleet and/or Axon Interview Room purchase, if applicable. In the event you and Axon have entered into a prior agreement to govern all future purchases, that agreement shall govern to the extent it includes the products and services being purchased and does not conflict with the Axon Customer Experience Improvement Program Appendix as described below.

ACEIP:
The Axon Customer Experience Improvement Program Appendix, which includes the sharing of de-identified segments of Agency Content with Axon to develop new products and improve your product experience (posted at www.axon.com/legal/sales-terms-and-conditions), is incorporated herein by reference. By signing below, you agree to the terms of the Axon Customer Experience Improvement Program.

Acceptance of Terms:
Any purchase order issued in response to this Quote is subject solely to the above referenced terms and conditions. By signing below, you represent that you are lawfully able to enter into contracts. If you are signing on behalf of an entity (including but not limited to the company, municipality, or government agency for whom you work), you represent to Axon that you have legal authority to bind that entity. If you do not have this authority, please do not sign this Quote.

EXCEPTIONS TO STANDARD TERMS AND CONDITIONS

Co-Term Provision:
This Quote is issued under and incorporated into the Master Services and Purchasing Agreement between Axon Enterprise, Inc. and San Mateo Police Department executed on December 10, 2024. Notwithstanding any subscription term stated elsewhere in this Quote, all subscriptions purchased under this Quote are coterminous with the applicable subscriptions under the December 10, 2024 agreement.

Termination for Convenience:
Customer may terminate this Quote for convenience upon at least sixty (60) days' prior written notice to Axon. Any such termination will be subject to the Termination provisions of the underlying Agreement, including Customer's obligation to pay all amounts due through the effective date of termination and any applicable hardware charges, discounts, credits, or other amounts triggered by early termination.

Notwithstanding the foregoing, if Customer terminates this Quote during the initial twelve (12) months of the contract term, Customer will not be subject to any applicable MSRP reconciliation. Any termination occurring after the initial twelve (12) months of the contract term will be subject to the payment obligations outlined in the underlying Agreement, including any applicable MSRP reconciliation. Except as expressly provided in the underlying Agreement, prepaid fees are non-refundable.

Rewrite Estimates
Estimated Amounts and Contract Terminations. Any amounts stated as due under existing or terminated contracts — including contract transfer balances carried forward to new or pending contracts — are estimates based on payments received as of the calculation date. These estimates may be adjusted if new contracts are not executed on the anticipated dates or if expected payments are not made.

Refresh Shipment Timing
Technology Assurance Plan (TAP) Refresh Prior to Renewal. For Customers with expiring agreements that include TAP refresh rights, Axon may, in its discretion, ship refresh hardware under the existing contract while renewal or replacement agreements are in progress. Any such shipments will be deemed made under the terms of the existing contract until the new contract is fully executed, after which any applicable updates, fees, or adjustments will apply.

Shipment Timing
Shipment Variance . Estimated shipment dates are provided for planning purposes only and are not guarantees. Axon may ship hardware before or after the estimated shipment date, and failure to meet an estimated shipment date will not, by itself, constitute a breach, provided Axon uses commercially reasonable efforts to meet estimated shipment dates.

Signature
9/5/2026

Date Signed

OUTPOST SOW

1. Purpose

This Statement of Work ("SOW") outlines the scope, responsibilities, and installation details for Axon as part of the Customer's purchase of Axon Outpost. This SOW operates under the terms of the Agreement. All capitalized terms in this SOW shall have the same meaning as the Agreement.

2. Scope of Work

Axon and Axon authorized subcontractors will install and maintain Axon Outpost on selected Customer owned properties.

3. Installation Location

Customer grants Axon the right to install and maintain Axon Outpost at location sites approved by Axon.

3.1. If location sites have not been selected or assessed at the time of contract signature, Axon reserves the right to invoice the Customer for additional install complexities not accounted for in the initial quote.

4. Installation, Validation, and Support

4.1. Site Selection and Assessment. Axon will support site selection and assessment. Assessments may be conducted virtually or in-person and may include confirmation of visibility/coverage, cellular strength, solar feasibility, and access to AC power sources.

4.1.1. For all existing infrastructure installation sites, Customer is responsible for condition of existing infrastructure.

4.1.2. If during a site walk it has been deemed that an installation is more complex than initially quoted, Axon reserves the right to invoice Customer for the additional cost of installation.

4.1.3. If Axon deems a selected location site is not suitable for installation, a new site must be selected and assessed.

4.2. Permitting. Axon will assist with obtaining the necessary local, state, or Federal approvals before installing Outpost. All permitting fees are the responsibility of the customer. All permit licenses will be in the name of the customer.

4.3. Installation. Axon will install all Axon Outpost hardware and agreed-upon pole (where applicable).

4.3.1. Solar Sites. For sites with solar power, Axon will: (a) install the Outpost camera, battery, and solar panel; (b) ensure the camera is connected to power and LTE; (c) ensure the camera is set at the optimal capture angle; (d) ensure the panel is installed for optimal sun exposure.

4.3.2. AC Sites. For sites with AC power, Axon will: (a) install the Outpost camera and AC adapter; (b) ensure the camera is set at the optimal capture angle. Axon will not conduct any electrical work to connect the AC adapter to power. The customer may work with a licensed electrician to connect the camera to power. Or, If requested, the customer may request for Axon to coordinate with a licensed electrician for an additional cost.

4.3.3. Existing Infrastructure Installations. If selected infrastructure has existing camera(s), Axon will remove the hardware before installing Outpost. Axon will not dispose of equipment, repair any surfaces or structures, or remove underground cables or conduit.

4.3.4. Standard and Advanced Installations. For Standard or Advanced installations, Axon will install a breakaway or MASH approved pole, respectively. Axon will call 811 prior to installation.

4.3.5. DOT Pole Installation Service. Axon will install Outpost on existing DOT poles and ensure compliance with DOT guidelines. Axon will not install DOT poles.

4.3.6. Complex Location Sites. Complex location sites require a custom SOW and include, but are not limited to, toll booths, bridges and overpasses, federal or military land, areas with restricted access or high security, flood zones, railway crossing, mountainous or hilly terrain.

4.3.7. Exclusions. Installation services do not include the following, unless specifically scoped in a custom SOW: electrical work, concrete drilling, bucket truck or non-standard equipment rental, trenching, tree trimming, custom engineered drawings or traffic plans, traffic control beyond basic MUTCD traffic control, environmental impact studies.

5. Power Requirements

5.1. AC-Powered Sites. Axon will provide all necessary equipment compatible with standard AC power configurations. Customer is responsible for contracting a licensed electrician to ensure installation meets NEC (National Electrical Code) standards and the power must be continuous and non-switched to support uninterrupted system operation; all electrical work must comply with local codes and safety regulations.

5.2. Solar-Powered Sites. Installation sites must offer unobstructed southern exposure to maximize solar efficiency. Axon will assess solar viability during site assessment, including shading, positioning, and mounting considerations. Customer will ensure the selected location sites must maintain direct, unobstructed visibility to the sky to ensure consistent solar energy capture. Customer agrees to help maintain environmental conditions that support reliable solar performance (e.g., minimizing nearby shade, vegetation growth).

6. Traffic Control

Axon will provide basic MUTCD traffic control and provide necessary traffic signs, cones, and temporary barriers.

7. Dependencies and Potential Delays

Installation is subject to but not limited by the following factors, which may affect scheduling and completion: delays due to local permitting requirements or jurisdictional approvals; availability and completion of necessary electrical work at the installation site (for AC-powered setups); coordination with Customer and subcontractors, including restricted hours or special access requirements; weather-related delays that may impact site safety or installation feasibility; or any site-specific safety protocols or regulatory requirements that must be satisfied prior to deployment.

8. Training and Onboarding

Axon's team will provide hands-on training for relevant personnel, user credentials and access to supporting applications, and operational guidance tailored to the current system configuration.

9. General Responsibilities

9.1. Axon will: (a) install, configure, and maintain all hardware at designated location site; (b) validate system power, connectivity, and functionality of Outpost; (c) integrate Outpost with Fusus, including NCIC and state hotlists; and (d) will provide training, documentation, and technical support to Customer personnel.

9.2. Customer will: (a) fund and maintain all legally required permits, authorizations, and/or licensing to place, maintain, and/or remove the Outpost at the installation sites; (b) ensure access to installation sites, support device placement communication, and coordinate internally (e.g., facilities, IT, legal, public safety) to facilitate deployment; (c) support scheduling for permitting and local compliance requirements; (d) designate a primary and backup point of contact; and (e) support site selection, utility clearance, and installation approvals.

Agenda Number: 13 Section Name: NEW BUSINESS Account Number: 34-3133 File ID: 26-11574

TO: City Council

FROM: Alex Khojikian, City Manager

PREPARED BY: Community Development Department

MEETING DATE: October 5, 2026

SUBJECT:
1700 S. El Camino Real – Below Market Rate Alternative Plan – Approval

RECOMMENDATION:
Adopt a Resolution to approve an alternative means of compliance with the City's Below Market Rate Housing Program pursuant to Section VIII(d) of the Below Market Rate Guidelines for the proposed 441-unit housing development project located at 1700 S. El Camino Real (PA-2026-0025).

BACKGROUND:
Approval of an alternative Affordable Housing Plan does not constitute approval of the Project (as defined below). Rather, City Council action on the applicant's request for alternative compliance with Below Market Rate Housing Program guidelines is necessary before the Project can move forward in the development review process.

City Below Market Rate Program Requirements
The City of San Mateo's Below Market Rate (BMR) Program, which consists of an Ordinance (Municipal Code Section 27.16.050) and Guidelines adopted by resolution, requires housing projects with 11 or more units to include 15 percent of the units in the project as affordable to lower-income households (rental developments) and moderate-income households (for-sale developments).

Policy H 1.3 in the City's 2023-2031 Housing Element called for alternative compliance options to onsite affordable units in development projects. On June 16, 2025, City Council adopted Resolution No. 72, amending "Section VIII – Alternatives" of the BMR Guidelines to include the alternative compliance options of Offsite Construction of Affordable Units (Sec. VIII(c)) and Applicant Proposed Alternative (Sec. VIII(d)). The BMR Guidelines are provided as Attachment 2.

A developer must propose the alternative in an Affordable Housing Plan for City Council consideration before the planning application is complete. To approve an alternative means of compliance, the Council must make findings, as specified in Section VIII(d) in the BMR Guidelines and as summarized below:

a. The number of affordable units provided shall meet or exceed the number required by the City's BMR Program;
b. The level of affordability provided is the same or lower than that required by the City's BMR Program;
c. If the alternative does not meet the requirements of (a) and (b), it will provide greater public benefit than that provided under on-site requirements, as specified [this finding is not applicable];
d. Financing or a viable financing plan, which may include public funding, is in place for the BMR units; and
e. The alternative is consistent with the General Plan, Housing Element and the BMR Program.

The scope of this report is limited to City Council review of the Alternative Affordable Housing Plan submitted by the applicant for the proposed project located at 1700 S. El Camino Real (Project). This report does not contain a comprehensive review and analysis of the Project because this agenda item does not relate to Project

entitlements. Accordingly, Council action on this agenda item is limited to considerations of the Project's proposed alternative means of compliance with the City's Below Market Rate Housing Program, not the planning application, which staff is still reviewing.

Project Description

In March 2026, JEMCOR Development Partners (applicant) filed a planning application under SB 330, seeking to demolish an existing five-story office building and associated surface parking to construct two separate eight-story apartment buildings, Building A and Building B, on a 3.1-acre site, located at the corner of El Camino Real and Borel Avenue (1700 S. El Camino Real). The neighborhood meeting for this application was held on March 17, 2026 ahead of the formal submittal.

The planning application (PA 2025-0025) includes a Site Plan and Architectural Review (SPAR), Site Development Planning Application (SDPA) and Vesting Tentative Map (VTM) in order to demolish the existing office building and construct the two new residential buildings. The site is designated as Mixed-Use High in the General Plan, which allows for up to eight stories and 130 units/acre. Once the application is deemed complete and environmental review is completed, the application will be scheduled for Planning Commission public hearing.

The larger of the two buildings, Building A, is a residential building with a total of 253 market-rate rental units. This building includes 136 one-bedroom units, 88 two-bedroom units, and 29 three-bedroom units, with amenities such as a gym, pool, two internal courtyards and 353 parking spaces. The second building, Building B, includes 188 rental-units and would be 100-percent affordable for senior citizens. This building includes 150 one-bedroom units, 28 two-bedroom units, and 103 parking spaces and various amenities similar to Building A.

As required by the City's BMR Program, a project must provide 15 percent of the units in the project as affordable to lower-income renters. The BMR requirement for the market-rate development in Building A, which has a total of 253 units, is 38 lower-income rental units.

Applicant-Proposed Alternative

Using the Applicant-Proposed Alternative under Guidelines Section VIII(d), the applicant is proposing to fulfill the Project's BMR requirements within Building B exclusively, where all 188 units would be deed-restricted affordable rentals for seniors. By offering 188 units of affordable senior housing, the applicant is exceeding the required 38 BMR units by 395-percent. The applicant proposed Affordable Housing Plan is attached as Exhibit A to the Resolution (Attachment 1).

Under Section VIII(d), an applicant may propose other ways to comply with the baseline requirement to provide 15 percent lower-income units on-site if City Council is provided with substantial evidence that the project will provide as many as, or more, BMR units at the same or lower income levels or will otherwise provide a greater public benefit than the baseline requirement.

To approve the applicant's Affordable Housing Plan, the City Council must make all of the following five findings:

a. *The number of affordable units in the proposed alternative plan must equal or exceed that required by the on-site requirement in the BMR Guidelines Section III.*

   By offering 188 units of affordable senior housing in Building B, the developer will be significantly exceeding the standard inclusionary requirement of 38 BMR units.

b. *The level of affordability provided by each of the BMR units must meet the affordability threshold or lower affordability thresholds, as required under the onsite requirements in the BMR Guidelines Section III.*

   The affordable units in Building B will be offered to low-income senior households, which is the same level of affordability as required by the City's BMR Program for rental units.

c. *If the Applicant-Proposed Alternative does not meet requirements in (i) and (ii), it will provide greater public benefit*

than that provided under the onsite requirement of the BMR Guidelines Section III.

This finding is not applicable because the Project meets the requirements of subsections (i) and (ii) as noted above, and furthermore, the Project will create a greater public benefit by providing more than triple the number of required BMR units and provide affordable housing for seniors in a high resource area in within the City which is consistent with Housing Element goals and Affirmatively Furthering Fair Housing (AFFH) objectives.

d. *The developer must demonstrate that a financing or a viable financing plan, which may include public funding, is in place for the Applicant-Proposed Alternative.*

The applicant does not plan to use City or County funds. As proposed, the applicant plans to use private activity tax-exempt bonds to construction this portion of the Project.

e. *The Applicant-Proposed Alternative is consistent with the General Plan and Housing Element, and the provisions of the BMR Guidelines.*

The applicant proposed alternative Affordable Housing Plan is consistent with the General Plan, Housing Element and BMR Guidelines because (a) it transforms a commercial parcel along El Camino Real into high-density housing, thereby matching the City's vision for transit and commercial corridors; (b) the development project is designated by the California Tax Credit Allocation Committee as a High Resource neighborhood with strong access to public transit, jobs, etc.; (c) the development of 441 total housing units go toward the City's Regional Housing Needs Allocation (RHNA) goals established in the Housing Element; and (d) 188 of the 441 total new units will be deed-restricted affordable housing for low-income seniors, which furthers Policy H1.18 of the Housing Element workplan, to *Increase Senior Housing Production.*

As outlined above, the proposed alternative Affordable Housing Plan complies with the City's BMR Guidelines, Section VIII(d).

Next Steps

The Project was deemed complete on July 30, 2026. The City is currently in the process of preparing the Project's Consistency Letter, which is due to the applicant by September 28, 2026. The Project is also subject to the California Environmental Quality Act (CEQA). As the lead agency, the City determined that the Project will be reviewed under CEQA Guidelines Section 15183, "Projects Consistent with a Community Plan or Zoning." The City has contracted with an environmental consulting firm to prepare a CEQA analysis, and this work is in progress.

Following completion of the required environmental analysis and resubmittal of the Project application in response to the City's Consistency Letter, the application will be scheduled for a public hearing before the Planning Commission, which is anticipated to occur towards the end of 2026. Public notification, including mailed notices to all properties within 1,000 feet of the site, will happen in advance of this public hearing.

If the Project is approved, a condition of approval will be added that requires the developer to execute and record a BMR Agreement with the City prior to issuance of a building permit. The agreement, which is a standard requirement for all projects subject to the City's BMR Program, will ensure that the units provided to fulfill the BMR requirement will remain affordable and will be monitored by the City for compliance. A separate condition of approval will require that the building containing the market-rate units (Building A) will not receive a certificate of occupancy until the building containing the affordable units (Building B) has received a building permit and commenced with construction.

BUDGET IMPACT:

There is no impact to the General Fund associated with this report.

ENVIRONMENTAL DETERMINATION:

The approval of an alternative means of compliance with the City's Below Market Rate Housing Program is not a project

subject to CEQA, because it is an organizational or administrative activity that will not result in direct or indirect physical changes in the environment. (CEQA Guidelines Section 15378(b)(5).) The underlying Project will undergo its own environmental review under CEQA as part of the development review process.

STRATEGIC PLAN ALIGNMENT:
This Project supports the Housing initiative.

NOTICE PROVIDED:
All meeting noticing requirements were met. Consistent with SMMC Section 27.08.050, notices were sent to the following parties more than 10 days in advance of this City Council meeting:

- Property owners and tenants of property located within a 1,000-foot radius of the Project site;
- The City's Planning "Notify Me" email list; and
- The interested parties, which includes interested individuals who contacted the City and requested to be added to CITY OF SAN MATEO the Project notification list.

ATTACHMENTS
Att 1 – Proposed Resolution
Exhibit A - Affordable Housing Plan
Att 2 – Below Market-Rate Guidelines

STAFF CONTACT
Van Diggans, Housing Specialist II
vdiggans@cityofsanmateo.org
(650) 522-7229

CITY OF SAN MATEO
RESOLUTION NO. ____ (2026)

APPROVING AN ALTERNATIVE MEANS OF COMPLIANCE PURSUANT TO SECTION VIII(d)OF THE CITY'S BELOW MARKET-RATE HOUSING GUIDELINES FOR PA-2026-0025, A HOUSING DEVELOPMENT PROJECT LOCATED AT 1700 SOUTH EL CAMINO REAL

WHEREAS, in March 2026, JEMCOR Development Partners (Applicant) filed a formal development application, PA 2025-0025, with the Planning Division for a Site Plan and Architectural Review (SPAR), Site Development Planning Application (SDPA), and Tentative Mapping (VTM) in order to demolish the existing five-story office building at 1700 S. El Camino Real and construct two eight-story apartment buildings on a 3.1-acre site, located at the corner of El Camino Real and Borel Avenue; and

WHEREAS, consideration of the SPAR, SDPA, and VTM for the underlying Project require review and approval by the Planning Commission, which will occur on a future date; and

WHEREAS, Building A is a residential building with a total of 253 market-rate rental units, including 136 one-bedroom units, 88 two-bedroom units, and 29 three-bedroom units, and Building B is a 188-unit residential building, including 150 one-bedroom units and 28 two-bedroom units with deed-restricted lower-income units for senior citizens;

WHEREAS, under Section III(b)(ii) of the City's Below Market-Rate (BMR) Guidelines, a project must provide 15 percent of the units in the project as affordable to low-income renters. The BMR requirement for the market-rate development in Building A, which has a total of 253 units, is 38 lower-income rental units; and

WHEREAS, under Section VIII(d) of the BMR Guidelines, a developer may propose alternative ways to comply with the baseline requirement to provide 15 percent lower-income units on-site, if a developer provides City Council with substantial evidence that the project will provide as many as, or more BMR units at the same or lower income levels, or will otherwise provide a greater public benefit than the baseline requirement; and

WHEREAS, the Applicant invokes BMR Guidelines Section VIII(d), and proposes to fulfill the Project's BMR requirements within Building B, where all 188 units will be deed-restricted affordable rentals for seniors; and

WHEREAS, under Section VIII(d), the Affordable Housing Plan must be approved prior to the Project being deemed complete. The Affordable Housing Plan must comply with all five criteria set forth in the Guidelines.

NOW, THEREFORE, THE CITY COUNCIL OF THE CITY OF SAN MATEO, CALIFORNIA, HEREBY FINDS:

1. The approval of an alternative means of compliance with the City's Below Market Rate Housing Program is not a project subject to CEQA, because it is an organizational or administrative activity that will not result in direct or indirect physical changes in the environment. (CEQA Guidelines Section 15378(b)(5).)

2. All the requirements of the City's BMR Guidelines are met:
   Under Section VIII(d)(i), the number of affordable units in the proposed alternative plan must equal or exceed that required by the on-site requirement in Section III.

   By offering 188 units of affordable senior housing in Building B, the Project will significantly exceed the standard inclusionary requirement of 38 BMR units.

Under Section VIII(d)(ii), the level of affordability provided by each of the BMR units must meet the affordability threshold or lower affordability thresholds, as required under the onsite requirements under Guidelines Section III.

The affordable units in Building B will be offered to low-income senior households, which is the same level of affordability as required by the City's BMR Program for rental units.

Under Section VIII(d)(iii), if the Applicant-Proposed Alternative does not meet requirements in (i) and (ii), it will provide greater public benefit than that provided under the onsite requirement of Guidelines Section III.

The Project meets the requirements of subsections (i) and (ii) as noted above, and furthermore, the Project will create a greater public benefit by providing more than triple the number of required BMR units and provide affordable housing for seniors in a high resource area in within the City which is consistent with Housing Element goals and Affirmatively Furthering Fair Housing (AFFH) objectives.

Under Section VIII(d)(iv), the developer must demonstrate that a financing or a viable financing plan, which may include public funding, is in place for the Applicant-Proposed Alternative.

The Applicant does not plan to use City or County funds; the Applicant plans to use private activity tax-exempt bonds.

Under Section VIII(d)(v), the Applicant-Proposed Alternative must be consistent with the General Plan and Housing Element, and the provisions of the BMR Guidelines.

The Applicant-proposed alternative Affordable Housing Plan is consistent with the General Plan, Housing Element, and BMR Guidelines because (a) it transforms a commercial parcel along El Camino Real into high-density housing, thereby matching the City's vision for transit and commercial corridors; (b) the development project is designated by the California Tax Credit Allocation Committee as a High Resource neighborhood with strong access to public transit, jobs, etc.; (c) the development of 441 total housing units go toward the City's Regional Housing Needs Allocation (RHNA) goals established in the Housing Element; and (d) 188 of the 441 total new units will be deed-restricted affordable housing for low-income seniors, which furthers Policy H1.18 of the Housing Element, to Increase Senior Housing Production.

3. The Affordable Housing Plan for the Project in Exhibit A to this Resolution is hereby approved.

June 17, 2026

Rachel Horst
Housing & Neighborhood Services Manager
Community Development Department, City of San Mateo
330 W 20th Avenue
San Mateo, CA 94403
rhorst@cityofsanmateo.org

via email

Re: Applicant-Proposed Alternative Compliance Method for City of San Mateo BMR Program

This purpose of this letter is to state an Applicant-Proposed Alternative compliance plan consistent with Section VIII(d) of the City of San Mateo's Below Market Rent (Inclusionary) Program requirement ("BMR Requirement") as it would apply to Applicant's pending application to redevelop 1700 S El Camino Real (the "Project"), CDD file number PA-2026-0013.

As it relates to Section VIII(d) of the BMR Requirement, the following rationale is submitted:

- The BMR Requirement is designed to ensure that otherwise market-rate apartment developments reserve a portion of the total unit count for various levels of qualified below-market households.

- Per the terms of the BMR Requirement, a total of 15% of the total proposed unit count would need to be offered for rental rates not exceeding a Lower Income threshold. (§ III(b).) As the Project currently proposes a total of 441 rental units, this calculates to a total requirement of 66 BMR units.

- Per Applicant's proposed programming of the Project, a total of 188 BMR units will be provided at a Lower Income standard, or 43% of the Project's total unit count.

- The Project will comprise the development of two separate rental communities:

    1. Building A: a 253-unit, 100% market-rate development (subject only to documentation the City would require to memorialize that its BMR Requirement has been satisfied by Building B)

    2. Building B: a 188-unit, 100% senior affordable LIHTC development (subject to a Density Bonus regulatory agreement and also a governing regulatory agreement with the California Tax Credit Allocation Committee ("TCAC"))

- Although certain regulatory restrictions on Building B will be enforced through the bond issuer or TCAC rather than by the City's Density Bonus Regulatory Agreement, the total public benefit the Project will provide to qualifying households (185 senior affordable housing units and 3 manager units) will greatly exceed what the IHO would itself require in isolation (66 affordable housing units).

- Because Building A and Building B would be separate buildings ultimately on separate parcels, their amenities, services, unit sizes, and finishes will not be shared as otherwise required by Section VII of the BMR Requirement. Rather, these elements will be distinct and appropriate to each building's resident profile and market positions.

- Please note, however, that the unit plans for Building B will greatly exceed the square footage requirement for senior units stated in Section VII(e) of the BMR Requirement. Currently, the

average rental square footage of a one-bedroom unit in the senior affordable development will be +/- 690 RSF versus a BMR Requirement minimum of 507 RSF; the average rentable square for a two-bedroom unit in the senior affordable building will be +/- 980 RSF versus a BMR Requirement minimum of 602 RSF.

In summary, the Applicant notes the following with respect to Section VIII(d) (i) -(iv) of the BMR Requirement:

i. The number of affordable units exceeds those required by Section III of the BMR Requirement by 285% (188 lower income units provided versus 66 required).

ii. Consistent with Gov. Code § 65915, all 188 affordable units will be restricted by the Density Bonus regulatory agreement to a lower income qualification standard, consistent with Section III of the BMR Requirement.

iii. The Project will create substantially greater public benefit not only by exceeding the BMR Requirement by nearly 3x, but also by provided much-needed deed-restricted affordable housing for seniors.

iv. While the Project will not be funded with "public" funding (no City or County funds will be requested), it will utilize private activity tax-exempt bonds and federal (and also potentially state) low-income housing tax credits. The Applicant is a prominent developer of 100% affordable housing in the Bay Area. It is eminently qualified to develop Building B using this capital structure.

v. Applicant believes its proposed alternative furthers the stated goals of the General Plan and Housing Element with zero cost to the City of San Mateo.

We appreciate Staff's common-sense consideration of this request. Please contact us with any questions.

JEMCOR Development Partners

CITY OF SAN MATEO
BELOW MARKET RATE (INCLUSIONARY) PROGRAM

I. INTENT

It is the intent of this resolution to establish requirements for the designation of housing units for moderate, lower, and very low income households in development projects containing residential dwelling units.

II. DEFINITIONS

Whenever the following terms are used in this resolution, they shall have the following meanings:

(a) "Affordable Housing" means affordable ownership housing or affordable rental housing. Affordable ownership housing is housing affordable to households whose incomes do not exceed one hundred twenty percent (120%) of the area median income (low or moderate income households).

Affordable rental housing is housing affordable to households whose incomes do not exceed eighty percent (80%) of the area median income (very low or lower-income households).

(b) "Applicant" means any person, firm, partnership, association, or any other entity who submits the planning application and/or building permit for the construction of new dwelling units.

(c) "Area Median Income" means the median household income for San Mateo County as published annually by the California Department of Housing and Community Development

(d) "Below Market Rate (BMR) Unit" means an affordable housing unit.

(e) "Density Bonus" means entitlement to build additional residential units above the maximum number of units permitted pursuant to the existing General Plan, applicable specific plan and/or zoning designation.

(f) "Lower Income" means households whose income does not exceed that as defined in Health and Safety Code section 50079 for the County of San Mateo as published annually by the California Department of Housing and Community Development, as adjusted for household size.

(g) "Market Rate Unit" means a dwelling unit where the rental rate or sales price is not restricted by this resolution.

(h) "Moderate Income" means households means households whose income does not exceed that as defined in Health and Safety Code section 50093 for the County of San Mateo as published annually by the California Department of Housing and Community Development.

(i) "Occupancy Standards" means the minimum household size upon which qualification and pricing for BMR units is based.

(j) "Ownership Units" means housing units offered for sale including, but not limited to, single family homes, condominiums, other common interest developments and mutual housing associations.

(k) "Rental Units" means housing units offered for lease or rent.

(l) "Very-low Income" means households whose income does not exceed that as defined in Health and Safety Code section 50105 for the County of San Mateo as published annually by the California Department of Housing and Community Development

III. BELOW MARKET RATE HOUSING REQUIREMENTS – GENERAL

(a) **Applicability.** The requirements of this program shall apply to all development projects that include five (5) or more residential units or parcels which involve:

1. New construction of rental or ownership housing units, including mixed use developments and addition of units to existing projects, or
2. Subdivision of property for single family or duplex housing development, or
3. Conversion of rental apartments to condominium or other common interest ownership under Chapter 26.65 of the Municipal Code.
4. Conversion of nonresidential use to residential units.

(b) **Number of BMR Units Required.** For residential development projects of eleven (11) or more units, the number of BMR units must be constructed as follows:

1. Ownership Units
   a. Fifteen percent (15%) of the proposed units shall be set aside for occupancy by and shall be affordable to Moderate Income households.

2. Rental Units
   a. Fifteen percent (15%) of the proposed units shall be set aside for occupancy by and shall be affordable to Lower Income households.

In determining the number of BMR units required, any decimal fraction .5 or above shall be rounded up to the nearest whole number.

Fees in-lieu of constructing required BMR units shall not be allowed except for the provisions for fractional units defined below.

(c) **Fractional Unit Fees.** In the following situations a fractional fee will be collected instead of construction of a BMR unit:

1. For residential development projects consisting of 5-10 units or parcels, or

2. When the calculation of the BMR units in development projects of 11 or more units or parcels results in a fractional unit less than .5.

In either scenario, applicant has the option to provide an additional BMR unit instead of the fee.

The fractional fee will be established based on the typical cost to develop a BMR unit and will be adopted by resolution by the City Council on an annual basis. The fee will be collected at the time the building permit is issued and shall be deposited into the City Housing fund.

(d) **Occupancy Standards.** Priority for occupancy shall be for households meeting the following size requirements.

1 bedroom units	-	no restriction
2 bedroom units	-	Minimum two person occupancy
3 bedroom units	-	Minimum three person occupancy

Other households for such units will be on a lower priority.

IV. OWNERSHIP UNIT AFFORDABLE HOUSING STANDARDS

(a) **Price of Units.** The maximum sales price of BMR units shall be limited to a price that is affordable to a household earning between 100-110% of area median income, adjusted for household size, with payments not to exceed between 30-35 percent of the gross monthly income, less insurance and property taxes and homeowners association dues. The City Council at least once per year shall adopt by resolution maximum allowable sales prices, adjusted by unit size, within the ranges established above and based on prevailing interest rates and prior experience in maintaining an adequate sized list of qualifying buyers. The sales prices for BMR units shall be established at the time of building permit issuance for each project.

For units which provide congregate care or personal assistance for residents, the costs of care shall be separate from housing costs, and shall not be included in the pricing formula.

(b) **Sales Restrictions.** BMR units shall be sold or resold only to eligible moderate or lower-income households. The City, or its designees, shall determine the eligibility of such households. A deed restriction, covenant, and/or other instrument enforceable by the City, limiting the resale of such units to eligible households shall be recorded in the chain of title of all BMR units. The duration of such resale restrictions shall be 45 years, and shall be reapplied and recorded upon each resale of the unit.

The deed restriction shall provide that the City have the first right of refusal to purchase the unit. The City's option to purchase may be assigned to a qualifying moderate or lower income household.

The City or its designee shall be responsible for selection and qualification of buyers in accord with its marketing polices regulating affordable housing. The seller shall pay costs associated

with buyer selection, qualification and unit sales.

(c) **Unit Appreciation**. Each unit offered for resale will be subject to resale restrictions in which the effective sales price (sales price less City subsidy) will be computed to equal the average increase in moderate income for the San Francisco MSA during the period of ownership.

(d) **Occupancy Restrictions**. Units shall only be occupied by their owners. Renting, leasing, subleasing or subletting shall not be permitted for more than two months in any year. Violation of these occupancy restrictions will be grounds for termination of the occupancy.

V. RENTAL UNIT AFFORDABLE HOUSING STANDARDS

(a) **Rental Rates.** The monthly rent to be charged for a BMR unit in a rental project shall not exceed 30% percent of the gross monthly income for households earning between 50-70 percent or less of area median income, adjusted for household size. The City Council shall at least once per year adopt by resolution maximum allowable rental rates, adjusted by unit size, within the ranges established above and based on prior experience in maintaining a list of qualifying renters. In no event shall the annual rent increase exceed 4% from the prior year. The surplus median income increase in a capped year can be carried over and combined in the following years, as long as the 4% cap per year is maintained.

For units which provide congregate care or personal assistance for residents, the cost of care shall be separate from housing costs and shall not be included in the rental formula.

(b) **Move-in Costs.** Total costs and security deposits to occupy a unit shall be limited to first and last month's rent, plus a cleaning deposit not to exceed one month's rent.

(c) **Rental Restriction.** Occupancy of BMR rental units and qualification of eligible lower-income tenants shall be the responsibility of the project owner or an authorized agent of the owner. Annual leases shall be offered to tenants of BMR units. Income qualifications of the tenants shall be verified upon annual lease renewal. If a tenant's income rises above the 90% area median income for a Lower Income Unit or above 60% area median income for a Very Low Income Unit, the unit shall become a market rate unit and the next comparable unit available will become a BMR unit, unless the tenant chooses to vacate the unit.

Each project owner shall submit an annual report to the City identifying for each BMR unit the monthly rent, vacancy information for the prior year, income and income verification for tenants, and other information as required by the City.

The rental restrictions shall be in force for the life of the building.

(d) **Change in Tenure from Existing BMR Rental Units to Ownership.** In the event the owner of any development that contains BMR Rental Units chooses to offer those units for sale after the initial occupancy of the BMR units as rentals, a new BMR agreement shall be executed and recorded. The agreement shall describe the number, location and sales prices of the BMR units

offered for sale. The BMR Ownership units shall be affordable to moderate income households in accordance with the BMR program provisions in place, unless the project utilized the State Density Bonus, in which case the sales prices shall be affordable to the household income levels identified in the original BMR agreement at the sales prices for those household income levels adopted by City Council resolution on an annual basis.

If the change in tenure is part of a condominium conversion, all provisions of Chapter 26.65 of the Municipal Code shall be followed.

If the change in tenure is not associated with a condominium conversion, the BMR Rental Unit tenants must be adequately noticed and offered relocation assistance as follows:

1. Each of the BMR tenants shall receive written notification by registered mail from the property owner of the intention to sell at least one hundred and eighty (180) days prior to termination of tenancy. This notification shall include the information regarding relocation, right to purchase, and lease benefits available.

2. Each of the BMR tenants shall be given notice by the property owner of an exclusive right to contract for the purchase of his or her respective unit upon terms and conditions of the BMR program as it pertains to Ownership Units. This right shall run for a period of not less than ninety (90) days from the date of the initial notification of termination of tenancy.

3. Relocation assistance shall be given to all BMR tenants who do not exercise their right to purchase as follows:
    a. A relocation allowance equal to three month's rent at the tenant's rate in effect at the time the notice of termination of tenancy is filed shall be paid to the eligible tenant within twenty (20) days after the tenant notifies the owner of his intention to vacate the unit or the owner notifies the tenant to vacate the unit.
    b. The applicant shall provide a list of active comparable rental units in San Mateo County at least once each month beginning from the initial notification of termination of tenancy.
    c. In projects that consist of twenty-five (25) or more BMR Rental Units, the applicant shall provide a relocation specialist to assist displaced tenants in finding new housing.

VI. SUBDIVISIONS

A subdivider of land for single family or duplex development resulting in eleven (11) or more parcels shall provide BMR units equivalent to at least fifteen percent (15%) of the density permitted on the subdivided lots.

VII. UNIT SIZE, TYPE AND DESIGN

BMR units shall:

(a) Have exterior design and appearance compatible with and substantially the same as market rate units within the project, including landscaping;

(b) Be distributed throughout the development project as approved by the City;

(c) Have similar access to the unit from the exterior as market rate units;

(d) Contain proportionately the same number of bedrooms as market rate units,

(e) Generally be of comparable size to similar market rate units, or

They may be up to 10% smaller than market units if they meet the following minimum sizes:

Unit Type	Regular Units	Senior Units
studio units	450 square feet	405 square feet
one bedroom units	600 square feet	507 square feet
two bedroom units	900 square feet	602 square feet
three bedroom units	1100 square feet	950 square feet

(f) Have access to all on-site amenities; and

(g) In phased development projects, be constructed proportionately in each phase.

(h) Interior unit amenities such as floor covering, appliance and other fixtures, shall be specified in the BMR agreement executed prior to issuance of building permit and may differ from market rate units, but must at a minimum be UL or AGA listed.

VIII. ALTERNATIVES

An applicant may propose an alternate means of compliance with the BMR program subject to the following provisions:

(a) **Variation of the bedroom count of BMR Units**. Based on Council adoption of community priorities, an applicant may propose a different bedroom mix in BMR units than a straight pro rata of the Market Rate Units as long as the total bedroom count is the same or more, and the total number of BMR units equal 10% or more of the project. For example, the City may accept fewer BMR units in exchange for those with more bedrooms, or conversely it may agree to more BMR units that have smaller bedroom counts. The Council will adopt its community priorities by resolution annually at the same time it adopts the BMR rental and sales prices.

(b) **Size of BMR units.** In projects where the Market Rate Units all exceed 2000 square feet, the BMR units may be up to 20% smaller than the Market Rate Units.

(c) **Off Site Construction Alternative.** In order to approve the Off-Site Construction alternative, the City Council must make the following findings:

i. The number of affordable units provided by the Off-Site Construction alternative equals or exceeds that required under the on-site requirement in Section III of these Guidelines; and

ii. The level of affordability provided by the Off-Site Construction alternative is the same or lower than that required by the on-site requirement in Section III of these Guidelines; and

iii. The alternative is consistent with the General Plan and Housing Element and the provisions of these Guidelines; and

iv. Financing or a viable financing plan, which may include public funding, is in place for the off-site BMR units; and

v. The off-site location is suitable for the proposed BMR Units and furthers the goals of Affirmatively Furthering Fair Housing, consistent with the Housing Element; and

vi. The off-site BMR units will be available for occupancy prior to or concurrently with development of the main project. If the main development project is phased, the off-site BMR units comply with Section VII(g) of these Guidelines.

(d) **Applicant-Proposed Alternative.** An applicant may propose other ways to comply with the on-site BMR requirement in Section III of these Guidelines if City Council determines, based on substantial evidence provided by the applicant, that it will provide as many or more BMR units at the same or lower income levels, or will otherwise provide greater public benefit than that provided under the on-site requirement in Section III of these Guidelines. The proposed alternative compliance option must be identified in an Affordable Housing Plan that is submitted as part of the Planning Application. A Planning Application shall not be deemed complete until the Affordable Housing Plan is approved. The applicant shall bear all costs associated with demonstrating that the compliance option meets the BMR requirements. In order to approve the Applicant-Proposed Alternative, the City Council must make the following findings:

i. The number of affordable units provided by the Applicant-Proposed Alternative equals or exceeds that required by the on-site requirement in Section III of these Guidelines;

ii. The level of affordability provided by each of the BMR units meets the affordability threshold or lower affordability threshold(s) as required under the on-site requirement in Section III of these Guidelines;

iii. If the Applicant-Proposed Alternative does not meet these requirements in (i) and (ii), it will provide greater public benefit than that provided under the on-site requirement in Section III of these Guidelines;

iv. Financing or a viable financing plan, which may include public funding, is in place for the Applicant-Proposed Alternative; and

v. The Applicant-Proposed Alternative is consistent with the General Plan and Housing Element and the provisions of this Guidelines.

(e) **Agreement with City for Financing.** If the City enters into a financing agreement with the applicant, the parties may agree to alter the requirements of Section VII, subsections (a) through (g), above.

(f) **Significant Number of Affordable Units**. If an applicant exceeds the maximum percentage of affordable units set forth in the state density bonus law for low or very low income rental or ownership units or moderate income ownership units, the City will consider an applicant's request to alter the requirements of Section VII, subsections (a) through (g), above, in connection with its review of the planning application for the project and may reject or accept the request in its sole discretion.

(g) **Specialized Services**. If a project will include units for residents requiring specialized services (such as health care for senior residents), the City will consider an applicant's request to alter the requirements of Section VII, subsections (a) through (g), above, in connection with its review of the planning application for the project and may reject or accept the request in its sole discretion.

IX. ELIGIBILITY REQUIREMENTS

Only households qualifying as very low, lower or moderate income households shall be eligible to occupy BMR units. Preference shall be given to persons residing or working within San Mateo. Eligibility shall be determined in conjunction with policies adopted by City Council resolution.

X. ADMINISTRATION

(a) **Responsibilities.** The City or its designee shall be responsible for administering ownership BMR units. The project owner shall be responsible for administering BMR rental units.

The City's Community Development Director or a designee shall be responsible for administration of the BMR program, including, but not limited to, determinations regarding calculation of the number of BMR units required, pricing, design, review of feasibility analyses, qualification of tenants, and long-term program compliance. The City may prepare administrative guidelines to further clarify program requirements.

(b) **Application Process**. At the time of filing a planning application for a development project subject to the BMR program, the applicant shall include the proposed number of BMR units, including their size and number of bedrooms.

(c) **BMR Agreement**. Prior to the issuance of a building permit the applicant shall enter into a BMR Agreement with the City which will be recorded against the property and shall include the following:

1. The number of BMR units and their location;
2. The unit sizes and the number of bedrooms per dwelling unit;
3. The affordability level and initial rent or sales price;
4. The interior unit amenities which would differ from market-rate units, including, but not limited to, floor coverings, countertops, appliances, plumbing and electrical fixtures; and
5. The schedule for production of BMR units in phased developments.

XI. DENSITY BONUSES FOR RESIDENTIAL DEVELOPMENTS

(a) **Bonus for Affordable Units.** Provision of the BMR units entitle an applicant to request a density bonus in accordance with Government Code section 65915.

(b) **Additional Incentives.** In addition to any density bonus, applicant may request additional incentive(s) or concession(s) in accordance with Government Code section 65915 and San Mateo's Density Bonus Ordinance at Section 27.16.060 of the Municipal Code.

The additional incentive(s) or concession(s) to be provided shall be determined by the City at the time of the application approval in accordance with Government Code section 65915 and the City's Density Bonus Ordinance. The City will require information from the applicant to determine the necessary incentive or concession, or may hire a consultant to prepare an analysis at the expense of the applicant.

The following describes the density bonus amount and number of incentives that are allowed by providing the required affordable units in the BMR program.

Tenure	Percent Affordable	Income Target	Density Bonus Allowed	Developer Incentives
Ownership	15%	Moderate	10%	1
Rental	15%	Lower	27.5%	1

Applicant may provide any combination of additional affordable units and/or deeper affordability which may be eligible for a higher density bonus and/or more incentives or concessions based on the provisions of State Density Bonus law and the City's Density Bonus Ordinance as long as the City's minimum affordability requirements are met. However, the City

will not accept Very Low units in an ownership project unless a reserve is established that can be utilized by lower income owners to fully pay for future expenses related to increases in homeowners' association dues or other assessments, such that the overall housing cost of homeownership is maintained at an affordable level.

(c) **BMR Program Applicable.** The affordable units provided under the provisions of the Density Bonus Ordinance shall comply with all requirements of the BMR program.

CITY OF SAN MATEO

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Agenda Report

Agenda Number: 14 | Section Name: OLD BUSINESS | Account Number: 10-4679 | File ID: 26-11524

TO: City Council

FROM: Alex Khojikian, City Manager

PREPARED BY: Public Works Department

MEETING DATE: October 5, 2026

SUBJECT:
Storm Drain Master Plan Update — Adoption

RECOMMENDATION:
Approve a Resolution to adopt the updated Storm Drain Master Plan.

BACKGROUND:

Introduction
This staff report provides a brief summary of the background, findings and recommendations, Council and Commission feedback, and next steps related to the Storm Drain Master Plan (SDMP). The SDMP and appendices are available for the City Council's review on the following website: https://www.cityofsanmateo.org/4953/Storm-Drain-Master-Plan

Background
The City's storm drain system was last comprehensively evaluated under the 2004 Storm Drain Master Plan, where system improvements were largely limited to levee improvements and coastal flood risk reduction due to a lack of dedicated funding for interior drainage upgrades. The New Year's Eve 2022 storm, an approximately 200-year event that overwhelmed the City's stormwater conveyance system and led to overtopping of San Mateo Creek, demonstrated the need for improvements at the Marina Lagoon Pump Station, and ultimately underscored the need for an updated plan.

In November 2023, following a 2023 property-owner ballot, Council adopted the Community Flood and Storm Protection Fee (Storm Fee), effective Fiscal Year 2024-25. The Storm Fee generates approximately $4 million annually, and this new revenue source enabled the City to commission an update to the SDMP. Following a January 2024 Request for Proposals (RFP), Schaaf & Wheeler (S&W) was selected to update the SDMP.

S&W subsequently collected LiDAR elevation data, conducted a Citywide condition assessment, built a hydraulic and hydrologic model of the City's entire storm drain system, and simulated how the model performs in various storm events. The model was also used to simulate anticipated 2050 and 2100 climate change impacts. The results of the condition assessment and simulation were used in concert to identify portions of the City's stormwater infrastructure in need of repair and replacement, as well as identify capacity deficiencies which require either upsizing existing improvements or constructing new projects. S&W worked with City staff to establish a set of criteria to score all identified improvements and generate a prioritized list of capital improvements projects (CIPs).

Findings and Recommendation
The prioritized CIP list includes gravity system capacity projects, creek and channel capacity projects, condition-related projects, and pump station improvement projects. The list includes 138 total projects, of which 11 are categorized as "Very High" priority projects. The "Very High" priority long-term project to address Marina Lagoon Pump Station is estimated as

$100 million alone. The table below summarizes the prioritized CIP list.

Priority	Number of Projects	Estimated Cost (in Millions)	Estimated Cost without Marina Lagoon Pump Station (in Millions)
Very High	11	$148.3	$48.3
High	34	$25.3	$25.3
Medium	35	$26.6	$26.6
Low	58	$24.3	$24.3
Total	**138**	**$224.5**	**$124.5**

S&W additionally evaluated the potential effects of climate change and estimated that addressing projected conditions in 2050 and 2100 could add approximately $30 million to $50 million to the estimated CIP cost, either by incorporating additional resiliency measures into existing or proposed projects or by implementing new projects altogether.

Potential Funding Sources

The very high-priority capital improvement projects, excluding the Marina Lagoon Pump Station long-term improvements, total $48.3 million. With currently available funding, it is anticipated that these projects can be delivered within 15 years. As the stormwater program develops, staff will pursue multiple funding sources, including internal funding sources discussed below, as well as federal and state grant opportunities and partnerships.

The City has reviewed potential funding options to accelerate delivery of the very high-priority projects and is considering a combination of funding sources based on project size, timing, and available resources. Bond financing was evaluated as one potential option; however, current market conditions are not favorable for issuing bonds at this time. The City may also evaluate an interfund loan from the Sewer Enterprise Fund, which could provide access to borrowing capacity at a lower cost than external financing.

For smaller projects, the City will utilize storm drainage fee revenues to self-fund improvements, with a current fund balance of approximately $2.6M and an additional $2-3 million annually available for capital projects. The 42nd Avenue (4000 Pacific) pump station improvements are anticipated to be an initial example of this approach.

For the Marina Lagoon Pump Station long-term improvements, however, the scale of the project, currently estimated at approximately $100M, exceeds the City's ability to self-fund through the storm drainage fee at this time. Significant federal and other outside funding will therefore be necessary to advance this critical project.

S&W recommends that the 11 “Very High” priority projects be completed over the next ten years.

Improvement Project	Project Type	Score	Cost	Improvement Type
Marina Lagoon PS - Short-term	Pump Station	88	$7,250,000	Maintain Reliability
Marina Lagoon PS - Long-term	Pump Station	82	$100,000,000	Increase Capacity - Climate Resiliency
4000 Pacific PS - Long-term	Pump Station	70	$3,680,000	Increase Capacity
4000 Pacific PS - Short-term	Pump Station	66	$960,000	Maintain Reliability
Laurel Creek - Curtiss Bypass	Creeks	64	$4,650,000	Flood Reduction - FIRM Revision
16th Avenue Channel – Hwy 101	Creeks	62	$23,400,000	Increase Capacity
Grant at Sunnybrae	Pipes	58	$430,000	Increase Capacity
Newbridge Ave	Pipes	58	$2,250,000	Replacing Damaged Assets
42nd Ave Underpass	Pipes	56	$230,000	Increase Capacity
Bettina-Kingridge	Pipes	50	$647,000	Replacing Damaged Assets
Norton Street	Pipes	48	$4,800,000	Increase Capacity - Reduce Maintenance

The CIP listed in the Very High Priority projects typical fall under 4 types of general improvements, with the exception of Laurel Creek – Curtiss Bypass project.

- **Maintain Reliability** – These projects are typically associated with pump stations, as demonstrated by the Marina Lagoon and 42nd Avenue Pump Station short-term projects. They primarily focus on repairing existing equipment, modifying existing structures, and extending the useful life of the asset until long-term improvements can be implemented.
- **Increase Capacity** – These projects are associated with increasing storm flow capacity and allowing the system to better accommodate upstream drainage. In the case of the "very high" priority projects, these projects typically rank higher because they are connected to several upstream projects within the system. Improvements at these locations allow future upstream improvements to be implemented and provide the necessary capacity to convey additional flows.
- **Replace Damaged Assets** – These projects were identified through City-specific site and field investigations, including CCTV inspections using remotely operated systems to identify structural or maintenance deficiencies. These projects do not necessarily increase system capacity but require replacement of existing pipelines due to years of deterioration.

The Laurel Creek – Curtiss Bypass project is unique because it provides flood reduction benefits while also providing the additional benefit of potentially reducing and/or removing properties from the Special Flood Hazard Area (SFHA), as designated by the Federal Emergency Management Agency (FEMA).

Council and Commission Feedback / Public Engagement

Staff presented the preliminary findings and recommendations from the SDMP to the Sustainability and Infrastructure (S&I) Commission and to City Council in January 2026. On January 14, 2026, the S&I Commission supported continuing investment in projects to address local ponding and requested additional public engagement.

On January 26, 2026, City Council supported the prioritization framework and concurred that the Marina Lagoon Pump Station should be treated as a standalone project given its cost and complexity. City Council further supported exploring financing strategies and requested additional details at a future Council date and supported maintaining $250,000 annual allocation for localized flooding projects. Additional information about funding and financing strategies has been added to Chapter 8 of the SDMP. Both S&I Commission and City Council supported strengthening stormwater management requirements for private developments and directed staff to keep the stormwater mapping tool available long-term to support continued public engagement.

Based on S&I Commission and City Council feedback, staff augmented public engagement efforts. Staff organized an additional community meeting for a total of three community meetings and also published a stormwater mapping tool. While the community meetings were not strongly attended, the stormwater mapping tool generated over 50 reports. These reports were used to validate the simulated results from the hydraulic and hydrologic model. The mapping will also be maintained beyond adoption of the SDMP. Locations identified through the reporting tool that are not associated with a proposed capital improvement project will be evaluated on a case-by-case basis to determine whether they should be incorporated as separate standalone improvements or included in the City's annual program.

Next Steps (Following Adoption)

Following adoption of the SDMP, funding for design and construction for a subset of "Very High" priority projects will be incorporated into upcoming fiscal years. Staff will also continue evaluating supplemental funding and financing mechanisms for "Very High" priority projects, including the long-term Marina Lagoon Pump Station project.

Staff is already working to procure design consultants to develop plans and construction documents for the 42nd Avenue (4000 Pacific) Pump Station improvements (Projects 2 and 7, below), as well as mainline improvements at Bettina and Kingridge (Project 9) and Grant Street at Sunnybrae (Project 5). To advance implementation of several "Very High" priority projects, the SDMP includes planning-level cost estimates for the following projects in Appendix N:

1. Marina Lagoon Pump Station Improvements
2. 4000 Pacific Pump Station Improvements
3. Laurel Creek – Curtiss Bypass Improvement Project
4. 16th Avenue Channel – Highway 101 Culvert Improvement Projects
5. Grant at Sunnybrae Capacity Improvement Project
6. Newbridge Capacity Improvement Project
7. 42nd Avenue Underpass Improvement Project
8. Norton Street Ditch Improvement Project
9. Bettina Kingridge Rehabilitation and Replacement Project

Of these, a subset (4, 5, 6, and 8) include conceptual plans in Appendix O of the SDMP.

Beyond the City's SDMP update, a major aspect of the City's flood management efforts has been removing residential properties from FEMA-designated Special Flood Hazard Areas (SFHA). These efforts have focused on providing greater protection for homeowners during 100-year flood events while also reducing the financial burden associated with mandatory flood insurance. This has been an ongoing goal that staff intends to continue as part of the SDMP update.

In previous presentations to City Council and the S&I Commission, staff noted that with more robust data sets and improved engineering models, additional properties could potentially be removed from the flood zone without requiring additional capital investment. Previous discussions identified a handful of properties in and around the Palm Avenue area that could potentially benefit from this effort.

Staff is now pleased to report that additional homes along the Hillsdale Corridor may also be eligible for removal from the FEMA-designated flood zone. Staff is actively working with the design team and consultants to further evaluate and advance this effort. Staff would like to emphasize that these potential flood zone removals are not guaranteed and will be subject to further engineering analysis and FEMA review and approval.

Staff Recommendation

Staff recommends City Council approve the Resolution to adopt the SDMP.

BUDGET IMPACT:

There is no direct fiscal impact associated with adoption of the SDMP itself. The SDMP is a planning document; individual capital improvement projects identified within it will be independently evaluated, budgeted, and brought forward for funding authorization through the City's annual operating and capital budget process, and/or through future financing actions (e.g., inter-fund loan, assessment district, bond issuance, grant award) as applicable.

ENVIRONMENTAL DETERMINATION:

Adoption of the 2026 Storm Drain Master Plan is exempt from the California Environmental Quality Act (CEQA) since it is a feasibility or planning study for possible future actions which the City of San Mateo has not approved, adopted, or funded. The individual projects in the Plan are not yet funded, and each project will require a separate CEQA analysis at time of design and construction. (CEQA Guidelines Section 15262.)

Very high priority and other individual capital improvement projects identified in the SDMP will be required to comply with CEQA prior to implementation. The City will satisfy applicable CEQA requirements through the preparation of the appropriate environmental documentation, such as an Environmental Impact Report (EIR) or Mitigated Negative

Declaration (MND), unless the project qualifies for a categorical exemption under CEQA.

STRATEGIC PLAN ALIGNMENT
This staff report supports the Infrastructure and Climate Resiliency initiatives.

NOTICE PROVIDED
All meeting noticing requirements were met.

ATTACHMENTS
Att 1 – Proposed Resolution

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CITY OF SAN MATEO
RESOLUTION NO. ____ (2026)

ADOPTING THE CITY OF SAN MATEO 2026 STORM DRAIN MASTER PLAN

WHEREAS, the City's storm drain system, which includes pipes, creeks, channels, and pump stations, was last comprehensively evaluated under the 2004 Storm Drain Master Plan; and

WHEREAS, the 2004 Storm Drain Master Plan's evaluation included recommended maintenance and capital improvements; and

WHEREAS, the City's efforts to implement the recommended maintenance and capital improvements related to storm drain infrastructure upgrades and interior flooding risk were largely limited to maintenance and repair of the existing system due to a lack of dedicated funding; and

WHEREAS, in November 2023, following a 2023 property-owner ballot, City Council adopted the Community Flood and Storm Protection Fee, generating approximately $4 million annually and enabling the City to commission an update to the Storm Drain Master Plan; and

WHEREAS, following a January 2024 Request for Proposals, the City selected Schaaf & Wheeler (S&W) to prepare the 2026 Storm Drain Master Plan (SDMP); and

WHEREAS, S&W subsequently prepared the 2026 SDMP, which included performing a Citywide condition assessment, developing a hydraulic and hydrologic model of the City's storm drain system, simulating system performance under various storm events both with and without proposed capital improvements, evaluating anticipated 2050 and 2100 climate change impacts, and preparing a prioritized list of capital improvements;

WHEREAS, the Sustainability and Infrastructure Commission has recommended the City Council adopt the 2026 Storm Drain Master Plan.

NOW, THEREFORE, THE CITY COUNCIL OF THE CITY OF SAN MATEO, CALIFORNIA, HEREBY RESOLVES that:

1. In accordance with CEQA Guidelines Section 15262, adoption of the 2026 Storm Drain Master Plan is exempt from CEQA review since it is a feasibility or planning study for possible future actions which the City of San Mateo has not approved, adopted, or funded. The individual projects in the Plan are not yet funded, and each project will require a separate CEQA analysis at time of design and construction.

2. The City of San Mateo's 2026 Storm Drain Master Plan is adopted.